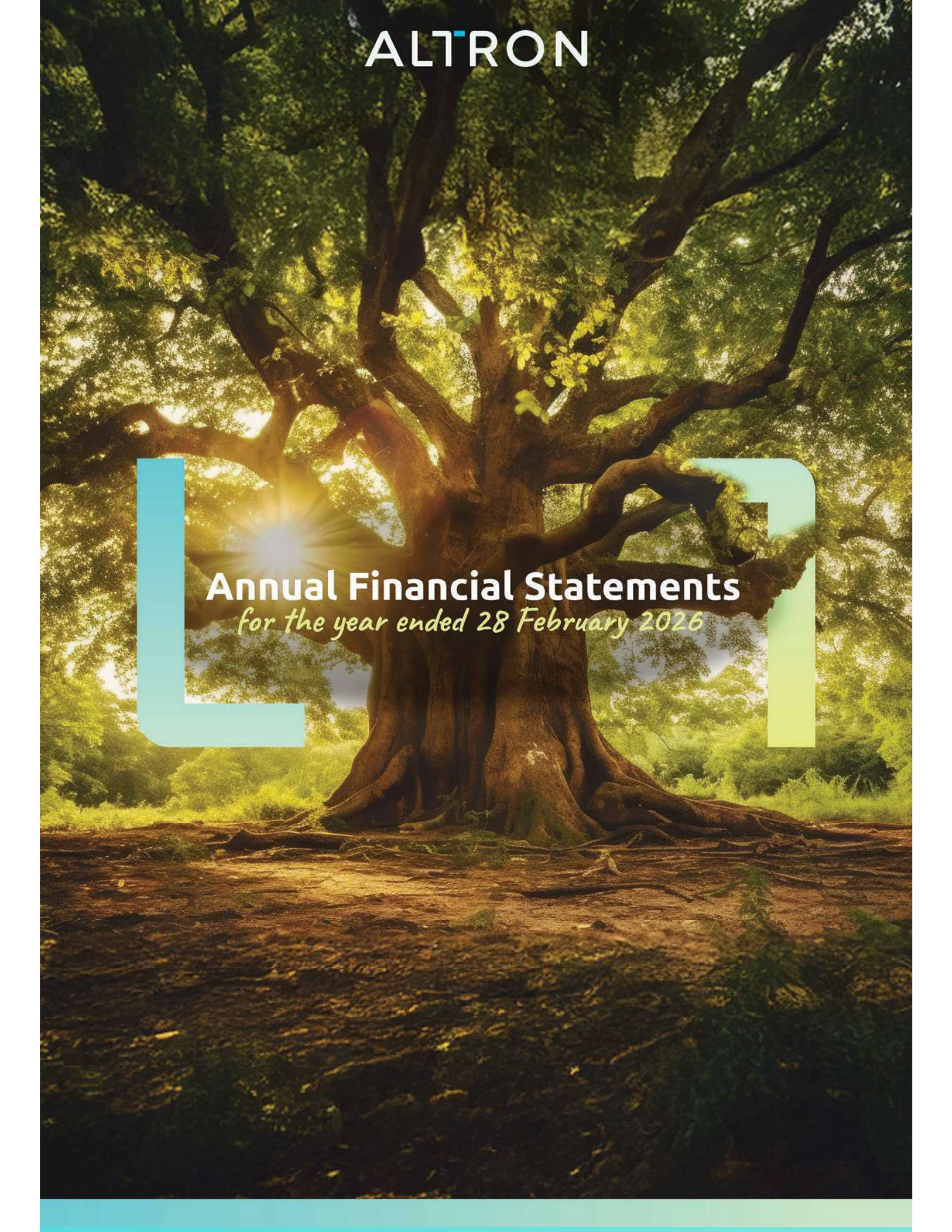




ALTRON

Annual Financial Statements
for the year ended 28 February 2026

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ALTRON LIMITED

Registration number: 1947/024583/06

Share code: AEL

ISIN: ZAE000191342

To the shareholders of Altron Limited (Altron or the Group or the Company)

The Annual Financial Statements of Altron have been audited in compliance with Section 30 of the Companies Act 71 of 2008, as amended (the Companies Act).

The financial statements were prepared under the supervision of Carel Snyman CA(SA), the Group Chief Financial Officer.

The Annual Financial Statements for the year ended 28 February 2026 were approved on 21 May 2026.

Directors' responsibility statement

The directors of Altron, hereinafter referred to as Altron, are responsible for the preparation and fair presentation of the consolidated and separate annual financial statements (hereinafter referred to as the Annual Financial Statements) in accordance with the IFRS® Accounting Standards issued by the International Accounting Standards Board (IASB) and IFRIC® Interpretations issued by the IFRS Interpretations Committee the South African Institute of Chartered Accountants (SAICA) Financial Reporting Guides issued by the Accounting Practices Committee (APC), Financial Reporting Pronouncements issued by the Financial Reporting Standards Council (FRSC), the requirements of the Companies Act, 71 of 2008 (as amended) (Companies Act) and the JSE Limited Listings Requirements (JSE).

These Annual Financial Statements include amounts based on judgements and estimates made by the Executive Directors and senior management (collectively referred to as management).

Any changes to accounting policies have been approved by the Board and the effects thereof have been explained in these Annual Financial Statements. The Company also subscribes in all its activities to principles of best practice and corporate governance as set out in the King IV™ Report on Corporate Governance for South Africa (King IV*). The Board is responsible for compliance with the Company's Memorandum of Incorporation (MOI) and preparation of the Director's Report.

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The Board, by reviewing information provided by management and internal audit function, ensures that the Group has established and maintains effective internal controls. It also oversees the operation of a robust control environment that safeguards the Group's assets and provides reasonable assurance regarding the reliability of its financial information. The Directors oversee website security and controls, including the electronic distribution of Annual Financial Statements and financial information to shareholders and the Companies and Intellectual Property Commission (CIPC).

The Board, through the Audit and Risk Committee (AARC), oversees the implementation of a risk management framework that ensures risks are identified, evaluated and either mitigated to acceptable levels or transferred when necessary, providing reasonable assurance of effective risk management.

The Board confirms that, to its knowledge, no material deficiencies in internal controls or risk management practices occurred during the reporting period that have not been appropriately addressed or that could affect the fair presentation of these Annual Financial Statements.

The Directors have reviewed the budgets and cash flow forecasts of the Company and its subsidiaries for the financial year ended 28 February 2026. Considering this assessment, along with the Group's current financial position and existing borrowing facilities, the Directors are satisfied that the Company and its subsidiaries have the ability to continue as going concerns. Accordingly, the Annual Financial Statements have been prepared on a going concern basis.

The independent external auditor, PricewaterhouseCoopers Inc. (PwC or external auditors), is responsible for reporting on whether the consolidated and separate Annual Financial Statements set out on pages 23 to 172 are fairly presented in accordance with the applicable financial reporting framework. PwC has issued an unmodified audit opinion set out on pages 15 to 22.

Approval of consolidated and separate annual financial statements

for the year ended 28 February 2026

The consolidated and separate annual financial statements of Altron for the year ended 28 February 2026, set out on pages 23 to 172, were approved by the Board on 21 May 2026 and signed on its behalf by:



SW van Graan
Chairman

24 May 2026



WG Kapp
Group Chief Executive Officer



CC Snyman
Group Chief Financial Officer

Chief Executive Officer's and Chief Financial Officer's responsibility statement

for the year ended 28 February 2026

In compliance with paragraph 5.9 of the JSE Listings Requirements, the Directors whose names are stated below, after due, careful and proper consideration, hereby confirm that:

- a) the Annual Financial Statements, set out on pages 23 to 172, fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS Accounting Standards;
- b) to the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the Annual Financial Statements false or misleading;
- c) internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries has been provided to effectively prepare the Annual Financial Statements of the issuer;
- d) the internal financial controls are adequate and effective and can be relied upon in compiling the Annual Financial Statements, and we have fulfilled our role and function as the Executive Directors with primary responsibility for the implementation and execution of controls;
- e) where we are not satisfied, we have disclosed to the Audit and Risk Committee and the external auditor any deficiencies in the design and operational effectiveness of the internal financial controls, and have taken steps to remedy the deficiencies; and
- f) we are not aware of any fraud involving the Directors.



WG Kapp
Group Chief Executive Officer

24 May 2026



CC Snyman
Group Chief Financial Officer

Company secretary's certificate

In terms of Section 88(2)(e) of the Companies Act, I certify that, to the best of my knowledge and belief, the Company has lodged with the CIPC all such returns and notices that are required of a public company in terms of the Companies Act, in respect of the financial year ended 28 February 2026, and that all such returns and notices are true, correct and up to date.



MB Ngcobo
Group Company Secretary

24 May 2026

Audit and Risk Committee report

for the year ended 28 February 2026

The AARC is pleased to present its report for the financial year ended 28 February 2026. The committee is an independent statutory committee established in accordance with the Companies Act. Its duties are delegated by the Board and include statutory obligations as prescribed by the Companies Act, King IV and the JSE Listings Requirements. Additionally, the committee is responsible for assisting the Board in fulfilling its oversight responsibilities, particularly regarding the integrity of the Group's Annual Financial Statements, the effectiveness of internal controls, financial reporting processes and risk management.

The scope of the committee extends to all activities of Altron and its subsidiaries, excluding Altron Arrow, which has its own Financial Review and Risk Committee reporting to this committee.

AARC MANDATE AND TERMS OF REFERENCE

The committee operates in terms of a formal mandate and terms of reference, which are reviewed and approved by the Board annually. During the past financial year, the committee's mandate and terms of reference have been reviewed and updated to further align with corporate governance best practice. The committee has conducted its affairs in compliance with its mandate and terms of reference and has fulfilled its responsibilities contained therein.

AARC MEMBERS AND ATTENDANCE AT MEETINGS

The Chairman of the committee maintains regular engagement with the Group Chief Executive Officer, Group Chief Financial Officer and senior function managers to discuss matters relating to risk and compliance, Group tax, treasury and corporate actions, legal and information technology (IT), and meets separately with the external auditor to discuss audit matters.

During the year under review, three formal meetings were held with 100% attendance rate. The AARC comprised the following members:

Name	Role	Qualifications	Meeting attendance
G Gelink	Chairman of AARC Independent Non-Executive Director	CA(SA) BCompt (Hons) (UNISA) BCom (UND) BCom (Hons) (UNISA)	3/3
S Rapeti	Independent Non-Executive Director	HND (Electrical Engineering) (DUT) MBA (UW)	3/3
G Kouteris	Independent Non-Executive Director	MPhil (Electronic Engineering) (UMIST) BEng (Hons) (Electronic Engineering) (UMIST)	3/3
N Siyotula*	Independent Non-Executive Director	CA(SA) BAccSci (Wits) MBA (GIBS)	2/2
A Sithebe**	Independent Non-Executive Director	CA(SA) BCom Acc (RAU) BCom Acc (Hons) (UNISA) MBA (GIBS) Executive Leadership Programme (Oxford)	1/1
H Christophers***	Independent Non-Executive Director	CA (ICAEW) BA (Geography) (Hons) (UoN)	2/2

* Appointed to the AARC with effect from 8 September 2025, subject to shareholder approval at the annual general meeting (AGM).

** Resigned with effect from 31 July 2025.

*** Appointed to the AARC with effect from 5 September 2025. Resigned as an Independent Non-Executive Director with effect from 5 March 2026.

Audit and Risk Committee report continued

STATUTORY DUTIES

In conducting its duties, the committee performed the following statutory duties, *inter alia*:

- » Recommended the re-appointment of PwC as the external auditor of the Company for the financial year ended 28 February 2026 with Skalo Dikana as the lead audit partner. PwC, in the opinion of the committee, is independent of the Company and the Group. The re-appointment of PwC as external auditor was approved by Altron shareholders during the Company's AGM on 31 July 2025
- » Ensured that the re-appointment of the external auditor complies with the Companies Act and any other legislation relating to the appointment of auditors
- » Determined the external auditor's terms of engagement and fees
- » Determined the nature and extent of the non-audit related services that the external auditor may provide to the Company and the Group
- » Pre-approved any proposed agreement with the external auditor for the provision of non-audit related services to the Company and the Group
- » Discharged those statutory obligations of an audit committee as prescribed by Section 94 of the Companies Act, acting in its capacity as the appointed audit committee of the Group subsidiaries and the material subsidiaries, which conduct their activities through the respective subsidiary's Financial Review and Risk Committee.

DUTIES ASSIGNED BY THE BOARD

The committee fulfils an oversight role regarding the Integrated Annual Report and the reporting process, including the system of internal financial controls. It is responsible for ensuring that the Group's Internal Audit function is independent and has the necessary resources, standing and authority within the organisation to enable it to effectively discharge its duties. Furthermore, the committee oversees co-operation between the Internal and external auditors and serves as a link between the Board and these functions.

The committee is satisfied that it has complied in all material respects with its legal, regulatory and other responsibilities.

KEY FOCUS AREAS

The Committee dealt with the following statutory, regulatory and compliance matters:

FY26 focus areas	Description
Financial reporting and disclosure	» Reviewed and recommended the interim and Annual Financial Statements for Board approval » Conducted solvency and liquidity tests, going concern assessments and provided recommendations on the interim and final dividends for Board approval » Assessed the impact of new and revised IFRS accounting policies, including early awareness of IFRS 18 » Evaluated and approved the sustainability metrics included in the Integrated Annual Report » Evaluated the expertise and experience of the Group Chief Financial Officer and finance team » Reviewed and approved the JSE Pro-Active Monitoring response » Received and evaluated reports from the Altron Arrow Financial Reporting and Review Committee.
External audit and assurance	» Reviewed the external audit reports and management responses » Assessed the external auditor's independence, effectiveness, performance and compliance with regulatory requirements » Approved the PwC audit plan, fees and terms of engagement for the financial year ending 28 February 2026
Risk management and internal controls	» Reviewed and approved the key risk indicators and tolerance limits underpinning the Group's risk appetite framework » Approved the Enterprise Risk Management (ERM) Escalation and Acceptance Policy and monitored its implementation across the Group » Reviewed and approved the Group Foreign Currency Risk Management Policy, Business Continuity Policy, ERM Policy and End-User Technology Policy » Reviewed and recommended the internal control statement.
Internal audit and compliance	» Examined and reviewed progress made by internal audit against the approved FY26-FY27 Internal Audit Plan » Evaluated the independence, effectiveness and performance of the internal audit function

Audit and Risk Committee report continued

FY26 focus areas	Description
Cybersecurity	» Elevated cybersecurity to the Group's top risk following two severe incidents at Netstar » Monitored progress against the Centre for Internet Security Framework » Oversaw remediation actions including strengthened identity and privileged access management, increased penetration testing frequency and intensified cybersecurity awareness training.
Legal, tax and regulatory compliance	» Approved the Litigation Governance Framework » Tracked the City of Tshwane arbitration process and other material litigation and regulatory matters » Approved the Intellectual Property Policy and Trademark Management Framework » Received quarterly updates on legal, tax and regulatory compliance matters by assessing risk implications and potential financial impact » Received quarterly updates on the legal department's roadmap on mitigating legal risk across the Group.
Governance and Board engagement	» Ensured compliance with the Companies Act and JSE Listings Requirements, including consistent messaging across Stock Exchange News Service announcements, financial statements and investor communications » Conducted a structured committee self-assessment, confirming effective functioning of the committee » Conducted an annual review of the committee's mandate and terms of reference and workplan in accordance with King IV and the transition to King V » Oversaw the report to shareholders on committee activities in the Integrated Annual Report.

FY27 focus areas	Description
Financial reporting and disclosure	» Prepare for the implementation of IFRS 18 (replacing IAS 1).
Internal audit and compliance	» Track management's progress in addressing third-party and supplier management and IT governance-related findings.
Cybersecurity	» Achieve ISO 27001 certification.
Risk management and internal controls	» Embed the formalised ERM Framework handbook across risk officers, the Chief Information Officer Council and the Enterprise Architecture Forum.
Legal, tax and regulatory compliance	» Monitor the National Payment System Bill and its implications for Altron FinTech with a focused AARC training session planned once legislation is finalised.
Governance and Board engagement	» Conduct annual review of the committee's mandate and terms of reference and workplan in accordance with King V.

RISK MANAGEMENT

The committee fulfils an oversight role regarding risks, including financial reporting, fraud risks, cyber risks, enterprise risks, privacy and information risks, legal and compliance risks as well as organisational resilience.

The committee is satisfied that the level of unmitigated risks, individually and in totality, are within the risk appetite of the Group with the exception of cybersecurity risk, and that there is sufficient assurance provided to manage risks and the control environment through internal and external assurance.

Audit and Risk Committee report continued

EXTERNAL AUDITOR RE-APPOINTMENT AND INDEPENDENCE

The committee is satisfied that the external auditor was independent of the Company during the past financial year, as set out in Sections 90(2)(c) and 94(8) of the Companies Act, which includes consideration of compliance with criteria relating to independence or conflicts of interest as prescribed by the Independent Regulatory Board for Auditors. Requisite assurance was sought and provided by the external auditor that internal governance processes within PwC support and demonstrate their claim to independence.

The committee, in consultation with management, agreed to the engagement letter, terms, audit plan and proposed external audit fees for the financial year ended 28 February 2026.

There is a formal written policy and procedure (incorporating an authority matrix) that governs the process whereby the external auditor is considered for providing non-audit related services. The committee has approved terms for the provision of non-audit related services by the external auditor and approved the nature and extent of non-audit related services that the external auditor may provide.

The committee has nominated, for re-appointment at the AGM to be held during 2026, PwC as Altron's external auditor for the financial year ending 28 February 2027. Furthermore, the committee is satisfied that PwC, the audit firm of Altron's major subsidiaries, is not disqualified from acting as such. The committee conducted the auditor suitability assessment in terms of paragraph 5.7(h)(iii) of the JSE Listings Requirements.

The committee has nominated, for appointment, Skalo Dikana as the designated auditor/lead audit partner for the Group as required in terms of Section 92(1) of the Companies Act.

FINANCIAL STATEMENTS

The committee has reviewed the Annual Financial Statements of the Group and is satisfied that they comply in all material respects with IFRS Accounting Standards as issued by the IASB and Interpretations issued by IFRIC, the SAICA Financial Reporting Guides issued by the APC, Financial Reporting Pronouncements issued by the FRSC, the JSE Listings Requirements and the requirements of the Companies Act.

GOING CONCERN

The committee reviewed a documented assessment by management of the going concern premise of the Company and the Group before recommending to the Board that the Company, as well as the Group, will be a going concern in the foreseeable future.

EXPERTISE AND EXPERIENCE OF THE GROUP CHIEF FINANCIAL OFFICER AND FINANCE FUNCTION

The committee assessed the expertise and experience of CC Snyman for the role of Group Chief Financial Officer, as required in terms of paragraph 5.7(h)(i) of the JSE Listings Requirements, and confirms that it is satisfied that he possesses the appropriate expertise and experience to meet the responsibilities of this position.

The committee is satisfied of the overall appropriateness of the expertise and adequacy of resources of the Group's finance function and experience of the senior members responsible for the financial function.

INTERNAL FINANCIAL CONTROLS AND INTERNAL AUDIT

Altron has an internal audit function, which reports directly to the committee and administratively to the Group Chief Financial Officer.

The internal audit function reviews and provides assurance on the adequacy of the internal control environment across all of Altron's operations in accordance with the internal audit plan approved by the committee.

Additionally, the internal audit function is responsible for formally reporting the findings of internal audit work against the agreed internal audit plan to the committee on a regular basis and has direct access to the committee, primarily through the AARC Chairman.

ETHICS LINE

The Ethics Report is presented to the Altron Social, Ethics and Sustainability Committee (SESCoM) via the office of the Group Company Secretary.

The Altron Ethics Line is facilitated and managed by Deloitte.

The committee is satisfied that appropriate interventions have been put in place to deal with reporting throughout the Group and that the Group adequately communicates with employees on ethical matters and monitors ethics-related instances within the Group.

Audit and Risk Committee report continued

COMBINED ASSURANCE

The committee considers and assesses the Group's risks and the combined assurance model and the way the risks are mitigated and managed in terms of the Group's lines of defence.

The committee has oversight of the Group's combined assurance model, which was embedded within the Group during the financial year.

SUSTAINABILITY REPORTING

The committee has reviewed the Company's sustainability information disclosed in the Integrated Annual Report for the year ended 28 February 2026, assessing its alignment with operational data, other relevant information and the Annual Financial Statements.

Following discussions with management, the committee is satisfied that the sustainability information is reliable and consistent with the financial results in all material respects.

No material deficiencies have been identified.

OPINION

The AARC, based on management explanations and discussions with the external auditor, is satisfied that no material breakdown occurred in internal financial controls during the financial year under review.

In accordance with King IV, the committee confirms that the Group's financial reporting risk, internal financial controls and fraud risk related to financial reporting and IT have been adequately addressed.

After reviewing Altron's separate and consolidated Annual Financial Statements for the year ended 28 February 2026, the AARC has concluded that Altron complies in all material respects with the Companies Act and IFRS Accounting Standards.

The AARC recommended the Annual Financial Statements for Board approval. These statements will be open for discussion at the upcoming AGM to be held on 31 July 2026.



GG Gelink
Chairman

Altron AARC
24 May 2026

Directors' report

To the shareholders of Altron

The Directors hereby submit these Annual Financial Statements of the Group for the year ended 28 February 2026.

NATURE OF BUSINESS

The Company is a South African incorporated public company listed on the JSE and A2X Market. The Company's registration number is 1947/024583/06. Altron is a leading technology business since 1965, operating in a number of geographies under the following three operating segments:

- » **Platforms:** Netstar, Altron FinTech, and Altron HealthTech.
- » **IT Services:** Altron Digital Business, Altron Security and Altron Document Solutions.
- » **Distribution:** Altron Arrow.

SHARE CAPITAL

The authorised share capital of the Company is 500 000 000 A ordinary shares of no par value, 500 000 000 N ordinary shares with a par value of R0.01 per share and one high voting share of no par value (unlisted).

The issued share capital of the Company as at 28 February 2026 is 413 932 920 A ordinary shares of no par value and one high voting share of no par value (unlisted). There are 30 837 778 treasury shares in issue. For full details on the share capital of the Company, refer to note 13.

No securities of Altron were repurchased during the financial year under review.

Altron did not undertake any issues of securities for cash, whether general or specific, during the period covered by this Directors' Report or during the prior financial year.

FINANCIAL RESULTS

Particulars of the Group's attributable earnings and earnings per share for the year ended 28 February 2026 are given in the consolidated statement of comprehensive income while particulars of the Group's headline earnings per share for the year ended 28 February 2026 are given in note 26 of the consolidated annual financial statements.

Full details of the financial position, cash flows and results of the Group are set out in the Annual Financial Statements.

SUBSIDIARIES, ASSOCIATE COMPANIES AND OTHER INVESTMENTS

Particulars of the principal subsidiaries of the Group are given in note 2 of the separate annual financial statements and note 39.1 of the consolidated annual financial statements while particulars of the associate companies, joint ventures and other investments are provided in notes 39.2 to 39.5 of the consolidated annual financial statements.

SEGMENT REPORTING

Segment information is included in note 41 of the consolidated annual financial statements.

Earnings before interest, taxation, depreciation, amortisation, capital items and equity accounted profits (EBITDA before capital items and equity accounted profits) for the financial year ended 28 February 2026 was R1 964 million. Operating profit (before capital items) for the financial year ended 28 February 2026 was R1 180 million.

BORROWING POWERS AND RESTRICTIVE FUNDING ARRANGEMENTS

In terms of its MOI, Altron has unlimited borrowing powers. As at 28 February 2026, unutilised borrowing facilities amounted to R1 950 million (FY25: R1 875 million).

CORPORATE ACTIVITY DURING THE YEAR

Sale of Altron Nexus

During the year, the Group concluded a multi-part transaction with agreements signed on or about 31 March 2025 and closing on 1 August 2025.

As part of the transaction, Altron Nexus Proprietary Limited (Nexus) sold to Altron Nexus Smart Cities Proprietary Limited (Smart Cities) all of the shares it held in Thobela Telecoms (RF) Proprietary Limited (Thobela) together with all claims Nexus held against Thobela. Nexus thereafter unbundled all the shares that it held in Smart Cities and Altron Fleetcall Proprietary Limited to Altron TMT SA Group Proprietary Limited, which concurrently sold all shares held in Nexus to Lumitech Holdings Proprietary Limited.

All conditions precedent were fulfilled or waived and all requisite third-party consents and approvals were obtained prior to the closing date of 1 August 2025.

Directors' report continued

GOING CONCERN

The Directors have assessed that the Group has sufficient expected future cash flows and adequate financial resources to continue as a going concern for at least the next 12 months from the date of the approval of these Annual Financial Statements.

DIVIDENDS

On 1 November 2025, the Board resolved to declare an interim dividend of 48.00 cents per share for the six-months ended 31 August 2025 and which was paid on 24 November 2025.

At the Board meeting on 21 May 2026, the Board resolved to declare and pay a final dividend of 72 cents per share in respect of the financial year ended 28 February 2026, as well as a special dividend of 120 cents per share. The special dividend is subject to approval by the South African Reserve Bank.

Refer to note 28 of the consolidated Annual Financial Statements.

EVENTS AFTER REPORTING PERIOD

Subsequent to the reporting period, Altron TMT Proprietary Limited (Altron TMT) entered into a shared ownership transaction with XTEC KZN Proprietary Limited (XTEC) whereby Altron TMT contributed the Durban operations of Altron Document Solutions to XTEC in exchange for shares representing a 51% controlling stake in XTEC. The existing shareholders of XTEC will retain the remaining 49% interest. The transaction was concluded on 1 March 2026.

The Board declared a final dividend of 72 cents per share on 21 May 2026 as well as a special dividend of 120 cents per share. The special dividend is subject to approval by the South African Reserve Bank.

The Directors are not aware of any other events after the reporting period that will have an impact on the financial position, performance or cash flows of the Group.

CORPORATE GOVERNANCE

The Board endorses the contents of King IV and is satisfied that Altron has complied in all material aspects with King IV and with the JSE Listings Requirements throughout the period.

King V came into effect on 1 January 2026, replacing King IV. Altron began transitioning to King V during the financial year and has applied the King V principles, where possible, as set out in the application register available on the Company's website at www.altron.com.

REGULATORY MATTERS

The Group has no material regulatory matters and complies with all laws, regulations and its MOI.

SPECIAL RESOLUTIONS

The Company passed three special resolutions during the year ended 28 February 2026 (all special resolutions were passed at the Company's AGM on 31 July 2025) and approved:

- » Remuneration of Non-Executive Directors
- » Remuneration payable to Non-Executive Directors participating in statutory and Board committees
- » Financial assistance to related or inter-related companies.

Except for the above, no other special resolutions, the nature of which might be significant to shareholders in their appreciation of the state of affairs of the Group, were passed by the Company or its subsidiaries during the period covered by this Directors' Report.

GENERAL AUTHORITY TO ISSUE SHARES

The remaining unissued A ordinary shares are the subject of a general authority granted to the Directors in terms of, among others, the Companies Act and which authority remains valid only until the next AGM, which will be held on 31 July 2026.

At that meeting, shareholders will be asked to place 3% of the unissued A ordinary shares under the control of the Directors. Shareholders will also be asked to authorise the Board to issue the shares under their control. This mandate is provided to allow the Board and authorised members of management to issue shares for the Altron Share Scheme and in the ordinary course of business (inter-group transactions).

SHARE SCHEMES

Particulars relating to the Altron 2009 share plan are set out in note 13 of the consolidated Annual Financial Statements.

Directors' report continued

EXTERNAL AUDITOR

The AARC reviewed the independence of the auditor during the period under review and is satisfied that the auditors were independent of the Group.

Subject to the outcome of the AGM to be held on 31 July 2026, PwC will continue in office as the auditor in accordance with Section 90 of the Companies Act.

BOARD AND COMMITTEE CHANGES DURING THE YEAR

The Board continued to provide valuable input to the Group in realising its strategic goals with particular focus during FY26 on guiding the transition from Horizon 2 (accelerated growth) to Horizon 3, a transformational phase in which Altron's ambition shifts from building scale to deepening the quality, defensibility and annuity nature of its earnings, anchored by its high-margin Platforms businesses.

Zukie Siyotula was appointed as an Independent Non-executive Director and a member of the Altron AARC with effect from 8 September 2025 and on the Remuneration and Nominations Committee from 3 November 2025. Zukie is a qualified CA(SA), Chief Executive Officer of Siyotula Holdings and brings extensive board and governance experience, including as independent non-executive chair of York Timbers and independent non-executive director of African Bank.

Grigoris Kouteris, who has served as an Independent Non-executive Director since 17 May 2024 and has been a member of the Investment Committee and AARC since 1 February 2025, continues to enhance the Board's expertise in the Platforms sector. Subject to shareholder approval at the AGM on 31 July 2026, Grigoris will be appointed to the SESCom.

Alupheli Sithebe, Independent Non-executive Director and member of the AARC and SESCom, resigned from the Board with effect from 31 July 2025.

Harvey Christophers resigned from the Board as an Independent Non-executive Director with effect from 5 March 2026.

RE-ELECTION AND ELECTION OF DIRECTORS AT THE COMPANY'S AGM

In accordance with Articles 25.6.1 and 25.17 of the MOI, the following Directors will be elected and re-elected respectively at Altron's AGM on 31 July 2026.

Election

Zukie Siyotula (Independent Non-Executive Director)

Board re-election

- » Stewart van Graan (Independent Non-Executive Chairman)
- » Grant Gelink (Independent Non-Executive Director)
- » Anthony Ball (Non-Executive Director).

All the Directors are eligible and available for re-election. Their profiles appear in the Integrated Annual Report at www.altron.com.

GROUP COMPANY SECRETARY

The role of Group Company Secretary continues to be occupied by Mbali Ngcobo.

The Board is satisfied that Mbali maintains an arm's-length and independent relationship with the Board and is not a director of Altron, as required in terms of paragraph 5.7(f) of the JSE Listings Requirements.

In evaluating the Group Company Secretary, the Board has considered her prescribed duties and responsibilities set out in the Companies Act, the JSE Listings Requirements and governance requirements set out in King IV.

The Group Company Secretary's business and postal addresses appear in the Integrated Annual Report at www.altron.com.

DIRECTOR EMOLUMENTS

The individual Director emoluments paid in respect of the financial year under review are contained in note 20.1 of the consolidated Annual Financial Statements and in the Remuneration Report forming part of the Integrated Annual Report, for the year ended 28 February 2026, available at www.altron.com.

Directors' report continued

DIRECTORS' INTERESTS

As of 28 February 2026, the Directors collectively held 103 742 430 of the Company's issued A ordinary shares (FY25: 160 213 015). Refer to note 30.2.

The table below outlines the Directors' shareholdings in the Company, including direct and indirect interests through an associate, as defined by the JSE Listings Requirements, as at 28 February 2026:

Director	Direct Beneficial	Indirect Beneficial	Indirect Non-Beneficial	Detail of indirect shareholding
G Gelink	38 000			
S van Graan		25 000		Shares held by the spouse of the Director.
B Dawson		3 057 866		Cumulative shares held through Campan Enterprises Proprietary Limited (2 721 088) and Anuva Investments Limited (336 778) where Director is a beneficiary
A Ball T Ngara			99 096 527	Cumulative shares controlled by Value Capital Partners Proprietary Limited where the Directors are employees.
W Kapp		1 210 037		Shares held through the WG Kapp Family Trust where the Director is a beneficiary.
C Snyman	315 000			
Total	353 000	4 292 903	99 096 527	

SHARE OWNERSHIP ANALYSIS

Material shareholders

Beneficial shareholders (excluding Directors' direct interest) holding 5% or more of the Company's listed A ordinary shares as at 28 February 2026 were the following:

Names	Number of A ordinary shares held	% of total issued A ordinary shares
Value Capital Partners Proprietary Limited*	99 096 527	23.94
Coronation Fund Management Proprietary Limited	83 843 640	20.25
Biltron Proprietary Limited	56 192 243	13.58
Public Investment Corporation	38 355 755	9.27
Altron Finance Proprietary Limited**	30 837 778	7.45
Camissa Asset Management Proprietary Limited	27 632 873	6.68
Total	335 958 816	81.17

* Cumulative shares controlled through its associates.

** Related party of Altron and holds treasury shares on behalf of the Group.

Directors' report continued

Geographical holdings

The geographic shareholding of the Group as at 28 February 2026 is as follows:

Geographic holdings	Number of A ordinary shares held	% of total issued A ordinary shares
South Africa	398 121 281	96.18
United Kingdom (UK)	4 711 191	1.14
Europe (excluding UK)	3 144 407	0.76
North America	613 913	0.15
Rest of the world	64 049	0.02
Unknown	69 483	0.02
Below threshold	7 208 596	1.73
Total	413 932 920	100

Public and non-public shareholders (as at 28 February 2026)

A ordinary shares	Number of shareholders	Number of A ordinary shares held	% of total issued A ordinary shares
Non-public shareholders	9	134 581 864	32.51
Director-related and extended family holdings	8	103 744 086	25.06
Treasury shares	1	30 837 778	7.45
Public shareholders	13 465	279 351 056	67.49
Total	13 474	413 932 920	100



Independent auditor's report

To the shareholders of Altron Limited

Report on the audit of the consolidated and separate financial statements

Our opinion

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of Altron Limited (the Company) and its subsidiaries (together the Group) as at 28 February 2026, and its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Companies Act of South Africa.

What we have audited

Altron Limited's consolidated and separate financial statements set out on pages 23 to 172 comprise:

- the consolidated and separate balance sheets as at 28 February 2026;
- the consolidated and separate statements of comprehensive income for the year then ended;
- the consolidated and separate statements of changes in equity for the year then ended;
- the consolidated and separate statements of cash flows for the year then ended; and
- the notes to the financial statements, including material accounting policy information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated and separate financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code), as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants* (including *International Independence Standards*).

Our audit approach

Overview



Final materiality

Final group materiality: R96 300 000, which represents 1% of consolidated revenue from continuing operations.

Final company materiality: R33 100 000, which represents 1% of total assets.

Group audit scope

Our audit included a full scope audit of four components that were considered significant due to risk and/or size, in addition to the full scope audit of the Company. Specified procedures were performed over one component.

Key audit matters

Recoverable amount of Goodwill

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the consolidated and separate financial statements. In particular, we considered where the directors made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette Number 49309 dated 15 September 2023 (EAR Rule), we report final materiality and group audit scope below.

Final materiality

The scope of our audit was influenced by our application of materiality. An audit is designed to obtain reasonable assurance whether the consolidated and separate financial statements are free from material misstatement. Misstatements may arise due to fraud or error. They are considered material if individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the consolidated and separate financial statements.

Based on our professional judgement, we determined certain quantitative thresholds for materiality, including the final materiality for the consolidated and separate financial statements as a whole as set out in the table below. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures and to evaluate the effect of misstatements, both individually and in aggregate on the consolidated and separate financial statements as a whole.

	Consolidated financial statements	Separate financial statements
Final materiality	96 300 000	33 100 000
How we determined it	1% of revenue from continuing operations	1% of total assets
Rationale for the materiality benchmark applied	We chose consolidated revenue from continuing operations because in our view, it is the benchmark against which the performance of the Group is most commonly measured by stakeholders. We chose 1% which is consistent with quantitative materiality thresholds that we would typically apply when using revenue to compute materiality.	We chose total assets due to there being no operations on a Company level. In our view, Total Assets would therefore be the primary performance indicator for stakeholders of the Company, as the Company holds the investments held within the Group We chose 1% which is consistent with quantitative materiality threshold that we would typically apply when using Total assets to compute materiality.

Group audit scope

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group, the accounting processes and controls, and the industry in which the Group operates.

Our scoping assessment included consideration of financially significant components as well as taking into consideration the sufficiency of work performed over material line items in the consolidated financial statements.

We performed full scope audits of four components that were financially significant, in addition to the full scope audit of the Company. Specified procedures were performed over one component.



The main indicators used to identify financial significant components are consolidated revenue; consolidated profit before taxation; and consolidated assets.

In establishing the overall approach to the group audit, we determined the extent of the work that needed to be performed by us, as the group engagement team, and component auditors from other PwC network firms operating under our instruction, in order to issue our audit opinion on the consolidated financial statements of the Group. Where the work was performed by component auditors, we determined the level of involvement necessary in the audit work at those components to be able to conclude whether sufficient appropriate audit evidence has been obtained as a basis for our opinion on the consolidated financial statements as a whole. Detailed group audit instructions were communicated to all components in scope and meetings were held with component teams before commencing their respective audits. Throughout the audit, numerous planning, execution and completion meetings and discussions were held with the component auditors of these components.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined that there are no key audit matters to communicate in our report in respect of the separate financial statements.

In terms of ISA 701 *Communicating key audit matters in the independent auditor's report* / the EAR Rule (as applicable), we are required to report key audit matters and the outcome of audit procedures or key observations with respect to the key audit matters, and these are included below.

Key audit matter	How our audit addressed the key audit matter
Recoverable amount of Goodwill The Group's net assets include a goodwill balance of R1 197 million arising from prior period business combinations, allocated across six cash generating units ("CGUs"). In accordance with IAS 36 – <i>Impairment of Assets</i>, the group is required to test for impairment annually or more frequently if there is an indication of impairment, to assess the recoverability of the carrying value of goodwill.	Our audit addressed this key audit matter as follows: We tested the mathematical accuracy of the valuation models used by management and found no material exceptions. We assessed the appropriateness of the valuation model (discounted cash flow model) applied by management, with reference to industry practice and the requirements of IAS 36 and found no material exceptions. We compared the Revenue, applied in the forecasted cash flows, to approved budgets and noted no material differences.

Key audit matter	How our audit addressed the key audit matter
The recoverable amounts of the respective CGUs that goodwill has been allocated to, are determined using a fair value less costs of disposal (FVLCD) approach which makes use of a discounted cash flow valuation model. Key assumptions include revenue growth rates, terminal growth rates and discount rates, all of which are sensitive to changes in economic and market conditions. An impairment loss is recognised in profit or loss where the recoverable amount, as determined through assessment, is lower than the carrying amount of the relevant CGU. During the current year, the Group completed its impairment testing and concluded that no impairment losses were required to be recognised. We considered the impairment assessment of goodwill arising from business combinations to be a matter of most significance in the current year audit of the consolidated financial statements for the following reasons: - the judgement involved in determining the recoverable amounts of the CGUs, particularly in respect of discount rates, terminal growth rates and Revenue, applied in the forecasted cash flows, ; and - the magnitude of the goodwill balance in relation to the consolidated financial statements. Refer to the following notes to the consolidated financial statements for detail: Note 2: Goodwill and other intangible assets; Note 31.1: Critical estimates made by management, Impairment assessments of goodwill.	We assessed the reasonableness of the revenue growth rates used in the discounted cash flow analysis by engaging with management to understand the basis of the underlying assumptions used in respect of the cash flows as well as other strategic initiatives implemented. We assessed these assumptions to be reasonable. Using our internal valuation expertise, we independently recalculated the discount rates for a sample of the CGUs assessed, using inputs for comparable company of a similar size and within the same industry to test the appropriateness and reasonability of the discount rates. The calculation of the discount rates performed using our internal valuation expertise was performed on a sample of individual CGUs and the valuation principles were replicated across the remaining CGUs assessed. We applied these discount rates to our independent assessments, and it was determined that this did not change the conclusions reached from management's assessments. Using our internal valuation expertise, we independently sourced terminal growth rates which were determined based on long-term CPI. We applied these terminal growth rates to our independent assessments, and it was determined that this did not change the conclusions reached from management's assessments. For those CGUs deemed to be more sensitive to changes in the key assumptions, we independently performed sensitivity analysis on the impairment calculations to determine the extent by which certain key assumptions (revenue growth rate, terminal growth rate and discount rate) needed to change to trigger an impairment. We compared the output of our sensitivity analysis to management's impairment results for disclosure purposes and found no exceptions.



Other information

The directors are responsible for the other information. The other information comprises the information included in the document(s) titled "Altron Annual Financial Statements for the year ended 28 February 2026", which include(s) the Directors' Report, the Audit and Risk Committee Report and the Company Secretary's certificate as required by the Companies Act of South Africa, which we obtained prior to the date of this auditor's report, and the document(s) titled "Altron Integrated Annual Report 2026", which is expected to be made available to us after that date. The other information does not include the consolidated or the separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the consolidated and separate financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

Audit tenure

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that PricewaterhouseCoopers Inc. has been the auditor of Altron Limited for 8 year(s).

A handwritten signature in black ink that reads "PricewaterhouseCoopers Inc." in a cursive script.

PricewaterhouseCoopers Inc.
Director: KJ Dikana
Registered Auditor
Johannesburg, South Africa
24 May 2026

Summary of material accounting policies

Altron Limited (the Company) is a South African registered company and is listed on the Johannesburg Stock Exchange (JSE). The consolidated annual financial statements of the Company for the year ended 28 February 2026 comprise the Company and its subsidiaries and the Group's interests in associates and joint arrangements (together referred to as the "group"). Where reference is made to the Group in the accounting policies, it should be interpreted as referring to the Company where the context requires, unless otherwise noted.

STATEMENT OF COMPLIANCE

The consolidated and separate annual financial statements have been prepared in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IASB) and Interpretations as issued by the IFRS Interpretations Committee (IFRIC), and comply with the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee (APC), Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council (FRSC), the JSE Listings Requirements and the requirements of the South African Companies Act, No. 71 of 2008 (the Companies Act). The consolidated and separate annual financial statements were authorised for issue by the Group's board of directors on 21 May 2026 and released on 25 May 2026.

BASIS OF PREPARATION

Amounts are rounded to the nearest million apart from the separate annual financial statements, earnings per share and the related number of shares (note 26), number of ordinary shares (note 13), share-based payments (note 13), directors' and prescribed officers' remuneration (note 20) and related party interests (note 30). Amounts in the separate annual financial statements of Altron Limited are rounded to the nearest thousand.

The consolidated financial statements are presented in South African Rands, which is the Group's functional and presentation currency, on a historical-cost basis, except for the following assets and liabilities which are stated at fair value:

- » Financial assets at fair value through other comprehensive income;
- » Financial assets at fair value through profit or loss (including derivative financial instruments);
- » Defined benefit assets; and
- » Share-based payment recharge arrangement asset.

Non-current assets and disposal groups held-for-sale are measured at the lower of their carrying amount and fair value less costs to sell.

The defined benefit asset is measured as the fair value of plan assets less the present value of the defined benefit obligation, limited as explained in note 18.

GOING CONCERN

The Group's budgets and cash flow projections, taking account of reasonably possible changes in operating performance, show that the Group should be able to operate into the foreseeable future within its existing borrowing facilities.

At the time of approval of these consolidated and separate financial statements for the year ended 28 February 2026, the Board has a reasonable expectation that the Group and Company have sufficient resources to continue in operation for the foreseeable future, which is not less than 12 months from the date of approval of these consolidated and separate financial statements. The financial statements therefore have been prepared on a going concern basis.

CRITICAL JUDGEMENTS AND ESTIMATES

The preparation of financial statements in conformity with IFRS Accounting Standards requires management to make judgements, estimates and assumptions that may affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period, or in the period of the revision and future periods if the revision affects both current and future periods. Judgements made by management in the application of IFRS Accounting Standards that have a significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are disclosed in note 31.

Summary of material accounting policies continued

PRINCIPAL ACCOUNTING POLICIES

The principal accounting policies applied in the preparation of these financial statements are set out on the following pages and in the related notes to the Group financial statements. Where applicable, the principal accounting policies applied in the Company financial statements are consistent with those applied in the Group financial statements. The principal accounting policies applied are consistent with those adopted in the prior year.

The Group's accounting policies have been applied consistently by all group entities.

NEW AND AMENDED ACCOUNTING PRONOUNCEMENTS ADOPTED BY THE GROUP

As disclosed in note 32, a number of new pronouncements and/or interpretations were effective from 1 March 2025. These had no material effect on the Group or Company's financial statements.

NEW AND AMENDED ACCOUNTING PRONOUNCEMENTS ISSUED BUT NOT EFFECTIVE

As disclosed in note 32, certain new standards, amendments and interpretations to existing standards have been published that are mandatory for the Group's accounting periods beginning on or after 1 March 2026, or later periods, but which the Group has not early adopted.

BUSINESS COMBINATIONS

SUBSIDIARIES

Subsidiaries are those entities controlled by the Group. The Group controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power to direct the relevant activities of the investee. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

Losses and each component of comprehensive income applicable to non-controlling interests in a subsidiary are allocated to the non-controlling interests even if doing so causes the non-controlling interests to have a deficit balance.

On loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interest and other components of equity related to the subsidiary. Any surplus or deficit arising from the loss of control is recognised in profit or loss.

When the Group ceases to have control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related non-controlling interests. Any retained interest in the entity is remeasured to its fair value. Any resulting gain or loss is recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income (OCI) in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in OCI are reclassified to profit or loss. The remaining other reserves related to that entity are transferred to retained earnings.

On an acquisition-by-acquisition basis, non-controlling interests in the acquiree may initially be measured either at fair value, or at the non-controlling shareholders' proportion of the net identifiable assets acquired and liabilities and contingent liabilities assumed.

Non-controlling shareholders are treated as equity participants; therefore, all acquisitions of non-controlling interests or disposals by the Group of its interests in subsidiaries, where control is maintained subsequent to the disposal, are accounted for as equity transactions. Consequently, any increases or decreases in ownership interests in subsidiaries, without a change in control, are recognised as equity transactions in the consolidated financial statements.

Accordingly, any premiums or discounts on purchases of equity instruments from, or sales of equity instruments to, non-controlling interests are recognised directly in the equity of the parent shareholder.

Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the Group's equity. Total comprehensive income is attributed to non-controlling interests even if this results in the non-controlling interests having a deficit balance.

ASSOCIATES

An associate is an entity in which the Group holds an equity interest, over which the Group has significant influence and is neither a subsidiary nor an interest in a joint arrangement. Significant influence is the power to participate in the financial and operating policy decisions of the associate but is not control or joint control over those policies. The equity method of accounting for associates is adopted in the consolidated financial statements. The consolidated financial statements include the Group's share of profit or loss and other comprehensive income of associates from the date significant influence commences until the date significant influence ceases.

Goodwill included in the carrying amount of an investment in associate is not tested for impairment annually, but rather, the entire investment is tested for impairment if there is an indication of impairment.

Summary of material accounting policies continued

Dividends received from associates are deducted from the carrying value of the investment. Where the Group's share of losses of an associate exceeds the carrying amount of the associate, the associate is carried at no value. Additional losses are only recognised to the extent that the Group has an obligation or has made payments on behalf of the associate.

JOINT ARRANGEMENTS

Joint arrangements are those entities in respect of which there is a contractual agreement whereby the Group and one or more other parties undertake an economic activity, which is subject to joint control.

A joint venture is an arrangement in which the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations.

The Group's participation in joint ventures is accounted for using the equity method. They are recognised initially at cost, which includes transaction costs. Subsequent to initial recognition, the consolidated financial statements include the Group's share of profits or losses and other comprehensive income of the equity-accounted investees, until the date on which joint control ceases.

If the ownership interest in a joint venture or an associate is reduced but joint control or significant influence is retained, only a proportionate share of the amounts previously recognised in other comprehensive income are reclassified to profit or loss where appropriate.

When the Group ceases to equity account for an investment because of a loss of joint control or significant influence, any retained interest in the entity is remeasured to its fair value, with the change in carrying amount recognised in other comprehensive income. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as a financial asset.

ELIMINATIONS ON CONSOLIDATION

Intra-group balances and transactions, and any unrealised gains or losses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with associates and joint ventures are eliminated to the extent of the Group's interest in these enterprises. Unrealised losses on transactions with associates and joint ventures are eliminated in the same way as unrealised gains, except that they are only eliminated to the extent that there is no evidence of impairment.

BUSINESS COMBINATION

All business combinations are accounted for by applying the "acquisition method", as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date as:

- » the fair value of consideration transferred; plus
- » the recognised amount of any non-controlling interests in the acquiree; plus
- » if the business combination is achieved in stages, the fair value of the existing equity interest in the acquiree; less
- » the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised directly in profit or loss as a bargain purchase.

Subsequent to acquisition, goodwill is measured at cost less accumulated impairment losses and is allocated to cash-generating units and tested annually for impairment. Goodwill is not amortised and impairment losses recognised are not subsequently reversed.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit and loss. Any deferred purchase or contingent consideration payable is recognised at fair value at the acquisition date. Subsequent changes in the fair value of contingent consideration are recognised in profit or loss.

Costs related to the acquisition, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Cash-generating units represent the business operations from which the goodwill was originally generated. On disposal of a subsidiary, joint arrangement or associate, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

When the Group ceases to have control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related non-controlling interests. Any retained interest in the entity is remeasured to its fair value. Any resulting gain or loss is recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss. The remaining other reserves related to that entity are transferred to retained earnings, with the exception of share-based payment reserve which is reclassified to profit or loss.

Summary of material accounting policies continued

CAPITAL ITEMS

Capital items are items of income and expense relating to the impairment, subsequent reversal of impairment and disposal gains or losses of property, plant and equipment, right-of-use assets, investments, subsidiaries, intangible assets and capital items written off. Capital items also includes the following:

- » Reclassification of foreign currency translation reserve to profit or loss.
- » Net gains and losses arising from partial or full termination of leases (refer to accounting policy relating to leases).
- » Gains or losses recognised on the measurement to fair value, less costs to sell of held-for-sale disposal groups.
- » Impairment losses arising from the derecognition of right-of-use assets and subsequent recognition of net investment finance lease assets.
- » Goodwill impairments.
- » Any costs associated with the disposal of investments and subsidiaries.
- » Any write-offs of vendor loan receivables.

EMPLOYEE BENEFITS

SHORT-TERM EMPLOYEE BENEFITS

The cost of all short-term employee benefits is recognised in profit or loss during the period in which the employee renders the related service.

The accruals for employee entitlements to salaries, performance bonuses and annual leave represent the amounts which the Group has a present obligation to pay as a result of the employee's services provided. The accruals have been calculated at undiscounted amounts based on current salary levels.

RETIREMENT BENEFITS

The majority of the Group's employees are members of the Altron Group Pension Fund and Altron Group Provident Fund. The Altron Group Provident Fund was consolidated into the Altron Group Pension Fund on 1 March 2023. All Provident Fund members transferred to the Pension Fund. The Altron Group Pension Fund is treated as a defined benefit plan.

After the acquisition of subsidiaries, certain employees remained members of their previous funds. While a number of these are defined benefit plans, these industry-managed retirement benefit schemes are dealt with as defined contribution plans as there is insufficient information available to apply defined benefit accounting.

The Group's contributions to defined contribution funds are recognised in profit or loss in the year they are incurred.

DEFINED BENEFIT OBLIGATIONS

Certain members of the Altron Group Pension Fund who were members prior to 1 September 1996 are entitled to a minimum benefit equal to the previously provided defined benefit pension.

The Group's net obligation in respect of the defined-benefit plan is calculated separately by estimating the amounts of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. The fair value of any plan assets is deducted. The discount rate is the yield at the reporting date on suitable corporate bonds that have maturity dates approximating the terms of the Group's obligations and are denominated in rand as the benefits are expected to be paid in rand. Actuarial valuations are conducted annually. The calculation is performed by qualified actuaries using the projected unit credit method.

When the calculation results in a benefit to the Group, the recognised asset is limited to the present value of economic benefits available in the form of any refunds available from the plan or reductions in contributions to the plan. In terms of the Fund rules, refunds to the Group are limited to amounts credited or to be credited to the employer surplus account in accordance with the Pension Funds Act, No. 24 of 1956, as amended, where this does not exceed the total of any unrecognised past service costs. In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements that apply to any plan in the Group. An economic benefit is available to the Group if it is realisable during the life of the plan, or on settlement of the plan liabilities.

The defined-benefit cost recognised in profit or loss includes the current service cost and the net interest on the net defined-benefit liability/ asset. Net interest expense/ income is the interest on the net defined-benefit liability/ asset at the beginning of the period, calculated using the discount rate used in the previous year's actuarial valuation. The interest considers changes in the net defined-benefit liability/asset during the year as a result of contributions and benefit payments.

The defined-benefit cost relating to actuarial gains and losses, which includes the return on plan assets (excluding the interest income recognised in profit or loss) and the effect of the asset ceiling (excluding the interest cost) and any changes in actuarial assumptions or experience adjustments, are remeasurements and are recognised immediately in other comprehensive income.

Summary of material accounting policies continued

FINANCIAL INSTRUMENTS

ACCOUNTING FOR FINANCIAL INSTRUMENTS

Financial instruments comprise investments in equity, loans receivable, trade and other receivables (excluding prepayments), preference share investments, cash and cash equivalents, restricted cash, non-current and current loans payable, bank overdrafts, derivatives and trade and other payables.

RECOGNITION

Financial assets and liabilities are recognised in the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instruments. Financial assets are recognised on the date the Group commits to purchase the instruments (trade date accounting).

Financial assets are classified as current if expected to be realised or settled within 12 months from the reporting date; if not, they are classified as non-current. Financial liabilities are classified as non-current if the Group has an unconditional right to defer payment for more than 12 months from the reporting date.

CLASSIFICATION

The Group classifies financial assets on initial recognition as measured at amortised cost, fair value through other comprehensive income (FVOCI) or fair value through profit or loss (FVTPL) based on the Group's business model for managing the financial asset and the cash flow characteristics of the financial asset.

Financial assets are classified as follows:

- » Equity instruments at FVOCI – The assets are not held for trading and the Group has irrevocably elected on initial recognition to recognise the asset as at FVOCI.
- » FVTPL – Instruments that are measured at FVTPL, include preference shares and forward exchange contracts.
- » Amortised cost – These assets are held within a business model with the objective to collect the contractual cash flows; and the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal outstanding.

Financial assets are not reclassified unless the Group changes its business model. In rare circumstances where the Group does change its business model; reclassifications are done prospectively from the date that the Group changes its business model. No reclassifications occurred during the current or prior financial years.

Financial liabilities are classified and measured at amortised cost except for those derivative liabilities and contingent consideration obligations that are measured at FVTPL.

MEASUREMENT ON INITIAL RECOGNITION

All financial assets and financial liabilities are initially measured at fair value, including transaction costs, except for those classified as FVTPL which are initially measured at fair value excluding transaction costs. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities classified as FVTPL are recognised immediately in profit or loss.

SUBSEQUENT MEASUREMENT: FINANCIAL ASSETS

Subsequent to initial recognition, financial assets are measured as described below:

- » FVTPL – These financial assets are subsequently measured at fair value and changes therein (including any interest or dividend income) are recognised in profit or loss.
- » Amortised cost – These financial assets are subsequently measured at amortised cost using the effective interest method, less impairment losses. Interest income, foreign exchange gains and losses and impairments are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
- » Equity investments at FVOCI – These financial assets are subsequently measured at fair value. Dividends are recognised in profit or loss when the right to receive payment is established. Other net gains and losses are recognised in other comprehensive income (OCI). On derecognition, gains and losses accumulated in OCI are not reclassified to profit or loss.

SUBSEQUENT MEASUREMENT: FINANCIAL LIABILITIES

All financial liabilities, excluding derivative liabilities and contingent consideration obligations are subsequently measured at amortised cost using the effective interest method. Derivative liabilities are subsequently measured at fair value with changes therein recognised in profit or loss.

DERECOGNITION

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognised when the obligations specified in the contracts are discharged, cancelled or expire. On derecognition of a financial asset or liability, any difference between the carrying amount extinguished and the consideration paid or received is recognised in profit or loss.

Summary of material accounting policies continued

IMPAIRMENT

The Group calculates its allowance for credit losses based on expected credit losses (ECLs) for financial assets measured at amortised cost, debt instruments measured at FVOCI and contract assets.

ECLs are a probability weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (the difference between the cash flows due to the Group in accordance with the contract and the cash flows that the Group expects to receive). ECLs are discounted at the original effective interest rate (EIR) of the financial asset and are presented as part of net impairment losses on financial and other assets in the statement of comprehensive income.

For trade receivables, the Group applies the simplified approach permitted by IFRS 9, which requires expected lifetime credit losses to be recognised from initial recognition of the receivables. Two methods are applied by the Group's operations namely the provision matrix and the simplified PD/LGD/EAD approach. The method selected is dependent upon the availability of information relating to historic losses. Refer to note 11 for further details.

The Group calculates its ECLs on other financial assets at amortised cost and at fair value through other comprehensive income using the general model. The Group applies the 12-month ECL model on these instruments as there has not been an increase in the credit risk associated with the counterparty. The inputs used in the calculation of the ECLs are based on published indexes which incorporate an element of forward-looking information.

TRADE AND OTHER RECEIVABLES

Trade receivables are amounts due from customers for merchandise sold or services rendered in the ordinary course of business and are accounted for at amortised cost. Prepayments and other receivables are stated at their nominal values. All transactions are initially measured at transaction price and subsequently at amortised cost.

TRADE AND OTHER PAYABLES

Trade payables, sundry creditors and accrued expenses are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. They are accounted for in accordance with the accounting policy for financial liabilities as included above. Other payables are stated at their nominal values.

CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise cash balances, call deposits and cash floats. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purposes of the cash flow statement. All transactions are initially measured at transaction price and subsequently at nominal values.

Cash and cash equivalents exclude cash in transit unprocessed at the reporting date.

DERIVATIVE FINANCIAL INSTRUMENTS

The Group uses derivative financial instruments to manage its exposure to foreign exchange risks arising from operational, financing and investment activities. The Group does not hold or issue derivative financial instruments for trading purposes.

Transactions are initially measured at its fair value. Subsequent to initial recognition, derivatives are measured at fair value through profit or loss. Fair value in relation to foreign exchange contracts entered into is determined by comparing the contracted forward rate to the present value of the current forward rate of an equivalent contract with the same maturity date. However, where derivatives qualify for hedge accounting, recognition of any resultant gain or loss depends on the nature of the item being hedged.

LEASES

LESSEE

The Group leases various properties, motor vehicles, high sites and fibre strands. Lease agreements are typically entered into for fixed periods, but may have extension options included. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Summary of material accounting policies continued

Assets and liabilities arising from a lease are initially measured at the net present value of the minimum lease payments. The net present value of the minimum lease payments is calculated as follows:

- » fixed payments, less any lease incentives receivable;
- » variable lease payments that are based on an index or a rate;
- » amounts expected to be payable by the lessee under residual value guarantees;
- » the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and
- » payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the interest rate implicit in the lease. Where this rate cannot be determined, the Group's incremental borrowing rate is used. Generally, the Group uses its incremental borrowing rate as the discount rate. The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes adjustments, where necessary, to reflect changes in financing conditions.

The lease liability is subsequently increased by the interest cost on the lease liability and decreased by lease payments made. Interest costs are charged to the statement of profit or loss and other comprehensive income over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments or a change in the assessment of an option to extend the lease term.

Right-of-use assets are measured at cost comprising the following:

- » the net present value of the minimum lease payments;
- » any lease payments made at or before the commencement date less any lease incentives received;
- » any initial direct costs; and
- » restoration costs.

The right-of-use assets are subsequently measured at cost less any accumulated depreciation and impairment losses and adjusted for certain remeasurements of the lease liability. The right-of-use assets are depreciated over the shorter of the assets' useful lives and the lease terms on a straight-line basis.

The Group presents right-of-use assets as well as lease liabilities separately in the statement of financial position and is disclosed in note 3.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with an expected lease term of 12 months or less. Low-value assets comprise IT-equipment and small items of office furniture.

Lease and non-lease components

A number of lease contracts include both lease and non-lease components. The Group has not elected the practical expedient to account for non-lease components as part of its lease liabilities and right-of-use assets. Therefore, non-lease components are accounted for as operating expenses and are recognised in profit or loss as they are incurred. The Group allocates the consideration in the contract to each lease and non-lease component based on their relative stand-alone selling prices.

JUDGEMENTS APPLIED IN RECOGNISING LEASES

Certain lease contracts include an option to renew the lease for a further period or allow for an earlier termination date. The majority of these contracts allow for extension or earlier termination to be determined by the Group and not the lessor. The Group applies judgement in assessing whether extension or termination options will be exercised, and these options are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). In performing its assessment, management will consider all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option aligned with the Group's business plan and future outlook. The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

Portfolio leases

Where possible, high sites and fibre strands have been grouped on a portfolio basis based on contracts with similar characteristics. Management have used hindsight as well as budgets and forecasts to determine an average renewal period for portfolios identified. A single discount rate was also applied.

Summary of material accounting policies continued

LESSOR

The Group enters into finance lease arrangements with customers in respect of the sales of certain goods. The Group acts as the lessor in these arrangements with the customers. A finance lease asset is recognised when substantially all of the risks and rewards of ownership have transferred to the customer and a sale of the good is recognised. Finance leases are capitalised at inception of the lease agreement at the lower of the fair value of the goods transferred or the present value of the future minimum lease payments.

Each lease payment received from the customer is allocated between the finance lease asset and finance lease interest income. The finance lease interest income is recognised in profit or loss (as revenue other than from contracts with customers) over the lease period to produce a constant periodic rate of interest on the remaining balance of the asset for each period.

SUB-LESSOR

The Group is a sub-lessor (intermediate lessor) of its right-of-use assets (note 3).

The Group classifies the sublease as a finance lease, or an operating lease as follows:

- » If the head lease is a short-term lease that the entity, as a lessee, has accounted for, then the sublease is classified as an operating lease.
- » Otherwise, the sublease is classified by reference to the right-of-use asset arising from the head lease, rather than by reference to the underlying asset. A lease is classified as a finance lease if it transfers substantially all the risks and rewards from the right-of-use asset resulting from the head lease; otherwise, it is classified as an operating lease.

For subleases classified as finance leases, the Group derecognises the right-of-use asset relating to the head lease that it transfers to the sublessee and recognises the net investment in the sublease; any difference between the right-of-use asset and the net investment in the finance sublease is recognised in profit or loss. At the commencement date, the net investment in the finance lease is measured at an amount equal to the present value of the lease payments for the underlying right-of-use assets during the lease term. The Group recognises finance income over the lease term, based on a pattern reflecting a constant period rate of return on the lessor's net investment in the lease.

For subleases classified as operating leases, the Group recognises the lease income from operating leases on a straight-line basis over the lease term. The respective leased asset is included in the statement of financial position based on its nature.

FINANCE INCOME AND EXPENSE

Finance income comprises interest income on funds invested and dividend income. Interest income is recognised as it accrues in profit or loss, using the effective interest method.

Dividend income is recognised in profit or loss on the date that the Group's right to receive payment is established, which in the case of listed securities is the ex-dividend date.

Finance expenses comprise interest expenses on borrowings, costs of funding such as loan commitment fees, unwinding of the discount on provisions and fair value adjustments on contingent consideration, that are recognised in profit or loss.

FOREIGN CURRENCIES

FOREIGN CURRENCY TRANSACTIONS

Foreign currency transactions are converted to the respective functional currencies of group entities at the rates of exchange ruling at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the exchange rates ruling at that date. Gains or losses on translation are recognised in profit or loss.

Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of the transaction.

FOREIGN OPERATIONS

The assets and liabilities of all foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated to South African rand at foreign exchange rates ruling at the reporting date. All reserves at acquisition of the respective foreign operations are translated to South African rand using the ruling rates at the acquisition date. All other reserves are translated to South African rand at yearly average rates which approximate the foreign exchange rates ruling at the dates of the transactions. The revenues and expenses of foreign operations are translated to South African rand at yearly average rates which approximate the foreign exchange rates ruling at the dates of the transactions.

Foreign exchange differences arising on translation are recognised directly in other comprehensive income and presented in the foreign currency translation reserve in equity. The foreign currency translation reserve applicable to a foreign operation is released to profit or loss as a capital item upon disposal or closure of that foreign operation (i.e. loss of control).

Summary of material accounting policies continued

IMPAIRMENT OF NON-FINANCIAL ASSETS

The carrying amounts of the Group's non-financial assets, other than inventories, non-current assets held for sale and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If there is an indication that an asset may be impaired, its recoverable amount is estimated.

The recoverable amount is the higher of an asset's fair value less costs of disposal and its value-in-use.

For goodwill, intangible assets that have an indefinite useful life and intangible assets that are not yet available for use, the recoverable amount is estimated annually and whenever there is an indication that the asset may be impaired.

In assessing an asset's fair value less costs of disposal, the expected future cash flows from the asset are discounted to their present value using a post-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in profit or loss whenever the carrying amount of an asset exceeds its recoverable amount.

For an asset that does not generate cash inflows that are largely independent of those from other assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

An impairment loss is recognised in profit or loss whenever the carrying amount of the cash-generating unit exceeds its recoverable amount. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the cash-generating units and then, to reduce the carrying amount of other assets in the unit, on a *pro rata* basis.

An impairment loss in respect of an equity-accounted investee is measured by comparing the recoverable amount of the investment with its carrying amount. An impairment loss is recognised in profit or loss, and it is reversed if there has been a favourable change in the estimates used to determine the recoverable amount.

REVERSAL OF IMPAIRMENT OF NON-FINANCIAL ASSETS

A previously recognised impairment loss is reversed in profit or loss if there is an indication that the impairment loss no longer exists and the recoverable amount increases as a result of a change in the estimates used to determine the recoverable amount, but not to an amount higher than the carrying amount that would have been determined (net of depreciation or amortisation) had no impairment loss been recognised in prior years. An impairment loss in respect of goodwill is however not reversed.

INTANGIBLE ASSETS

GOODWILL

Refer to "Business Combinations".

RESEARCH AND DEVELOPMENT

Expenditure on research activities, undertaken with the prospect of gaining new scientific or technical knowledge and understanding, is recognised as an expense as incurred.

Expenditure on development activities, whereby research findings are applied to a plan or design for the production of new or substantially improved products and processes, is capitalised only if development costs can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset.

The expenditure capitalised includes the cost of materials, direct labour and an appropriate proportion of overheads. Capitalised development expenditure is measured at cost less accumulated amortisation and impairment losses. Other development expenditure is recognised as an expense as incurred.

OTHER INTANGIBLE ASSETS

Other intangible assets that are acquired by the Group, which have finite useful lives, are measured at cost less accumulated amortisation and impairment losses.

SUBSEQUENT EXPENDITURE

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Summary of material accounting policies continued

AMORTISATION

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets from the date they are available for use unless such lives are indefinite, the asset is not yet ready for use or represents goodwill.

The estimated useful lives for the current and comparative periods are as follows:

- » Customer relationships 1 to 10 years;
- » Trade names, designs, patents and trademarks 3 to 10 years;
- » Distribution rights indefinite life; and
- » Proprietary software and licence agreements 2 to 5 years.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

INVENTORIES

Inventories are measured at the lower of cost and net realisable value taking into account market conditions and technological changes. Cost is determined on the first-in first-out and weighted average cost methods. Work and contracts in progress and finished goods include direct costs and an appropriate portion of attributable overhead expenditure based on normal production capacity. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

NON-CURRENT ASSETS HELD-FOR-SALE AND DISCONTINUED OPERATIONS

Non-current assets, or disposal groups comprising assets and liabilities, are classified as held-for-sale if it is highly probable that they will be recovered primarily through a sale, not through continuing use. Upon initial classification as held-for-sale, non-current assets and disposal groups are recognised at the lower of its carrying amount and fair value less costs to sell. Any impairment loss on a disposal group is allocated first to goodwill, and then to the remaining assets on a *pro rata* basis. Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss as capital items.

Intangible assets and property, plant and equipment, once classified as held for sale, are not amortised or depreciated.

Equity accounting of equity accounted investments also ceases once classified as held for sale.

A discontinued operation is a component of the Group's business, the operations and cash flows of which can be clearly distinguished from the rest of the Group, and which is abandoned or disposed of or is classified as held-for-sale and which represents a separate major line of business or geographical area of operation and is part of a single co-ordinated plan to dispose of such a line of business or area of operations.

Classification as a discontinued operation occurs when disposed of or when the operation is classified as held for sale and meets one of the criteria as outlined above. When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented, as if the operation has been discontinued from the start of the comparative period.

When the Group ceases to classify a non-current asset or disposal group as held-for-sale, the asset or disposal group is reclassified back to its appropriate category in the statement of financial position. The asset is measured at the lower of:

- » its carrying amount before the asset was classified as held for sale, adjusted for any depreciation, amortisation or revaluations that would have been recognised had the asset not been classified as held for sale; and
- » its recoverable amount at the date of the subsequent decision not to sell.

Any adjustment arising from this remeasurement is recognised in profit or loss in the period the reclassification occurs.

PROPERTY, PLANT AND EQUIPMENT

OWNED ASSETS

Property, plant and equipment is measured at cost less accumulated depreciation and impairment losses. When components of an item of property, plant and equipment have different useful lives, those components are accounted for as separate items of property, plant and equipment.

Cost includes expenditure that is directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Summary of material accounting policies continued

SUBSEQUENT COSTS

The Group recognises in the carrying amount of an item of property, plant and equipment the cost of replacing part of such an item when the cost is incurred, if it is probable that future economic benefits embodied within the item will flow to the Group and the cost of such item can be measured reliably. The carrying amount of the replaced item of property, plant and equipment is derecognised. All other costs are recognised in profit or loss as an expense when incurred.

CAPITAL WORK-IN-PROGRESS

Capital work-in-progress is stated at cost and not depreciated. Depreciation on capital work-in-progress commences when the assets are ready for their intended use in accordance with the category to which it relates.

DEPRECIATION

Depreciation is recognised in profit or loss for each category of assets on a straight-line basis over their expected useful lives up to their respective estimated residual values. Land is not depreciated.

The estimated useful lives for the current and comparative periods are as follows:

- » Buildings 20 to 50 years;
- » Leasehold improvements (included in land and buildings) shorter of lease period or useful life of asset;
- » Plant and machinery 3 to 20 years;
- » Motor vehicles 4 to 8 years;
- » Furniture and equipment 5 to 20 years; and
- » IT equipment 2 to 8 years.

The depreciation methods, useful lives and residual values are reassessed annually and adjusted if appropriate. Gains and losses arising on the disposal of property, plant and equipment are included as capital items in profit or loss.

CAPITAL RENTAL DEVICES

Capital rental devices include hardware and fitment cost attributable to customer service agreements and are measured at cost less accumulated depreciation and impairment losses. Capital rental devices for customers whose contracts are cancelled are written off and included in capital items within profit and loss.

Depreciation is recognised in profit or loss on a straight-line basis over their expected useful lives up to their respective estimated residual values. The average useful life of capital rental devices has been assessed at 3 to 5 years.

PROVISIONS

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, for which it is probable that an outflow of economic benefits will be required to settle the obligation, and where a reliable estimate can be made of the amount of the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax discount rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Provisions are not recognised for future operating losses. The increase in the provision due to the passage of time is recognised as interest expense.

WARRANTIES AND FAULT RECTIFICATION

A provision for warranties and fault rectification is recognised when the underlying products or services are sold. The provision is based on historical warranty and fault rectification data, claims made and a weighting of all possible outcomes against their associated probabilities.

ONEROUS CONTRACTS

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting the obligations under the contract.

The provision is measured at the present value of the lower of the expected costs of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

Summary of material accounting policies continued

SHARE-BASED PAYMENT TRANSACTIONS

EQUITY SETTLED

The fair value of share options granted to employees is recognised as an employee expense with a corresponding increase in equity. The fair value is measured at grant date and expensed over the period during which the employees are required to provide services in order to become unconditionally entitled to the equity instruments. Shares issued to settle options exercised are transferred out of share-based payment reserve into share capital at the market value on exercise date.

The fair value of the instruments granted is measured using generally accepted valuation techniques, considering the terms and conditions upon which the instruments are granted. For share-based payment awards with non-vesting conditions, the grant-date fair value of the share-based payment is measured to reflect such conditions and there is no true-up for differences between expected and actual outcomes.

GROUP SHARE-BASED PAYMENT TRANSACTIONS

Transactions in which a parent grants rights to its equity instruments directly to the employees of its subsidiaries are classified as equity settled in the financial statements of the subsidiary, as it receives the benefit of the services rendered and has no obligation to settle the award.

The subsidiary recognises the services acquired with the share-based payment as an expense and recognises a corresponding increase in equity for the capital contribution from the parent for those services acquired. The parent recognises in equity the equity-settled share-based payment and recognises a corresponding increase in the investment in subsidiary.

GROUP SHARE-BASED PAYMENT RECHARGE

A recharge arrangement exists whereby the subsidiary is required to fund the difference between the exercise price of the share options and the market price of the share at the time of exercising the option. The recharge arrangement is accounted for separately from the underlying equity-settled share-based payment upon initial recognition, as follows:

- » The subsidiary recognises a recharge liability and a corresponding adjustment against equity for the capital contribution recognised in respect of the share-based payment.
- » The parent recognises a recharge asset and a corresponding adjustment to the carrying amount of the investment in the subsidiary.

Subsequent to initial recognition, the recharge arrangement is re-measured at fair value at each subsequent reporting date to the extent vested, until settlement date. Where the recharge amount recognised is greater than the initial capital contribution recognised by the subsidiary in respect of the share-based payment, the excess is recognised as a net capital distribution to the parent.

The amount in excess of the capital contribution recognised as an increase in the investment in subsidiary is deferred and recognised as a reduction of the cost of the investment by the parent when settled by the subsidiary.

REVENUE FROM CONTRACTS WITH CUSTOMERS

Revenue is recognised based on the completion of performance obligations and an assessment of when control is transferred to the customer. The following indicators are used by the Group in determining when control has passed to the customer:

- » the Group has a right to payment for the product or service;
- » the customer has legal title to the product;
- » the Group has transferred physical possession of the product to the customer;
- » the customer has the significant risk and rewards of ownership of the product; and
- » the customer has accepted the product.

The Group principally generates revenue from providing the following goods and services:

- » project-related revenue;
- » sale of goods and related services (which include the Group's vehicle tracking, fleet management and telematics business within Netstar);
- » maintenance, support and outsource services;
- » training and skills development;
- » software, cloud services and related licenses, including software assurance services;
- » software application and development; and
- » switching and other transactional services.

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. The Group recognises revenue when it transfers control over a product or services to a customer.

Summary of material accounting policies continued

Contracts are assessed individually to determine whether the products and services are distinct, i.e. the product or service is separately identifiable from the other promises in the contract with the customer and whether the customer can benefit from the goods or services either on its own or together with other resources that are readily available. The consideration is allocated between the goods and services in a contract based on management's best estimate of the standalone selling prices of the respective goods and/or services.

Where the Group sells goods and related services to customers and these goods and services are not distinct, i.e. not separately identifiable, the contracts are treated as a single performance obligation (i.e. in the Group's Netstar business where devices and services are bundled but not considered distinct). However, where the goods and services are distinct, and the customer can benefit from the goods and services either on its own or together with other resources that are readily available, then the goods and services are treated as separate performance obligations.

The Group allocates the transaction price to each performance obligation identified in a contract on the basis of the relative stand-alone selling prices of each distinct good or service. The stand-alone selling price is the price at which the Group would sell the promised good or service separately to a customer. If a stand-alone selling price is not directly observable it is determined by using expected cost to complete the promised good or service and adding an appropriate margin to it.

When a contract results in payments received from customers in advance of fulfilling the performance obligation, a contract liability is recognised, similarly, when the performance obligation has been fulfilled and the customers have not been invoiced, a contract asset is recognised.

The Group evaluates the following control indicators amongst others when determining whether it is acting as a principal or agent in transactions with customers and recording revenue on a gross, or net, basis:

- » the Group is primarily responsible for fulfilling the promise to provide the specified goods or service;
- » the Group has inventory risk before the specified good or service has been transferred to a customer or after transfer of control to the customer; and
- » the Group has discretion in establishing the price for the specified good or service.

PROJECT-RELATED REVENUE

The Group provides a service of integrating goods or services into a bundle of goods or services that represents the combined output for which a customer has contracted, where the goods or services modify or are modified by other goods or services or are considered to be highly interdependent or interrelated. In these contracts the goods and services are therefore not separately identifiable and not seen as separate performance obligations. The Group recognises revenue over time based on the input method, i.e. costs incurred as a percentage of total estimated costs to completion. Judgement is applied in determining the estimated costs to complete. The Group recognises contract assets and contract liabilities on these contracts depending on the billing milestones identified in these contracts.

SALES OF GOODS AND RELATED SERVICES

The Group sells a range of goods to its customers. The Group recognises revenue when control is transferred to the customer, being when the customer accepts delivery of the goods, at a point in time. General payment terms are 30–90 days from invoice date.

In addition, the Group sells goods to customers with related services included. Depending on the nature of the contract, the Group applies its judgement to conclude whether the goods and services should be treated as a single performance obligation or as two or more separate performance obligations.

Where the Group sells goods and related services to customers and these goods and services are not distinct, i.e. not separately identifiable, the contracts are treated as a single performance obligation (i.e. in the Group's Netstar business where devices and services are bundled, but not considered distinct). However, where the goods and services are distinct, i.e. separately identifiable, and the customer can benefit from the goods and services either on its own or together with other resources that are readily available, then the goods and services are treated as separate performance obligations.

The related services sold, when considered to be distinct, are recognised over time when the services are rendered to the customer, excluding specific services below.

The Group introduces customers to third party service providers and performs billing and other administrative activities on behalf of such third parties, but does not control delivery of such professional services or the setting of prices for them. The Group recognises such third-party professional services on an agent basis at a point a time when the services have been rendered.

The Group provides software asset management services to its customers which include provision of software licences, in-house hosting and managed services in the form of insight reports. Such services are provided to the customers as a bundle, where the Group operates as a principal responsible for delivery of such services with revenue recognised over the term of the contract with the customer on a straight-line basis.

Summary of material accounting policies continued

MAINTENANCE, SUPPORT AND OUTSOURCE SERVICES

The Group provides a range of maintenance, support and outsource services to customers. The Group recognises revenue on these contracts over time on a straight-line basis as the services are rendered. The general payment terms are 30 - 90 days from invoice date. Contract assets are recognised when the services are rendered to the customers and contract liabilities are recognised when the customer pays for the services upfront over the period of the contract.

TRAINING AND SKILLS MANAGEMENT

The Group provides a range of training and skills management services to its customers. The Group recognises the revenue over time.

Revenue recognised over time is based on contracts entered with customers that cover a specific period during which the training and skills management services are provided. The revenue recognised over time is measured in accordance with the duration of the contract as the costs are incurred on a straight-line basis.

SOFTWARE, CLOUD SERVICES, LICENCES AND SOFTWARE ASSURANCE PRODUCTS

The Group sells a range of software licences to its customers. The Group acts as a principal in certain contracts and as an agent in other contracts, depending on the nature and scope of the contract. Management has applied judgement in determining whether it acts as an agent or as a principal in these contracts.

The Group provides a range of cloud-related services to its customers which provide customers with access to software in the cloud that enhances office productivity, provides security or assists in collaboration. The Group recognises revenue relating to cloud sales as an agent at a point in time when the product is transferred to the customer.

Where the Group sells on-premise software licences with the right to updates and such updates are not considered critical to the functionality of the software, the Group considers that such licences include two performance obligations:

- » a licence to the current version of the software product, which is recognised on a principal basis at a point in time; and
- » an entitlement to future updates, which is recognised on a principal basis over time on a straight-line basis as this is the Group's best estimate as to how these revenues are earned.

Where updates are considered critical to the functionality of the software, and such updates can only be delivered by the vendor, the Group has concluded that the sale of the on-premise licences with the right to critical updates are considered to be one performance obligation and that the Group acts as an agent for such software sales, resulting in revenue being recognised at a point in time.

SUBSCRIPTION LICENCES AND ASSURANCE PRODUCTS

Where the Group sells subscription licences together with assurance products, the Group applied its judgement to conclude that these arrangements consist of two performance obligations, being a subscription licence to the current version of the software product as well as software assurance. This conclusion is based on the fact that the Group controls delivery of such licences to its customers, and that the customer can benefit from the two performance obligations separately, with the performance obligations being separately identifiable. The Group recognises revenue on subscription licences on a principal basis at a point in time and revenue from the current software version is recognised on a principal basis over time on a straight-line basis. In order to estimate the proportion of the total invoice value to be allocated between the "licence" performance obligation and the "entitlement to updates" performance obligation, the Group considers the degree of homogeneity of products and solutions across different vendors and estimates such allocation based on a sample of price plans for various products and solutions.

POST-SALE SUPPORT

The Group considers the value of basic post-sale support in relation to licences sold to be trivial. This conclusion was reached with reference to the fair value of such post-sale support delivered by the Group and by the Group's vendors on its behalf. The Group doesn't separate out the basic post-sale support performance obligation from the original licence sale as it is not material. The Group recognises revenue from enhanced post-sale support provided by vendors on an agent basis as the Group does not control delivery of such post-sale support.

MATERIAL CUSTOMER RIGHTS

The Group considers that the value of material customer rights originating from various customer price bands under certain software programmes, and material rights related to software prices fixed at the beginning of certain long-term customer contracts, to be trivial. The Group's assessment is based on historical statistics of customer price band changes, which are normally linked to the volume of annual software spend and remain consistent year-on-year, as well as an assessment of the cancellation terms in the customer contracts, which allow the Group and the customers to cancel such contracts at short notice without penalty. The Group does not recognise such material customer rights on the grounds of materiality.

Summary of material accounting policies continued

LONG-TERM, TRIPARTITE CONTRACTS BETWEEN THE GROUP, ITS CUSTOMERS AND VENDORS

The Group holds certain long-term tripartite contracts with split billing between the Group, its customers and vendors. Such contracts are non-cancellable between the customers and the vendor and allow a change of reseller by the customer, typically on 90 days' notice. The Group considers that it controls delivery of the software licences within such tripartite contracts and, therefore, records revenue on a principal basis. Revenue is recognised in annual instalments based on the ability of customers to change resellers, which means that where revenue is recognised at a higher amount than in annual instalments (e.g. recognised in full on day one of the contract), this would create a more than remote risk of material revenue reversal.

The Group considers the non-cancellable contract between the customer and the vendor in such tripartite arrangements as a form of long-term procurement commitment by the Group with the vendor, which is conditional on the customers' continuation of its contract with the Group. In the case of there being no change in reseller by the customer, such commitment will be enforced by the vendor on the Group, rather than directly by the vendor on the customer.

SOFTWARE APPLICATION AND DEVELOPMENT

The Group sells software application and development to its customers based on requirements set by the customers in each respective contract. The Group recognises the revenue on a principal basis over time using the input method, i.e. costs incurred as a percentage of the total estimated costs.

When a contract results in payment received from customers in advance of fulfilling the performance obligation, a contract liability is recognised, similarly, when the performance obligation has been fulfilled and the customers have not been invoiced, a contract asset is recognised.

SWITCHING AND OTHER TRANSACTIONAL SERVICES

The Group provides a range of switching and other transactional services to its customers. The Group recognises revenue over time based on management's judgment.

Revenue recognised over time is based on the contracts with customers that cover a specific period over which these services need to be rendered. The revenue recognised over time is measured in accordance with the duration of the contract as the costs are incurred on a straight-line basis.

When a contract results in payment received from customers in advance of fulfilling the performance obligation, a contract liability is recognised, similarly, when the performance obligation has been fulfilled and the customers have not been invoiced, a contract asset is recognised.

CAPITALISATION OF COSTS INCURRED TO OBTAIN CONTRACTS

The Group incurs certain costs to obtain contracts with customers. These costs include fitment, agents' commissions and other costs directly attributable to the negotiation and conclusion of customer service contracts. The capitalised costs are amortised on a systematic basis over the average customer life and the amortisation relating to the hardware and fitment is included in amortisation in profit or loss.

The Group has elected to apply the practical expedient whereby the incremental costs of obtaining contracts are recognised as materials and services consumed in profit or loss, as and when these costs are incurred, if the amortisation period of the assets that the Group otherwise would have recognised is 12 months or less.

Costs incurred to obtain contracts are assessed for impairment in terms of IAS 36 Impairment of Assets when there is an indicator of impairment.

Certain short-term contracts (12 months or less) allow for revenue to be recognised in annual instalments based on the ability of customers to change resellers. The practical expedient is therefore applied to directly linked sales commissions and other related costs incurred of obtaining these contracts. These costs are recognised in profit or loss, as and when they are incurred.

CAPITALISATION OF COSTS INCURRED TO FULFIL CONTRACTS

The Group incurs certain costs to fulfil contracts with customers. These costs are directly attributable to the completion of a contract, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future and are expected to be recovered, however, the performance obligation to recognise the revenue has not yet been met. The capitalised costs are recognised in profit or loss when the Group has satisfied the related performance obligation in the contract with the customer, which is usually within 12 months after the end of the reporting period.

Summary of material accounting policies continued

JUDGEMENTS APPLIED IN RECOGNISING REVENUE FROM CONTRACTS WITH CUSTOMERS

The Group applied the requirements of IFRS 15 Revenue from Contracts with Customers in the current year. The Group applied judgement in recognising revenue on certain revenue streams as set out below:

SALES OF GOODS AND RELATED SERVICES

The Group enters into contracts with customers which include goods that are delivered to the customer and an ongoing service relating to the goods for a specific period as set out in the contracts. The Group has applied its judgement and views these arrangements, in some instances, as a single performance obligation that needs to be met as the goods and services are not separately identifiable and the customer cannot benefit from either the goods or the services separately. The revenue on these contracts is recognised over time using the input method, i.e., costs incurred as a percentage of total expected costs.

SOFTWARE, CLOUD SERVICES AND RELATED LICENCES, INCLUDING SOFTWARE ASSURANCE SERVICES

The Group provides cloud-related services to its customers. The Group has applied judgement to determine whether it acts as an agent or principal in these arrangements in accordance with the principles of IFRS 15. One of the judgements made is whether control passes to the Group prior to passing to the customer. The Group concluded that control does not pass and as a result it acts as an agent in these arrangements as the vendor has the primary obligation to fulfil the services to the customers.

Included in the software assurance services provided by the Group, software and related licences are sold with the ability to access the latest updates from the vendor. The Group applies judgement to determine whether the access to the updates is a separate performance obligation by assessing if the third-party delivered updates are critical to the core functionality of the software.

Where the Group sells on-premise software licences with the right to updates and such updates are not critical to the functionality of the software, the Group applied judgement to conclude that these arrangements consist of two performance obligations, being a licence to the current version of the software product and an entitlement to future updates. This conclusion is based on the fact that the Group controls delivery of such licences to the customers, the performance obligations being separately identifiable, and that the customer can benefit from the two performance obligations separately. In order to estimate the proportion of the total invoice value to be allocated between the “licence” performance obligation and the “entitlement to updates” performance obligation, the Group considers the degree of homogeneity of products and solutions across different vendors and estimates such allocation based on a sample of price plans for various products and solutions.

Where the Group has concluded that the upgrades are critical to the functionality of the software, and such updates can only be delivered by the vendor, the Group acts as agent for such software sales as the vendor has the primary obligation to fulfil the services to the customers.

SHARE CAPITAL

A ORDINARY SHARES

A ordinary shares are classified as equity. Incremental costs directly attributable to the issue of A ordinary shares and share options are recognised as a deduction from equity, net of any tax effects. Dividends on A ordinary shares are classified as equity and are recognised as distributions within equity.

N ORDINARY SHARES

N ordinary shares are classified as equity as these are non-redeemable and any dividends are discretionary or are redeemable, but only at the Company's option.

HIGH VOTING SHARES

The high voting share is classified as equity and held at no par value.

DIVIDENDS

Dividends declared to the Company's shareholders are recognised as a liability in the Group's financial statements in the period in which the dividends are approved by the Company's directors.

REPURCHASE OF SHARE CAPITAL

When share capital recognised as equity is repurchased, the amount of the consideration paid, including directly attributable costs, is recognised as a deduction from equity.

Repurchased shares held by subsidiaries are classified as treasury shares and presented as a deduction from total equity.

RETURN OF CAPITAL

The return of capital represents a reduction of capital of the A ordinary shares as a result of a distribution by the Company for the benefit of shareholders. The reduction in share capital has been determined by the Group to reduce the contributed tax capital of the Company as defined by the South African Income Tax Act, 1962.

Summary of material accounting policies continued

TAXATION

Income tax expense comprises current and deferred tax. Income tax expense is recognised in profit or loss, except to the extent that it relates to items recognised directly in equity or in other comprehensive income, in which case the income tax expense is also recognised in equity or other comprehensive income, respectively.

CURRENT TAX

Current tax comprises tax payable calculated based on the expected taxable income for the year, using the tax rates enacted or substantively enacted at the reporting date, and any adjustment of tax payable for previous years.

DEFERRED TAX

Deferred tax is recognised based on temporary differences.

Temporary differences are differences between the carrying amounts of assets and liabilities for financial reporting purposes and their tax values.

Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries and joint arrangements to the extent that the Group is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future.

The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities using tax rates enacted or substantively enacted at the reporting date. The effect on deferred tax of any changes in tax rates is recognised in profit or loss, except to the extent that it relates to items previously charged or credited directly to equity or recognised directly in other comprehensive income in which case the income tax expense is also recognised in equity or other comprehensive income, respectively.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax losses and deductible temporary differences can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

In the event that the applicable taxation rate(s) is/are changed from those applied in the comparative financial reporting year, the opening balance of the deferred taxation liability shall be adjusted for the change in the taxation rate(s).

Deferred taxation assets and liabilities are offset if there is a legally enforceable right to offset current taxation liabilities and assets and they relate to income taxation levied by the same authority on the same taxable entity, or on different taxation entities, but they intend to settle the current taxation liabilities and assets on a net basis or their taxation assets and liabilities will be realised simultaneously.

DIVIDENDS WITHHOLDING TAX

The Group withholds dividends tax on behalf of its shareholders at a rate of 20% on dividends declared. Amounts withheld are not recognised as part of the Group's tax charge but rather as part of the dividend paid recognised directly in equity.

Where withholding tax is withheld on dividends received, the dividend is recognised at the gross amount with the related withholdings tax recognised as part of tax expense unless it is otherwise reimbursable in which case it is recognised as an asset.

EARNINGS PER SHARE

The Group presents basic and diluted EPS data for its A ordinary shares that are in issue.

Basic EPS is calculated by dividing the profit or loss attributable to A ordinary shareholders of the Company by the weighted average number of A ordinary share's outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of A ordinary shares outstanding for the effects of all dilutive potential A ordinary shares, which comprise share options granted to employees.

OPERATING SEGMENTS

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components.

The Group determines and presents operating segments based on the information that is internally provided to the Group's executive committee, who are the Group's Chief Operating Decision-Maker (CODM).

An operating segment's operating results are reviewed regularly by the CODM to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the CODM include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items comprise mainly corporate assets (primarily the Group's headquarters).

Summary of material accounting policies continued

EARNINGS BEFORE INTEREST, TAXATION, DEPRECIATION, AMORTISATION, CAPITAL ITEMS AND EQUITY ACCOUNTED LOSSES

The Group presents in its consolidated statement of comprehensive income earnings before interest, taxation, depreciation, amortisation, capital items and equity accounted losses. This represents the contribution by the Group from its revenue after deducting the associated employee costs and materials and services consumed and net impairment losses on financial and other assets. This also includes other income earned; and finance lease interest income that is considered to be revenue for the Group.

This excludes interest (i.e. finance income and finance expenses), taxation, depreciation, amortisation, capital items and share of equity accounted losses as defined in the accounting policies.

ACCOUNTING POLICIES APPLICABLE TO SEPARATE FINANCIAL STATEMENTS

BASIS OF PREPARATION

The separate financial statements are presented in thousands of South African rands, which is the Company's functional currency, on a historical-cost basis, except for the following assets and liabilities which are stated at fair value:

- » Defined benefit asset; and
- » Share-based payment recharge arrangement asset.

INVESTMENT IN SUBSIDIARIES

Investment in subsidiaries are carried at cost less accumulated impairments. Except for the accounting policies listed above, all accounting policies are in accordance with the consolidated financial statements' accounting policies.

DIVIDENDS RECEIVED BY THE COMPANY

The Company recognises dividends received and dividends in specie in profit or loss (as revenue not from contracts with customers) on the date that the Company's right to receive payment is established.

DIVIDENDS PAID BY THE COMPANY

The Company discloses dividends paid in the cash flow statement as part of operating activities.

Consolidated balance sheet

at 28 February 2026

		GROUP	
R millions	Notes	28 February 2026	28 February 2025
ASSETS			
<i>Non-current assets</i>		4 764	4 519
Property, plant and equipment	1	288	304
Goodwill and other intangible assets	2	1 582	1 547
Right-of-use assets	3	286	410
Equity accounted investments	4	2	2
Financial assets at amortised cost	5	92	–
Financial assets at fair value through other comprehensive income	5	21	21
Finance lease assets	6	379	357
Contract costs capitalised	7	947	780
Capital rental devices	8	841	580
Net defined benefit asset	18	172	368
Deferred taxation	9	154	150
<i>Current assets</i>		4 884	4 593
Inventories	10	832	822
Trade and other receivables	11	2 480	2 379
Financial assets at fair value through profit or loss	11	1	9
Contract assets	19	166	96
Taxation receivable		54	75
Cash and cash equivalents	12	1 351	1 017
		4 884	4 398
Assets classified as held-for-sale	40	–	195
Total assets		9 648	9 112
EQUITY AND LIABILITIES			
<i>Total equity</i>		4 569	4 184
Share capital and share premium	13	1 104	1 066
Retained earnings		6 297	5 956
Other reserves	14	(3 007)	(3 007)
Attributable to Altron shareholders		4 394	4 015
Non-controlling interests	39	175	169
<i>Non-current liabilities</i>		2 194	1 612
Loans	15	701	217
Contract liabilities	19	709	597
Lease liabilities	3	634	733
Deferred taxation	9	150	65
<i>Current liabilities</i>		2 885	3 316
Loans	15	209	623
Lease liabilities	3	122	95
Bank overdrafts	12	4	24
Provisions	16	14	9
Trade and other payables	17	1 694	1 791
Financial liabilities at fair value through profit or loss	17	21	2
Contract liabilities	19	673	607
Taxation payable		148	116
		2 885	3 267
Liabilities classified as held-for-sale	40	–	49
Total equity and liabilities		9 648	9 112

Consolidated statement of comprehensive income

for the year ended 28 February 2026

R millions	Notes	28 February 2026	28 February 2025
CONTINUING OPERATIONS			
Revenue	19	9 637	9 588
Other income	20	80	107
Operating costs		(7 715)	(7 873)
Material and services consumed	20	(4 866)	(5 248)
Net impairment gains/(losses) on financial assets	11	16	(27)
Employees' remuneration	20	(2 865)	(2 598)
Earnings before interest, taxation, depreciation, amortisation, capital items and equity accounted profits (EBITDA before capital items and equity accounted profits)		2 002	1 822
Depreciation and amortisation	20	(784)	(850)
Operating profit before capital items		1 218	972
Capital items	21	(146)	(120)
Operating profit		1 072	852
Finance income	22	84	90
Finance expense	23	(129)	(177)
Net foreign exchange gains and losses relating to cash and cash equivalents		(11)	(2)
Share of profit of equity accounted investees, net of taxation	24	3	3
Profit before taxation		1 019	766
Taxation	25	(203)	(150)
Profit for the year from continuing operations		816	616
DISCONTINUED OPERATIONS			
Revenue	19	89	343
Other income	20	–	16
Operating costs		(127)	(514)
Material and services consumed	20	(92)	(420)
Net impairment losses on financial assets	11	–	(17)
Employees' remuneration	20	(35)	(77)
Earnings before interest, taxation, depreciation, amortisation and capital items (EBITDA before capital items)		(38)	(155)
Depreciation and amortisation	20	–	–
Operating loss before capital items		(38)	(155)
Capital items	21	(39)	(33)
Operating loss		(77)	(188)
Finance income	22	2	3
Finance expense	23	–	(1)
Foreign exchange gains and losses relating to cash and cash equivalents		(1)	1
Loss before taxation		(76)	(185)
Taxation	25	1	(16)
Loss for the year from discontinued operations		(75)	(201)
Net profit for the year from total operations		741	415

Consolidated statement of comprehensive income continued

for the year ended 28 February 2026

R millions	Notes	28 February 2026	28 February 2025	
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Remeasurement of net defined benefit asset	18	(6)	(30)	
Items that are or may be reclassified subsequently to profit or loss				
Foreign currency translation differences in respect of foreign operations*		(15)	(30)	
Other comprehensive (loss)/income for the year, net of taxation		(21)	(60)	
Total comprehensive income for the year from total operations		720	355	
Net profit/(loss) attributable to:				
Non-controlling interests		14	25	
Non-controlling interests from continuing operations		14	25	
Non-controlling interests from discontinued operations		–	–	
Altron equity holders		727	390	
Altron equity holders from continuing operations		802	591	
Altron equity holders from discontinued operations		(75)	(201)	
Net profit for the year from total operations		741	415	
Total comprehensive profit attributable to:				
Non-controlling interests		14	25	
Non-controlling interests from continuing operations		14	25	
Non-controlling interests from discontinued operations		–	–	
Altron equity holders		706	330	
Altron equity holders from continuing operations		781	531	
Altron equity holders from discontinued operations		(75)	(201)	
Total comprehensive profit/(loss) for the year from total operations		720	355	
* The component of other comprehensive income is not subject to tax				
Basic earnings per share from continuing operations		(cents) 26	210	156
Diluted earnings per share from continuing operations		(cents) 26	203	151
Basic loss per share from discontinued operations		(cents) 26	(20)	(53)
Diluted loss per share from discontinued operations		(cents) 26	(19)	(51)
Basic earnings/(loss) per share from total operations		(cents) 26	190	103
Diluted earnings/(loss) per share from total operations		(cents) 26	184	100

Consolidated statement of changes in equity

for the year ended 28 February 2026

Attributable to Altron shareholders

R millions	Notes	Share capital and premium (note 13)	Treasury shares (note 13)	Foreign currency translation reserve (note 14)	Premium/ discount on non-controlling equity transactions (note 14)	Cash flow hedging reserve (note 14)	Share-based payments reserve (note 14)	Statutory reserves (note 14)	Revaluation reserve (note 14)	Retained earnings	Total	Non-controlling interests	Total equity
Balance at 1 March 2024		1 241	(222)	135	(3 654)	(1)	223	–	354	5 855	3 931	146	4 077
Total comprehensive loss for the year													
<i>Income for the year</i>		–	–	–	–	–	–	–	–	390	390	25	415
<i>Other comprehensive loss</i>													
Foreign currency translation differences in respect of foreign operations		–	–	(30)	–	–	–	–	–	–	(30)	–	(30)
Remeasurement on net defined benefit asset		–	–	–	–	–	–	–	(30)	–	(30)	–	(30)
<i>Other comprehensive income</i>		–	–	(30)	–	–	–	–	(30)	–	(60)	–	(60)
Total comprehensive income for the year		–	–	(30)	–	–	–	–	(30)	390	330	25	355
Transactions with owners, recorded directly in equity													
<i>Contributions by and distributions to owners</i>													
Dividends to equity holders		–	–	–	–	–	–	–	–	(277)	(277)	(8)	(285)
Issue of share capital	13	18	–	–	–	–	(18)	–	–	–	–	–	–
Treasury shares acquired	13	–	29	–	–	–	(19)	–	–	(6)	4	–	4
Share-based payment transactions	13	–	–	–	–	–	33	–	–	–	33	–	33
Total contributions by and distributions to owners		18	29	–	–	–	(4)	–	–	(283)	(240)	(8)	(248)
Changes in ownership interests in subsidiaries		–	–	–	–	–	–	–	–	(6)	(6)	6	–
Total changes in ownership interests in subsidiaries		–	–	–	–	–	–	–	–	(6)	(6)	6	–
Transactions with owners, recorded directly in equity		18	29	–	–	–	(4)	–	–	(289)	(246)	(2)	(248)

Consolidated statement of changes in equity continued

for the year ended 28 February 2026

Attributable to Altron shareholders

R millions	Notes	Share capital and premium (note 13)	Treasury shares (note 13)	Foreign currency translation reserve (note 14)	Premium/discount on non-controlling equity transactions (note 14)	Cash flow hedging reserve (note 14)	Share-based payments reserve (note 14)	Statutory reserves (note 14)	Revaluation reserve (note 14)	Retained earnings	Total	Non-controlling interests	Total equity
Balance at 28 February 2025		1 259	(193)	105	(3 654)	(1)	219	-	324	5 956	4 015	169	4 184
Total comprehensive loss for the year		-	-	-	-	-	-	-	-	727	727	14	741
Income for the year													
Other comprehensive income													
Foreign currency translation differences in respect of foreign operations		-	-	(15)	-	-	-	-	-	-	(15)	-	(15)
Remeasurement on net defined benefit asset		-	-	-	-	-	-	-	(6)	-	(6)	-	(6)
Other comprehensive income		-	-	(15)	-	-	-	-	(6)	-	(21)	-	(21)
Total comprehensive income for the year		-	-	(15)	-	-	-	-	(6)	727	706	14	720
Transfer of reserves													
Transfer to distributable reserves (Disposal of Operations)		-	-	-	-	-	(6)	-	-	-	(6)	-	(6)
Transactions with owners, recorded directly in equity													
Contributions by and distributions to owners													
Dividends to equity holders		-	-	-	-	-	-	-	-	(374)	(374)	(20)	(394)
Issue of share capital	13	38	-	-	-	-	(35)	-	-	-	3	-	3
Share-based payment transactions	13	-	-	-	-	-	62	-	-	-	62	-	62
Total contributions by and distributions to owners		38	-	-	-	-	27	-	-	(374)	(309)	(20)	(329)
Changes in ownership interests in subsidiaries													
Total changes in ownership interests in subsidiaries		-	-	-	-	-	-	-	-	(12)	(12)	12	-
Total changes in ownership interests in subsidiaries													
Transactions with owners, recorded directly in equity		38	-	-	-	-	27	-	-	(386)	(321)	(8)	(329)
Balance at 28 February 2026		1 297	(193)	90	(3 654)	(1)	240	-	318	6 297	4 394	175	4 569

Dividends per share 120 cents (special), 72 cents (final) and 48 cents (interim) (2025: 50 cents (final) and 40 cents (interim)) (Note 28).

Consolidated statement of cash flows

for the year ended 28 February 2026

		GROUP	
R millions	Notes	28 February 2026	28 February 2025
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	33	1 944	1 736
Interest received	22	167	146
Interest paid	23	(195)	(210)
Dividends received from equity accounted investees and other investments	34	7	7
Taxation paid	35	(183)	(105)
Tax refund	35	95	1
Dividends paid, including to non-controlling interests		(394)	(285)
Net cash inflow from operating activities		1 441	1 290
CASH FLOWS FROM INVESTING ACTIVITIES			
Net proceeds on the disposal of subsidiaries and businesses net of cash	36, 42	(40)	3
Proceeds on disposal of property, plant and equipment and intangible assets	37	6	9
Acquisition of intangible assets	2	(138)	(146)
Acquisitions of property, plant and equipment	1	(91)	(110)
Acquisition of capital rental devices	8	(571)	(452)
Cash outflow from other investing activities	38	(4)	(16)
Cash inflow from other investing activities	38	19	18
Net cash outflow from investing activities		(819)	(694)
CASH FLOWS USED IN FINANCING ACTIVITIES			
Loans received	38	500	425
Loans repaid	38	(425)	(426)
Lease payments	38	(111)	(100)
Settlement of rental finance liabilities*	38	(222)	(130)
Net cash outflow from financing activities		(258)	(231)
NET INCREASE IN CASH AND CASH EQUIVALENTS		364	365
Net cash and cash equivalents at the beginning of the year		993	627
Effect of exchange rate fluctuations on cash held		(13)	(5)
Movement in cash classified as held-for-sale		3	6
NET CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	12	1 347	993

* Principal lease payments in relation to rental finance lease liabilities.

Notes to the consolidated annual financial statements

for the year ended 28 February 2026

1 PROPERTY, PLANT AND EQUIPMENT

R millions	28 February 2026			28 February 2025		
	Cost	Accumulated depreciation and impairment losses	Carrying value	Cost	Accumulated depreciation and impairment losses	Carrying value
Land, buildings and leasehold improvements	195	(132)	63	200	(122)	78
Plant and machinery	57	(24)	33	119	(86)	33
Motor vehicles, furniture and equipment	143	(82)	61	153	(79)	74
IT equipment	433	(303)	130	442	(324)	118
Capital Work In Progress	1	–	1	1	–	1
Total before items classified as held-for-sale	829	(541)	288	915	(611)	304
Classified as held-for-sale (note 40)	–	–	–	(91)	91	–
Total	829	(541)	288	824	(520)	304

Reconciliation of property, plant and equipment

R millions	Land, buildings and leasehold improvements	Plant and machinery	Motor vehicles, furniture and equipment	IT equipment	Capital work in progress	Total
Balance at 1 March 2024	141	47	57	131	–	376
Additions at cost	2	10	36	51	11	110
Depreciation for the year	(11)	(6)	(18)	(52)	–	(87)
Impairments	(62)	(18)	–	(10)	–	(90)
Disposals of property, plant and equipment	–	–	(5)	(2)	–	(7)
Reclassifications/transfers	8	–	4	–	(10)	2
Balance at 28 February 2025	78	33	74	118	1	304
Additions at cost	6	6	14	64	1	91
Depreciation for the year	(8)	(6)	(22)	(49)	–	(85)
Impairments	(13)	–	(2)	(2)	–	(17)
Disposals of property, plant and equipment	–	–	(3)	(1)	–	(4)
Transfer to intangible assets	–	–	–	–	(1)	(1)
Balance at 28 February 2026	63	33	61	130	1	288

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

1 PROPERTY, PLANT AND EQUIPMENT (continued)

Impairment tests and key assumptions

R1 million (2025: R28 million) of the impairment loss recognised relates to impairments on held-for-sale disposal groups, R1 million (2025: Rnil million) relates to impairments on various other IT equipment, R13 million (2025: R62 million) relates to impairments on leasehold improvements and R2 million (2025: Rnil million) relates to furniture written off during the consolidation of premises.

R millions	28 February 2026	28 February 2025
Encumbered assets		
None of the assets were encumbered as security		
Assets under construction		
Included in the cost of capital work in progress are the following categories of assets:		
Plant and machinery	–	1
Assets under construction	–	1

Useful lives

Useful lives are reflected under accounting policies.

Management has assessed the appropriateness of the useful lives and residual values of property, plant and equipment and there have not been any changes from the prior year.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

2 GOODWILL AND OTHER INTANGIBLE ASSETS

R millions	Goodwill	Customer relationships	Trade names, designs, patents and trademarks	Distribution rights license agreements and proprietary software*	Total
Cost					
Balance at 1 March 2024	1 405	281	243	573	2 502
Additions at cost	–	–	12	134	146
Disposals	–	–	–	(1)	(1)
Intangible assets written off	–	–	–	(67)	(67)
Transfers to property, plant and equipment	–	–	–	(2)	(2)
Transfers to rental devices	–	–	–	(2)	(2)
Translation of foreign operations	(15)	(2)	(2)	(12)	(31)
Balance at 28 February 2025	1 390	279	253	623	2 545
Additions at cost	–	–	4	134	138
Intangible assets written off	–	–	(43)	(70)	(113)
Transfers to property, plant and equipment	–	–	–	1	1
Translation of foreign operations	(7)	(1)	(1)	(5)	(14)
Balance at 28 February 2026	1 383	278	213	683	2 557
Accumulated amortisation and impairment losses					
Balance at 1 March 2024	186	228	213	340	967
Amortisation for the year	–	26	9	72	107
Intangible assets written off	–	–	–	(67)	(67)
Translation of foreign operations	–	3	(2)	(10)	(9)
Balance at 28 February 2025	186	257	220	335	998
Amortisation for the year	–	8	4	75	87
Impairment (losses)/reversals	–	(1)	11	–	10
Intangible assets written off	–	–	(43)	(70)	(113)
Translation of foreign operations	–	(1)	(1)	(5)	(7)
Balance at 28 February 2026	186	263	191	335	975
Carrying amount at 28 February 2025	1 204	22	33	288	1 547
Carrying amount at 28 February 2026	1 197	15	22	348	1 582

* This includes capitalised development costs with a carrying value of R251 million (2025: R238 million).

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

2 GOODWILL AND OTHER INTANGIBLE ASSETS (continued)

Distribution rights

The Group owns the sole rights to distribute Xerox equipment in various African territories. It paid an initial fee to acquire these distribution rights which are governed by an agreement that has been signed into perpetuity. These distribution rights are held within Altron Document Solution (ADS).

Determination of the recoverable amount:

The carrying value of indefinite useful life intangible assets, intangible assets not yet available for use and goodwill are tested annually for impairment or more frequently if there is an indication of impairment. The Group applies the fair value less costs of disposal method in assessing CGUs for impairment.

A discounted cash flow valuation model is used to calculate fair value less costs of disposal. Future expected cash flows are based on management forecasts, typically over a five-year period, and thereafter a reasonable rate of growth is applied based on current market conditions.

For the purpose of impairment assessments of goodwill, the goodwill balance is allocated to the operating units which represent the lowest level within the Group at which the goodwill is monitored for internal management purposes.

Events and circumstances leading to the recognition of impairment losses:

Summary of goodwill and assumptions applied

A summary of the goodwill per cash-generating unit as well as assumptions applied for impairment assessment purposes is presented below per country where the CGUs are situated:

28 February 2026		Revenue	Long-term		Goodwill
R millions	Geographic region	growth rate %	growth rate %	Discount rate %	carrying amount
Altron Digital Business	South Africa	6.7	5.0	11.6	379
Altron Healthtech	South Africa	7.0	5.0	11.6	82
Altron Fintech	South Africa	9.0	5.0	11.6	65
Netstar	South Africa	5.9	5.0	11.6	29
Netstar Australia	Australia	12.8	5.0	10.2	196
Altron Security	South Africa	12.0	5.0	11.6	446
Carrying amount at 28 February 2026					1 197

28 February 2025		Revenue	Long-term		Goodwill
R millions	Geographic region	growth rate %*	growth rate %	Discount rate %	carrying amount
Altron Digital Business	South Africa	7.8	5.0	12.2	379
Altron HealthTech	South Africa	8.3	5.0	12.2	82
Altron FinTech	South Africa	6.3	5.0	12.2	65
Netstar	South Africa	6.2	5.0	12.2	29
Netstar Australia	Australia	9.2	5.0	10.2	203
Altron Security	South Africa	12.6	5.0	12.2	446
Carrying amount at 28 February 2025					1 204

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

2 GOODWILL AND OTHER INTANGIBLE ASSETS (continued)

Fair value less costs of disposal

The recoverable amounts of the respective CGUs were determined based on fair value less costs of disposal calculations. The calculations mainly use forecast cash flow projections based on financial budgets that were approved by the Board of Directors. The forecast period used in the calculation covers a five-year (2025: five-year) period, with year one being the approved budgeted year. A terminal value is calculated into perpetuity using long-term growth rates. The growth rates used are in line with industry norms.

The following key assumptions were used for the fair value less costs of disposal calculations:

Revenue growth rates

Annually compounded revenue growth rates were applied for the discrete period. The growth rates were consistent with publicly available information relating to long-term average growth rates for each of the markets in which the respective CGU operated. The average growth rate used, ranged between 5.9% and 12.8% (2025: 6.2% - 12.6%).

Terminal growth rates

Steady long term growth rates were applied beyond the approved budgets period. The average growth rate used, was 5% (2025: 5%).

Discount rates

Discount rates derived from the weighted average cost of capital were applied to the projected cash flows of each CGU, adjusted for risks specific to the markets in which they operate. The discount rates used ranged between 10.2% and 11.6% (2025: 10.2% - 12.2%).

Sensitivities

A specific change in the revenue growth rate, terminal growth rate or discount rate of the below CGU would result in the recoverable amount being equal to the carrying amount of the net assets of the CGU:

	Absolute change to revenue growth rate %	Absolute change to terminal growth rate %	Absolute change to discount rate %
28 February 2026			
Netstar Australia	12.87	6.60	3.65
	Absolute change to revenue growth rate %	Absolute change to terminal growth rate %	Absolute change to discount rate %
28 February 2025			
Netstar Australia	6.26	3.66	2.38

The CGUs not included in the table above have sufficient headroom and are not sensitive to a change in the assumptions applied.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

3 RIGHT-OF-USE ASSETS

R millions	28 February 2026			28 February 2025		
	Cost	Accumulated depreciation and impairment losses	Carrying value	Cost	Accumulated depreciation and impairment losses	Carrying value
Buildings	541	(338)	203	709	(386)	323
Motor vehicles	112	(63)	49	97	(56)	41
High sites	105	(79)	26	105	(66)	39
Office machinery and equipment	15	(7)	8	11	(4)	7
Total before items classified as held-for-sale	773	(487)	286	922	(512)	410
Classified as held-for-sale (note 40)	–	–	–	(46)	46	–
Total	773	(487)	286	876	(466)	410

Reconciliation of right-of-use assets

R millions	Buildings	Motor vehicles	High Sites	Office Machinery and equipment	Total
Balance at 1 March 2024	363	29	11	7	410
Additions to right-of-use assets	32	24	–	4	60
Depreciation for the year	(63)	(17)	(11)	(4)	(95)
Impairment losses	(11)	–	–	–	(11)
Lease modifications and terminations	2	5	39	–	46
Balance at 28 February 2025	323	41	39	7	410
Additions to right-of-use assets	11	29	–	5	45
Depreciation for the year	(58)	(21)	(13)	(4)	(96)
Impairment losses	(12)	–	–	–	(12)
Lease modifications and terminations	(61)	–	–	–	(61)
Balance at 28 February 2026	203	49	26	8	286

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

3 RIGHT-OF-USE ASSETS (continued)

Group as a lessor

Impairment tests and key assumptions

An impairment loss of R11 million (2025: R5 million) resulted from an assessment of the carrying value of the warehouse in Linbro Park that is sub-leased. The impairment loss in the prior year resulted from an assessment of the carrying value of the held-for-sale operations, compared to the fair value less costs to sell (note 40). These fair values are considered to be level 3 items in the fair value hierarchy.

Previously, the Group entered into a lease agreement in relation to the Woodlands campus in order to house all operations within one location. The lease will terminate in October 2032.

During the year, various sublease agreements for the vacant office space have been entered into, resulting in the derecognition of the net right-of-use assets amounting to R61 million.

	GROUP	
	28 February 2026	28 February 2025
Lease liabilities		
Opening balance including held-for-sale	832	827
Current lease liabilities excluding balances classified as held-for-sale	95	85
Non-current lease liabilities excluding balances classified as held-for-sale	733	741
	828	826
Current lease liabilities classified as held-for-sale	4	1
	4	1
Leases entered into	43	59
Repaid (including interest and capital)	(174)	(163)
Interest (note 23)	63	63
Disposal of operations (note 42)	(3)	–
Lease modifications and terminations	(5)	46
Total lease liabilities	756	832
Less lease liabilities classified as held-for-sale (note 40)	–	(4)
Total lease liabilities excluding classified as held-for-sale	756	828
Balance at year end	756	828
Current lease liabilities excluding balances classified as held-for-sale	122	95
Non-current lease liabilities excluding balances classified as held-for-sale	634	733
Included in the statement of profit or loss:		
Expense relating to short-term leases and leases of low-value assets that are not shown above are included in materials and services consumed	16	24

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

4 EQUITY-ACCOUNTED INVESTMENTS

R millions	GROUP	
	28 February 2026	28 February 2025
Interest in joint ventures	1	1
Interests in associates	1	1
	2	2

Refer to note 39.4 and 39.3 for detailed disclosures on the interest in joint ventures and associates respectively.

5 OTHER NON-CURRENT RECEIVABLES

R millions	GROUP	
	28 February 2026	28 February 2025
Non-current financial assets at amortised cost		
Loan to Technologies Acceptances Receivables Proprietary Limited (TAR)*	132	138
Loan to Sentiv Proprietary Limited (previously Altron Nexus Proprietary Limited)**	47	–
Bridging finance loans to vendors***	111	–
	290	138
Less current portion (note 11)	(198)	(138)
	92	–
Non-current financial assets at fair value through other comprehensive income		
Preference share investment in Technologies Acceptances Receivables Proprietary Limited (TAR)*	21	21
	21	21

* Refer to note 39.5 for detailed disclosures

** The loan is secured with a notarial bond and bears interest at the official repurchase rate plus one percent and the capital is repayable by 28 February 2030.

*** The loans are unsecured and bear interest between the prime and prime plus 7.25% and the capital is repayable by 31 October 2027.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

5 OTHER NON-CURRENT RECEIVABLES (continued)

Exposure to credit risks

All of the Group's non-current financial assets at amortised cost and FVOCI are considered to have credit risk, and the loss allowance recognised during the period was therefore limited to 12 months expected credit losses. The Group considers a financial instrument to have low credit risk when it has a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

Non-current financial assets at amortised cost

Refer to note 39.5 for detailed disclosure on the Technologies Acceptances Receivables Proprietary Limited (TAR) participation loan. All customers are credit vetted. Credit is only extended to customers in accordance with the stipulations of the securitisation vehicle and is effectively secured by the underlying assets.

The loan is fully performing, therefore the assessed risk of expected credit loss has been determined to be low.

Based on the application of the Expected Credit Loss (ECL) model and the factors mentioned above, no ECL has been recognised on the current and non-current financial assets held at amortised cost. The ECL model incorporated the Probability of Default (PD) and the Loss Given Default (LGD) of the counterparty. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculations, based on the Group's past history, existing market conditions as well as forward looking estimates at the end of the reporting period.

Non-current financial assets at fair value through other comprehensive income

The preference share investment in Technologies Acceptances Receivables Proprietary Limited (TAR), as disclosed has been classified as an equity investment in terms of IFRS 9.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

6 FINANCE LEASE ASSETS

R millions	GROUP	
	28 February 2026	28 February 2025
Net investment in lease (note 6.1)		
Present value of minimum lease payments receivable	204	167
Less: Current portion (note 11)	(19)	(12)
	185	155
Rental finance lease assets (note 6.2)		
Present value of minimum lease payments receivable	409	413
Less: Current portion (note 11)	(211)	(201)
	198	212
Less: Impairment allowance	(4)	(10)
	194	202
Non-current finance lease receivable	379	357
Rental finance liabilities at amortised cost (included under loans)		
Present value of minimum lease payments payable (note 15)	410	415
Less: Current portion (note 15)	(209)	(198)
Non-current finance lease liability	201	217

6.1 Net investment in lease

During the year, the Group entered into two additional agreements to sublease vacant office space. The two leases have been classified as finance leases, which were determined with reference to the right-of-use assets.

The leases are for a period of 7 years. The rate implicit in the sub-lease was calculated by applying the same discount rate as determined in the head lease.

The reconciliation between the total gross investment in the lease and the net investment in the lease at the statement of financial position date is as follows:

R millions	GROUP	
	28 February 2026	28 February 2025
Present value of minimum lease payments receivable	204	167
Interest receivable	62	55
Future minimum lease payments receivable	266	222

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

6 FINANCE LEASE ASSETS (continued)

6.2 Rental finance lease assets and liabilities

Group entities sell certain document processing equipment to third parties on a finance lease basis. The lease asset arising is in turn financed by a reciprocal finance agreement with financial institutions.

The underlying loans receivable and payable are settled in monthly instalments over periods of up to seven years and bear interest at rates linked to the prime bank overdraft rate. The rates are fixed for the duration of the contract. The loans are secured by the underlying equipment sold.

Offsetting criteria has not been met and as a result, the lease asset and lease liability are presented on a gross basis (note 15).

The relationship between the gross investment in the lease at the balance sheet date, and the present value of the minimum lease payments receivable at the balance sheet date, is as follows:

R millions	28 February 2026	28 February 2025
Rental finance lease assets		
Present value of minimum lease payments receivable	409	413
Interest receivable	77	93
Future minimum lease payments receivable	486	506

The relationship between the lease liability at the balance sheet date, and the present value of the minimum lease payments payable at the balance sheet date, is as follows:

R millions	GROUP	
	28 February 2026	28 February 2025
Rental finance lease liabilities		
Present value of minimum lease payments payable	410	415
Interest payable	84	88
Future minimum lease payments payable	494	503

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

6 FINANCE LEASE ASSETS (continued)

6.3 Exposure to credit risk

R millions	GROUP	
	28 February 2026	28 February 2025
The maximum exposure to, and concentration of, credit risk for finance lease assets at the reporting date by type of customer is as follows:		
Parastatals/government	233	276
Corporates	288	234
SMEs	92	70
	613	580
The maximum exposure to, and concentration of, credit risk for finance lease assets at the reporting date by geographical region is as follows:		
South Africa	611	574
Rest of Africa	2	6
	613	580

Exposure to credit risk – net investment in lease

Lessees are subjected to stringent credit vetting. The maximum exposure to credit risk at the reporting date is the carrying amount of the finance lease receivables taking into account the risk of recoverability. The ECL model incorporated the PD and the LGD of the counterparty. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculations, based on the Group's past history, existing market conditions as well as forward-looking estimates at the end of the reporting period. The expected credit loss, was calculated to be immaterial.

Exposure to credit risk – rental finance lease assets and liabilities

All customers are subjected to stringent credit vetting. It is our experience that only large corporates and parastatal/government departments avail themselves to the document outsourcing services rendered by the Group and hence there is a reduced risk of default. Lease payments are due between 30 - 90 days after invoice.

As outlined above, finance lease assets relate to document processing equipment. The lease asset arising is in turn financed by a reciprocal lease agreement with financial institutions. The actual equipment sold provides collateral to the Group. The ECL model incorporated the PD and the LGD of the counterparty. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculations, based on the Group's past history, existing market conditions as well as forward-looking estimates at the end of the reporting period. The ECL is calculated using the provision matrix and an additional provision is raised on specific customers either experiencing financial difficulty in meeting cashflow obligations/received negative publicity in the media regarding their financial stability, or customers that didn't meet all the requirements during initial credit vetting (note 11).

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

6 FINANCE LEASE ASSETS (continued)

6.4 Exposure to liquidity risk

The following are the contractual maturities of finance lease assets and liabilities, including interest payments:

R millions	Carrying amount	Contractual cash flows	6 months or less	6 to 12 months	1 to 2 years	2 to 5 years	Greater than 5 years
28 February 2026							
Non-derivative financial assets							
Net investment in lease	204	266	17	18	37	124	70
Rental finance lease assets	409	486	137	122	146	81	–
	613	752	154	140	183	205	70
Non-derivative financial liabilities							
Rental finance lease liabilities	(410)	(494)	(136)	(128)	(148)	(82)	–
28 February 2025							
Non-derivative financial assets							
Net investment in lease	167	222	12	12	26	90	82
Rental finance lease assets	413	506	132	120	177	77	–
	580	728	144	132	203	167	82
Non-derivative financial liabilities							
Rental finance lease liabilities	(415)	(503)	(130)	(119)	(177)	(77)	–

6.5 Exposure to interest rate risk

A significant portion of finance leases are entered into on a back-to-back basis with financial institutions. The interest rate payable to financial institutions on the finance lease liability is equal to the rate being charged to the customer on the finance lease asset. These rates are automatically adjusted as and when the prime overdraft rate is amended. Accordingly, the Group does not have any significant exposure to interest rate risk as a result of these arrangements. Refer to note 29.4 for further disclosure relating to interest rate risk.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

7 CONTRACT COSTS CAPITALISED

R millions	GROUP	
	28 February 2026	28 February 2025
Costs incurred to fulfil contracts	140	131
Costs incurred to acquire contracts – closing balance	947	780
Opening balance	780	723
Costs incurred to acquire contracts during the year	489	376
Written off during the year	(10)	(8)
Impairment of contract costs capitalised	–	(1)
Amortisation of costs incurred to acquire contracts during the year	(312)	(310)
Total contract costs capitalised	1 087	911
Less: Current costs incurred to fulfil contracts (refer note 11)	(140)	(131)
Total Non-current costs capitalised	947	780

Costs incurred to fulfil contracts

This relates to costs incurred by the Group for future services to be received on certain contracts where the performance obligations have not been met and accordingly revenue could not be recognised.

Costs incurred to acquire contracts

These costs include commissions and other costs directly attributable to the conclusion of customer service contracts.

These costs are amortised on a systematic basis over the average customer life. The amortisation relating to the fitment is included in amortisation in profit or loss.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

8 CAPITAL RENTAL DEVICES

R millions	GROUP 28 February 2026			GROUP 28 February 2025		
	Cost	Accumulated depreciation and impairment losses	Carrying value	Cost	Accumulated depreciation and impairment losses	Carrying value
Capital rental devices	1 294	(453)	841	969	(389)	580

Reconciliation of capital rental devices

R millions	Capital rental devices
Balance at 1 March 2024	429
Additions to capital rental devices during the year	452
Depreciation for the year	(251)
Transfer from intangible assets	2
Translation of foreign operations	(2)
Written off during the year	(50)
Balance at 28 February 2025	580
Additions to capital rental devices during the year	571
Depreciation for the year*	(204)
Written off during the year	(106)
Balance at 28 February 2026	841

* The estimated life expectancy on certain devices was reviewed and was increased from 3 to 5 years during the year under review and this resulted in a lower than expected depreciation for the year.

The capital rental devices relate to the costs of hardware that the Group supplies to its customers as part of service agreements. These devices remain the legal property of the Group and are depreciated over the period of the contract, up to an average of three to five years. The depreciation on these items is included in depreciation and amortisation in profit or loss. Amounts written off during the year relate to rental devices no longer in use.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

9 DEFERRED TAXATION

R millions	Opening balance	Recognised in profit or loss	Translation differences and other	Closing balance
Deferred tax movements				
28 February 2026				
Wear and tear allowances	259	99	–	358
Working capital allowances	(201)	(24)	–	(225)
Provisions, accruals and other allowances	(64)	(13)	1	(76)
Tax losses	(25)	9	–	(16)
Right-of-use asset	108	(31)	–	77
Lease liability on right-of-use assets	46	9	–	55
Finance lease receivable	(221)	17	–	(204)
Impairment on loans receivable	(13)	2	–	(11)
Research and development	26	12	–	38
Deferred taxation*	(85)	80	1	(4)

* Deferred income taxes are calculated on all temporary differences under the liability method. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities using tax rates enacted or substantively enacted at the reporting date. The Group's deferred tax assets and liabilities have been adjusted by applying the 27% corporate tax rate (2025: 27%).

28 February 2025

Wear and tear allowances	244	15	–	259
Working capital allowances	(196)	(5)	–	(201)
Provisions, accruals and other allowances	(90)	26	–	(64)
Share-based payments	1	(1)	–	–
Tax losses	(77)	52	–	(25)
Right-of-use asset	107	1	–	108
Lease liability on right-of-use assets	48	(2)	–	46
Finance lease receivable	(220)	(1)	–	(221)
Impairment on loans receivable	–	(13)	–	(13)
Research and development	–	26	–	26
Deferred tax not recognised	–	–	–	–
Deferred taxation	(183)	98	–	(85)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

9 DEFERRED TAXATION (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
The above balance comprises:		
Deferred tax liabilities	150	65
Deferred tax assets	(154)	(150)
Net deferred tax asset	(4)	(85)

The Group has used judgement and determined that the deferred tax asset is recoverable based on expected future taxable profits. The use of future projections, current assessed tax loss positions and other factors are assessed, and a deferred tax asset is only recognised if sufficient evidence of recoverability exists.

Tax losses

Estimated tax losses and deductible temporary differences that are available for set-off against future taxable income

	287	1 107
Continuing operations	133	433
Discontinued operations	154	674
Recognised*	(84)	(92)
Continuing operations	(84)	(92)
Discontinued operations	–	–
Unrecognised estimated tax losses and deductible temporary differences	203	1 015
Continuing operations	49	341
Discontinued operations	154	674

Tax losses recognised are not subject to expiry

* Of the R84 million (2025: R92 million) assessed loss recognised, R84 million (2025: R92 million) is considered to be current.

10 INVENTORIES

R millions	GROUP	
	28 February 2026	28 February 2025
Raw materials	105	106
Work in progress	40	13
Finished goods	681	776
Consumable stores	6	14
	832	909
Less: Inventories classified as held-for-sale (note 40)	–	(87)
	832	822
Inventories carried at cost	788	710
Inventories carried at net realisable value	44	112
	832	822

Write downs of inventories to net realisable value of R16 million (2025: R6 million) occurred in the Group during the current financial year and are included in materials and services consumed.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES

R millions	GROUP	
	28 February 2026	28 February 2025
Financial assets at amortised cost		
Gross trade receivables	1 942	1 946
Less: Impairment allowance	(457)	(433)
Less: Other allowances	(3)	(5)
Deposits	12	19
Current portion of finance lease assets (note 6)	230	213
Less: Impairment allowance	(7)	(10)
Current portion of financial assets at amortised cost	198	138
Other receivables	91	191
Less: Impairment allowance	(46)	(42)
	1 960	2 017
Non-financial assets		
Costs incurred to fulfil contracts (note 7)	140	131
Prepayments	247	255
Other receivables	28	21
Withholding tax receivable	103	56
VAT receivable	2	3
	520	466
Trade and other receivables before items classified as held-for-sale	2 480	2 483
Less: Trade and other receivables classified as held-for-sale (note 40)	–	(104)
	2 480	2 379
Financial assets at fair value through profit or loss		
Forward exchange contracts	1	9
	2 481	2 388

Exposure to credit risk

The exposure to credit risk, excluding finance lease assets, at the reporting date was represented by:

	28 February 2026			28 February 2025		
	Gross	Impairment	Net	Gross	Impairment	Net
Gross trade receivables	1 942	(457)	1 485	1 946	(433)	1 513
Other allowances	(3)	–	(3)	(5)	–	(5)
Deposits	12	–	12	19	–	19
Current portion of financial assets at amortised cost*	290	–	290	138	–	138
Other receivables	91	(46)	45	191	(42)	149
Contract assets (note 19)	167	(1)	166	98	(1)	97
	2 499	(504)	1 995	2 387	(476)	1 911
Less: Trade and other receivables classified as held-for-sale (note 40)			–			(104)
Less: Contract assets, net of contract loss allowance classified as held-for-sale (note 40)			–			(1)
			1 995			1 806

* Finance assets at amortised cost include vendor finance receivables.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES (continued)

Exposure to credit risk (continued)

The exposure to credit risk for finance lease assets at the reporting date was represented by:

	28 February 2026			28 February 2025		
	Gross	Impairment	Net	Gross	Impairment	Net
Finance lease assets*	613	(11)	602	580	(20)	560

* The simplified approach is used to calculate the ECL provisions. The increase in ECL within this category relates to elevated risk identified with certain debtors in finance lease assets. These amounts will only become due when invoiced to the debtors and at such time it will be reclassified as trade receivables.

Ageing and impairment analysis (excluding finance lease assets)

R millions	28 February 2026			28 February 2025		
	Gross	Impairment	Net	Gross	Impairment	Net
Not past due	1 648	(95)	1 553	1 386	(85)	1 301
Past due 0-30 days	150	(8)	142	252	(9)	243
Past due 31-120 days	124	(15)	109	165	(13)	152
Past due 121-365 days	176	(62)	114	160	(29)	131
Past due 365+ days	401	(324)	77	424	(340)	84
	2 499	(504)	1 995	2 387	(476)	1 911

Ageing and impairment analysis (finance lease assets only)

	28 February 2026			28 February 2025		
	Gross	Impairment	Net	Gross	Impairment	Net
Not past due*	613	(11)	602	580	(20)	560
	613	(11)	602	580	(20)	560

* The provision matrix approach is used to calculate the ECL provisions. The increase in ECL within this category relates to elevated risk identified with certain debtors in finance lease assets. These amounts will only become due when invoiced to the debtors and at such time it will be reclassified as trade receivables.

Refer below for further disaggregation by credit risk.

The maximum exposure to credit risk for financial assets at amortised cost, excluding finance lease assets at the reporting date by type of customer net of impairment was as follows:

	28 February 2026			28 February 2025		
	Gross	Impairment	Net	Gross	Impairment	Net
Parastatals/government	292	(24)	268	217	(43)	174
Corporates*	1 575	(357)	1 218	1 708	(384)	1 324
SMEs*	571	(102)	469	440	(47)	393
Individuals	61	(21)	40	22	(2)	20
	2 499	(504)	1 995	2 387	(476)	1 911

* The Group generally deals with the larger corporates who have a sound credit standing. Credit risk in respect of corporates and SMEs is controlled through the use of credit vetting agencies and the setting of credit limits by experienced personnel. Credit limits are typically reviewed at least annually.

Notes to the consolidated annual financial statements continued

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11 TRADE AND OTHER RECEIVABLES (continued)

Ageing and impairment analysis (finance lease assets only) (continued)

The maximum exposure to credit risk for finance lease assets at amortised cost at the reporting date by customer net of impairment was as follows:

	28 February 2026			28 February 2025		
	Gross	Impairment	Net	Gross	Impairment	Net
Parastatals/government	233	(4)	229	276	–	276
Corporates*	288	–	288	234	(20)	214
SMEs*	92	(7)	85	70	–	70
	613	(11)	602	580	(20)	560

* The Group generally deals with the larger corporates who have a sound credit standing. Credit risk in respect of corporates and SMEs is controlled through the use of credit vetting agencies and the setting of credit limits by experienced personnel. Credit limits are typically reviewed at least annually.

The exposure to credit risk, excluding finance lease assets, at the reporting date was represented by:

R millions	GROUP	
	28 February 2026	28 February 2025
South Africa	1 695	1 617
Rest of Africa	213	168
Europe	15	6
Rest of world	72	120
	1 995	1 911

The majority of the financial assets outside of South Africa are in respect of the Group's international operations which are experienced in managing their own local credit risk. With regards to cross border trade, credit risk is managed through the use of letters of credit and bank guarantees as considered necessary.

The exposure to credit risk of finance lease assets at the reporting date was represented by:

	GROUP	
	28 February 2026	28 February 2025
South Africa	602	557
Rest of Africa	–	3
	602	560

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES (continued)

Credit risk, concentration risk and significant judgement applied by management

Gross trade receivable with Thobela Telecoms (RF) Proprietary Limited ("Thobela")

Altron Nexus (Pty) Ltd (Altron Nexus) formed part of a consortium named Thobela Telecoms (RF) (Pty) Ltd (Thobela), which was awarded a tender by the City of Tshwane (COT) for the provision of a municipal broadband network project on 9 June 2015 (BOT agreement).

Following a judgment brought by the COT to review and set aside the tender process, Thobela applied for leave to appeal to the Supreme Court of Appeal (SCA), which was duly granted and on 5 October 2020 the SCA ruled in favour of Thobela and the other appellants, by declaring the BOT agreement valid and binding. The COT filed an application for an appeal against the SCA judgement in the Constitutional Court, which was rejected on 19 May 2021 and dismissed with costs. The parties are in the process to address all disputes relating to the BOT agreement through arbitration.

During the year, the Group concluded a multipart transaction with agreements signed on or about 31 March 2025 and closing on 1 August 2025. As part of the transaction, Altron Nexus sold to Altron Nexus Smart Cities Proprietary Limited (Smart Cities) all of the shares it held in Thobela together with all claims Altron Nexus held against Thobela (note 42).

As at the end of the reporting period, Smart Cities has a balance of R309 million (2025: R309 million) outstanding from Thobela for work performed with regards to the COT Project. Several media reports regarding the COT's growing debt burden, with substantial debts owed to entities such as Eskom and Rand Water, resulted in Smart Cities recording an ECL impairment allowance of substantially the full outstanding amount. The ECL impairment allowance raised amounts to R284 million (2025: R284 million), resulting in a net debtor balance of R25 million (2025: R25 million).

An ECL allowance of R2 million (2025: R1 million) was recognised against the investment loan (note 39) bringing the total ECL allowance to R105 million (2025: R103 million).

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES (continued)

Expected credit losses

The Group generally deals with a widespread customer base. Refer to the discussion above in relation to Thobela for an explanation of the Group's concentration of credit risk at reporting date. Listings of overdue customer balances are reviewed and the ageing thereof is used as a tool for monitoring specific risk of default (refer below).

The Group applies two methods to measure the expected loss allowance for all trade receivables, contract assets and finance lease assets. These two methods are the provision matrix utilising historic loss rates and the PD/LGD/EAD approach and are further explained below.

R millions	28 February 2026			28 February 2025		
	Gross carrying amount at default	Impairment	Net carrying amount at default	Gross carrying amount at default	Impairment	Net carrying amount at default
Expected credit loss by method applied:						
Provision matrix utilising adjusted historic loss rates	717	(56)	661	708	(63)	645
Simplified PD/LGD/EAD approach	1 693	(129)	1 564	1 602	(107)	1 495
Accounts receivable and contract assets including finance lease assets	2 410	(185)	2 225	2 310	(170)	2 140
Deposits*	12	–	12	19	–	19
Current portion of financial assets at amortised cost*	290	–	290	138	–	138
Other receivables*	91	(46)	45	191	(42)	149
Thobela**	309	(284)	25	309	(284)	25
Total including finance leases	3 112	(515)	2 597	2 967	(496)	2 471
Comprises:	3 112	(515)	2 597	2 967	(496)	2 471
Total excluding finance leases	2 499	(504)	1 995	2 387	(476)	1 911
Net investment in lease (note 6)*	204	–	204	167	–	167
Finance lease assets (note 6)***	409	(11)	398	413	(20)	393

* No ECL was recognised on deposits, other receivables, the current portion of financial assets at amortised cost and the net investment in lease due to a low ECL ratio applied to these counterparties. The ECL model incorporated the probability of default (PD) and the loss given default (LGD) of the counterparty. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculations, based on the Group's past history, existing market conditions as well as forward looking estimates at end of the reporting period.

** The ECL for Thobela was calculated on a weighted probability analysis of the amount expected to be received (refer above). This ECL excludes the allowance raised on the investment loan to the Joint Venture (note 4). Due to the objective evidence of impairment, the loan provided to Thobela Telecom is classified as stage 3 non-performing with reference to the general model for impairment.

*** Finance lease assets relate to document processing equipment as disclosed in note 6. The lease asset arising is in turn financed by a reciprocal finance agreement with financial institutions. The actual equipment sold provides collateral to the Group.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES (continued)

Provision matrix utilising historic loss rates

This method is applied to those operations that have historical loss rates. ECLs are calculated by applying a loss ratio to the aged balance of trade receivables, contract assets, and finance lease assets at each reporting date. The loss ratio is calculated according to the ageing/payment profile of sales by applying historical/proxy write-offs to the payment profile of the sales population. These financial assets have been grouped so that the ECL calculation is performed on groups of receivables with similar risk characteristics and ability to pay. Similarly, the sales population selected to determine the ageing/payment profile of the sales is representative of the entire population and in line with future payment expectations. The historic loss ratio is then adjusted for forward-looking information (including forecast economic indicators) to determine the ECL for the portfolio of financial assets at the reporting date to the extent that there is a strong correlation between the forward-looking information and the ECL. These operations have identified GDP to be the most relevant and accordingly adjusts the historical loss rates based on expected changes to these factors.

The loss allowance for trade receivables, contract assets and finance lease assets to which the provision matrix has been applied is determined as follows:

	28 February 2026			28 February 2025		
	Average ECL/ impairment ratio %	Gross carrying amount at default R millions	Net carrying amount at default R millions	Average ECL/ impairment ratio %	Gross carrying amount at default R millions	Net carrying amount at default R millions
Not past due*	5.24	592	561	4.69	576	549
Past due 0-30 days	2.13	47	46	5.00	60	57
Past due 31-120 days	7.69	26	24	18.75	32	26
Past due 121-365 days**	42.86	14	8	68.75	16	5
Past due 365+ days**	42.11	38	22	66.67	24	8
Total	7.81	717	661	8.90	708	645
The above is represented by:						
Parastatals/government**	2.24	312	305	15.25	236	200
Corporates**	0.93	107	106	6.71	298	278
SMEs***	16.11	298	250	4.02	174	167
Total	7.81	717	661	8.90	708	645

* Rental finance lease assets and contract assets are included within this ageing category.

** High risk customers debt included in trade receivables (listed under parastatals and corporates and past due more than 121 days), were recovered and the additional provision that was raised in prior years, were released (R16 million). These customers were provided for at 100% of the outstanding debt net of VAT.

*** In the current year, an additional ECL provision was raised for three customers which were considered high risk. 100% of the outstanding debt net of VAT was provided for.

The Group used 12 months revenue data to determine the payment profile of the sales. Where the Group has information about actual historical write-offs, actual write-offs have been used to determine a historic loss ratio. Alternatively, management has used a proxy write-off based on management's best estimate. The Group has considered quantitative forward-looking information such as GDP, of which the impact was found to be immaterial.

This method is applied on low default portfolios with insufficient historic annual internal defaults. ECL is calculated based on the life-time expected credit losses using a formula incorporating the following parameters: Exposure at default (EAD), PD and LGD (i.e. $ECL = PD \times LGD \times EAD$). The PD parameter explains the likelihood of default of an exposure. It is assumed that risk drivers and default experience may differ by the institutional structure of the trade receivable, contract asset or finance lease asset (e.g. parastatal/government, corporates, SMEs and Individuals).

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES (continued)

Simplified PD/LGD/EAD approach

Therefore, trade receivables, contract assets and finance lease assets are segmented into these portfolios. The purpose of portfolio segmentation (or grouping by shared risk characteristics) is to ensure the homogenous grouping of counterparties into (broadly and appropriately) homogeneous risk groups. Management exercises judgement in grouping customers into the abovementioned segments and applies Basel classification guidelines as a reference. Where possible, credit ratings for corporate entities that are externally rated were obtained from Moody's. For unrated corporates, parastatals/government, SMEs and individuals, the average PD and LGD rates were obtained from published Pillar III reports of major financial institutions, which include forward looking information. Various institutions were analysed, and an average was applied on the segmentation discussed above.

The loss allowance for trade receivables to which the simplified PD/LGD/EAD approach has been applied is determined as follows:

	28 February 2026			28 February 2025		
	Average ECL/impairment ratio %	Gross carrying amount at default R millions	Net carrying amount at default R millions	Average ECL/impairment ratio %	Gross carrying amount at default R millions	Net carrying amount at default R millions
Not past due*	2.27	1 277	1 248	3.31	1 056	1 021
Past due 0-30 days	7.69	104	96	3.13	192	186
Past due 31-120 days	14.29	98	84	6.72	134	125
Past due 121-365 days	33.95	162	107	11.81	144	127
Past due 365+ days *** ##	44.23	52	29	52.63	76	36
Total	7.62	1 693	1 564	6.68	1 602	1 495

The above is represented by:

	28 February 2026			28 February 2025		
	Average ECL/impairment ratio %	Gross carrying amount at default R millions	Net carrying amount at default R millions	Average ECL/impairment ratio %	Gross carrying amount at default R millions	Net carrying amount at default R millions
Parastatals/government	0.1 - 2.3	212	191	0.1 - 2.3	158	150
Corporates ** ##	0.5 - 1.3	1 180	1 119	0.6 - 1.4	1 188	1 122
SMEs	2.0 - 4.6	241	214	2.0 - 5.0	236	204
Individuals ##	7.0	60	40	7.5	20	19
Total		1 693	1 564		1 602	1 495

* Finance lease assets and contract assets are included within this ageing category.

** The ECL for Thobela was calculated on 100% of the outstanding debt net of the deemed recoverable amount of R25 million (refer above) and therefore excluded from this ratio.

*** High risk customers debt included in trade receivables (listed under corporates and past due more than 121 days), were recovered and the additional provision (R22 million) that was raised in prior years, was released. These customers were provided for at 100% of the outstanding debt net of VAT.

The ECL provision in the collections and payment division of Altron Fintech reduced by R8 million as a result of the release of provision relating to debtors that were written off during the current year.

Additional ECL provision (R43 million) was raised in Netstar for certain high risk customers. These customer mainly is represented by corporates and individuals.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES (continued)

Simplified PD/LGD/EAD approach (continued)

The Group utilises the ageing of the trade and other receivables and contract assets as a method for identifying specific risk of default. Under both methods disclosed above, the Group defines this risk as follows:

Low Risk	There has not been an increase in the credit risk of the counterparty since initial recognition of the trade receivable. All receivables are in low risk unless there are specific circumstances that indicate the contrary, such as long outstanding (overdue credit terms), financial problems at the counterparty, disputes, etc. The expected credit loss is calculated as explained above either under the PD/LGD/EAD approach or provision matrix method.
Medium risk	The credit risk of the counterparty has increased significantly since initial recognition of the trade receivable and therefore the ECL needs to be adjusted.
High risk	The trade receivable is at a point where it is fully non-recoverable. The full outstanding balance of the receivable is then provided for.

Accounts receivable and contract assets including finance lease assets, analysed by risk:

R millions	28 February 2026			28 February 2025		
	Gross carrying amount at default	Allowance raised	Net carrying amount	Gross carrying amount at default	Allowance raised	Net carrying amount
Low Risk	2 020	(69)	1 951	1 870	(72)	1 798
Medium Risk	289	(15)	274	356	(14)	342
High Risk	101	(101)	–	84	(84)	–
Accounts receivable and contract assets including finance lease assets	2 410	(185)	2 225	2 310	(170)	2 140
Deposits	12	–	12	19	–	19
Other receivables	91	(46)	45	191	(42)	149
Financial assets at amortised cost	290	–	290	138	–	138
Thobela*	309	(284)	25	309	(284)	25
	3 112	(515)	2 597	2 967	(496)	2 471

* The ECL for Thobela was calculated on 100% of the outstanding debt net of the deemed recoverable amount of R25 million (refer above). This ECL excludes the allowance raised on the investment loan to the Joint Venture (note 4)

Based on the above, the Group distinguishes between non-performing and credit impaired counterparties. In the event that the counterparty is classified as credit impaired, the Group calculates the interest on the trade receivable, net of the impairment loss. The impact of this is immaterial for both the current and the prior year.

When the Group identifies a counterparty that has defaulted and the probability of recovery is remote, the amounts are written off, either by utilising the provision raised in respect of the counterparty or recognising the write-off in profit or loss.

Trade receivables and contract assets are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group or a failure to make contractual payments for a period of greater than 120 days past due. Internal assessments are performed once debtors are 90 days past due from which the Group commences the process of assessing debtors on a case by case basis which includes assessing the adequacy of ECLs raised.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

11 TRADE AND OTHER RECEIVABLES (continued)

Reconciliation of loss allowance

Impairment losses on trade receivables and contract assets are presented as net impairment losses within operating profit. Subsequent recoveries of amounts previously written off are credited against the same line item. The impairment loss recognised in the current year is in respect of revenue recognised from contracts with customers.

The movement in the impairment allowance in respect of trade receivables and contract assets during the year was as follows:

R millions	Trade and other receivables		Contract assets	
	28 February 2026	28 February 2025	28 February 2026	28 February 2025
Balance at the beginning of the year	495	507	1	6
Increase in expected credit loss allowance	(16)	44	–	(5)
Movement in expected credit loss allowance in relation to gross balances not in default	(19)	16	–	(5)
Movement in expected credit loss allowance in relation to Thobela	1	18	–	–
Movement in expected credit loss allowance in relation to gross balances greater than 120 days past due	2	10	–	–
Written off				
Directly to trade and other receivables ¹	(16)	(55)	–	–
Reclassification ²	65	–	–	–
Disposal of operation	(14)	–	–	–
Translation	–	(1)	–	–
Balance at the end of the reporting period	514	495	1	1
<i>Increase in expected credit loss allowance</i>	<i>(16)</i>	<i>44</i>	<i>–</i>	<i>(5)</i>
<i>Continuing operations</i>	<i>(16)</i>	<i>27</i>	<i>–</i>	<i>(5)</i>
<i>Discontinued operations</i>	<i>–</i>	<i>17</i>	<i>–</i>	<i>–</i>

¹ Relates to debtors that were previously fully provided for. The debtors balances were therefore written off against allowances previously raised.

² Relates to the provision previously incorrectly disclosed in gross debtors.

Foreign currency risk

Foreign currency risk positions are reflected in note 29.2.

Derivative assets at fair value

Derivative assets at fair value include:

R millions	GROUP	
	28 February 2026	28 February 2025
Forward exchange contracts	1	9

Credit risk on derivative assets

The Group limits its exposure to credit risk by only entering into forward contracts with counterparties that have a sound credit rating.

Given these high credit ratings, management does not expect any counterparty to fail to meet its obligations.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

12 CASH AND CASH EQUIVALENTS

R millions	GROUP	
	28 February 2026	28 February 2025
Cash at bank	1 104	751
Cash held on behalf of merchants*	247	269
Less: Cash at bank classified as held-for-sale (note 40)	–	(3)
	1 351	1 017
Bank overdrafts	(4)	(24)
Net cash and cash equivalents per the statement of cash flows	1 347	993

* As part of the Group's business operations, cash is collected from customers on behalf of merchants and paid over to merchants when the amounts are cleared in the bank account. The cash on hand at year-end is due to the timing between receiving the cash from the customers, the cash clearing in the bank account and the payments being made to the merchants. On average, these amounts are paid over to merchants between 1 - 5 business days from receipt into the bank account.

Credit risk

The Group limits its credit risk exposure by investing only with financial institutions that have a sound credit rating. Management does not expect any counterparty to fail to meet its obligations based on the credit ratings of the financial institutions presented below:

R millions	Cash and cash equivalents including merchant cash			
	Credit ratings	Cash at bank	Bank overdrafts	Net cash and cash equivalents Total
28 February 2026				
South Africa	BB	1 296	(4)	1 292
Australia	AAA	27	–	27
Other	Various	28	–	28
		1 351	(4)	1 347

R millions	Cash and cash equivalents including merchant cash			
	Credit ratings	Cash at bank	Bank overdrafts	Net cash and cash equivalents Total
28 February 2025				
South Africa	BB	959	(24)	935
Australia	AAA	5	–	5
Other	Various	53	–	53
		1 017	(24)	993

Expected credit losses

While cash and cash equivalents are also subject to the ECL model, the identified impairment loss was immaterial due to the fact that the Group has limited its credit exposure by investing only with financial institutions that have a sound credit rating.

Interest rate risk

Refer to note 29.4 for disclosure relating to interest rate risk.

Foreign currency risk

Foreign currency risk positions are reflected in note 29.2.

Notes to the consolidated annual financial statements continued

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13 SHARE CAPITAL AND SHARE PREMIUM

	GROUP			
	28 February 2026 Number of shares	28 February 2025 Number of shares	28 February 2026 R millions	28 February 2025 R millions
13.1 Authorised				
A Ordinary shares of no par value (2025: No par value)	500 000 000	500 000 000		
N Ordinary shares of 0.01 cent each (2025: 0.01 cent each)	500 000 000	500 000 000		
High Voting share of no par value (<i>unlisted</i>)	1	1		
13.2 Issued				
<i>A Ordinary shares</i>				
In issue at the beginning of the year	412 055 395	411 018 564	1 259	1 241
Issued in terms of share schemes	1 877 525	1 036 831	38	18
In issue at the end of the year	413 932 920	412 055 395	1 297	1 259
Less: Own shares acquired by subsidiary	(30 837 778)	(30 837 778)	(193)	(193)
Net A ordinary shares at the end of the year	383 095 142	381 217 617	1 104	1 066
<i>High Voting share</i>				
In issue at the beginning of the year	1	1	–	–
Net High Voting share at the end of the year	1	1	–	–
Total number of shares in issue at the end of the year, net of own shares acquired (fully paid)	383 095 143	381 217 618		
13.3 Total issued share capital and premium			1 104	1 066

Terms of equity shares

A Ordinary shares

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

High Voting share

The holders (Venter family) of the High Voting share are entitled to voting rights of 25% plus one vote, so long as members of the Venter family are the ultimate beneficial owners of at least 10% of the A ordinary shares.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

13 SHARE CAPITAL AND SHARE PREMIUM (continued)

13.4 Share-based payments

13.4.1 Altron 2009 Share Plan – Equity-settled share-based payments

The share plan was approved by the shareholders in the general meeting on 11 May 2009. It comprises three elements as follows:

Share Appreciation Rights (SARs)

These grant participants rights to acquire shares subject to meeting future performance vesting conditions. Vesting occurs in equal tranches over a three-year period commencing on the third anniversary of the grant, subject to meeting the vesting conditions which include internal growth measures (non-market conditions) and is settled net of market value and the grant value. These rights lapse six years after the grant date.

Performance Share Awards (PS)

Performance shares award participants with shares subject to meeting future performance vesting conditions. These rights vest and are exercised three years from the award date to the extent that the performance criteria have been met, which include internal growth measures (non-market conditions). Up to three times the number of rights may be awarded in shares. The full value of all the vested Performance Shares will be settled to the participants in shares as the exercise price is Rnil per share.

Bonus Share Grants (BS)

The Bonus Share Scheme is a three-year scheme. The vesting period is three years from the initial date of the grant provided that the participants are still in the employ of the Group. The full value of the vested Bonus Shares will be settled to the participants in shares as the exercise price per share is Rnil per share.

Summary of share options outstanding in terms of Altron 2009 Share Plan:

Date granted	Exercise price per share	Share Appreciation Rights	Performance Share Awards	Bonus Share Grants
24 February 2021	11.71	177 962	–	–
2 August 2021	10.60	28 269	–	–
2 November 2021	10.96	105 047	–	–
21 February 2022	8.42	385 756	–	–
1 June 2023	–	–	–	757 714
1 August 2023	–	–	–	233 333
1 December 2023	–	–	4 531 724	–
1 February 2024	–	–	–	200 803
1 June 2024	–	–	2 669 152	–
4 November 2024	–	–	183 904	73 529
3 February 2025	–	–	–	157 524
02 June 2025	–	–	1 661 105	254 453
		697 034	9 045 885	1 677 356

Notes to the consolidated annual financial statements continued

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13 SHARE CAPITAL AND SHARE PREMIUM (continued)

13.4 Share-based payments (continued)

13.4.1 Altron 2009 Share Plan – Equity-settled share-based payments (continued)

	Weighted average exercise price Rand 2026	Number of options '000 2026	Weighted average exercise price Rand 2025	Number of options '000 2025
The number and weighted average exercise prices of share options are as follows:				
Outstanding at the beginning of the year	–	12 625	3.00	13 772
Granted during the year	–	2 003	–	3 517
Options lapsed/forfeited/reinstated	–	(939)	8.00	(2 119)
Exercised during the year	3.00	(2 269)	6.00	(2 545)
Outstanding at the end of the year	–	11 420	–	12 625
Exercisable at the end of the year		362		503

Exercise prices on outstanding options at the end of the period ranged from Rnil to R11.71 (2025: Rnil to R11.71). The weighted average remaining period to vesting on outstanding options at the end of the period was 11 months (2025: 18 months).

The fair value of services received in return for share options granted is measured by reference to the fair value of the share options granted. The estimate of the fair value of the services received is measured using the Black-Scholes Model.

Evidence indicated that most options are exercised on or shortly after the vesting date and the assumptions have been adjusted accordingly. There is no difference between the options granted to key management and senior employees. Bonus share awards vest entirely and are exercisable between one to three years.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

13 SHARE CAPITAL AND SHARE PREMIUM (continued)

13.4 Share-based payments (continued)

13.4.1 Altron 2009 Share Plan – Equity-settled share-based payments (continued)

Fair value and assumptions of share options awarded

28 February 2026		Bonus share grants	Performance share awards
Fair value at grant date (Rand)	Rand	21.77	20.95
Share price	Rand	23.50	23.50
Exercise price	Rand	–	–
Expected volatility	%	60.71	70.88
Option life	Years	2.00	3.00
Dividend yield	%	3.83	3.83
Risk-free interest rate	%	7.91	8.71

28 February 2025			
Fair value at grant date	Rand	17.67 - 18.65	12.86 - 17.29
Share price	Rand	19.08 - 20.92	14.50 - 19.08
Exercise price	Rand	–	–
Expected volatility	%	60.22 - 73.58	69.94 - 75.85
Option life	Years	2.00 - 3.00	2.57 - 3.00
Dividend yield	%	3.83	3.83 - 4.00
Risk-free interest rate	%	8.24 - 8.37	8.37 - 9.21

Volatility was estimated using the daily closing share price per Sharenet. The standard deviation of the rates of return of the share price was used for share-based payments granted by analysing historic daily movements in the share price with a similar time frame as the life of the option.

	Share appreciation rights	Bonus share grants	Performance share awards	Total share options
The details of options outstanding are as follows:				
Number of options allocated at 1 March 2024	4 436 598	3 897 719	5 437 889	13 772 206
Number of options granted	–	231 053	3 285 830	3 516 883
Number of options lapsed/forfeited/reinstated	(1 673 665)	(84 606)	(361 251)	(2 119 522)
Number of options exercised	(1 306 433)	(1 186 815)	(51 786)	(2 545 034)
Number of options allocated at 28 February 2025	1 456 500	2 857 351	8 310 682	12 624 533
Number of options granted	–	254 453	1 748 760	2 003 213
Number of options lapsed/forfeited/reinstated	(9 750)	–	(929 388)	(939 138)
Number of options exercised	(749 716)	(1 434 448)	(84 169)	(2 268 333)
Number of options allocated at 28 February 2026	697 034	1 677 356	9 045 885	11 420 275

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

13 SHARE CAPITAL AND SHARE PREMIUM (continued)

13.4 Share-based payments (continued)

13.4.1 Altron 2009 Share Plan – Equity-settled share-based payments (continued)

Fair value and assumptions of share options awarded (continued)

	28 February 2026
Reconciliation of shares issued to options exercised	
Shares issued in terms of share schemes	1 877 525
Shares allotted in the prior year for options exercised in the current financial year	79 140
Net settlement of share appreciation rights	311 668
Number of options exercised	2 268 333

The weighted average share price at the date of exercise of the options exercised during the year ended 28 February 2026 was R20.01 (2025: R17.49)

	GROUP	
R millions	28 February 2026	28 February 2025
13.5 Share-based payment employee expenses		
Equity-settled share-based payment expenses (note 20.2)	62	33

14 RESERVES

	GROUP	
R millions	28 February 2026	28 February 2025
14.1 Foreign currency translation reserve	90	105
Comprises foreign exchange differences arising from the translation of the financial statements of foreign operations.		
14.2 Premium/discount on non-controlling interest equity transactions	(3 654)	(3 654)
Comprises the premium or discount on the subsequent purchase or sale of equity instruments in existing subsidiaries where there is no resulting change in control.		
14.3 Cash flow hedging reserve	(1)	(1)
Comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments relating to hedged transactions that have not yet occurred.		
14.4 Share-based payments reserve	240	219
Comprises the net fair value of equity instruments granted to employees under share schemes expensed net of tax credits on deductible recharges in excess of expenses recognised.		
14.5 Fair value reserve	318	324
Comprises the cumulative net change in the fair value of financial assets at fair value through other comprehensive income, net of deferred taxation. The change in the remeasurement of the defined benefit plan through other comprehensive income is also being recorded in this reserve.		
Total reserves	(3 007)	(3 007)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

15 LOANS

		GROUP	
R millions		28 February 2026	28 February 2025
15.1 Non-current loans			
Financial liabilities at amortised cost			
Secured bank loans		500	425
Rental finance liabilities (note 6)		410	415
		910	840
Less: Payable within one year disclosed as current loans		(209)	(623)
Total non-current loans		701	217
Non-current lease liabilities relating to right-of-use assets (note 3)		634	733
Total non-current loans including lease liabilities relating to right-of-use assets		1 335	950
15.2 Current loans			
Current portion of financial liabilities at amortised cost			
Current portion of rental finance liabilities (note 6)		209	198
Current portion of secured bank loans		–	425
Current portion of long-term loans		209	623
Current lease liabilities relating to right-of-use assets (note 3)		122	95
Current loans including lease liabilities relating to right-of-use assets		331	718

15.3 Terms and debt repayment schedule

				28 February 2026	28 February 2025
				Carrying value	Carrying value
Currency	Nominal interest rate	Year of maturity		R millions	R millions
The terms and conditions of outstanding loans were as follows:					
Secured					
Rental finance liabilities	ZAR	9.66% to 31.00%	2026 – 2031	410	415
Secured bank loans*	ZAR	JIBAR + 1.75%	2029	500	425
Lease liabilities relating to right-of-use assets (note 3)	ZAR, AUD	4.35% – 10.75%	2026 – 2032	756	832
				1 666	1 672
Less: Lease liabilities relating to right-of-use assets classified as held-for-sale (note 40)				–	(4)
				1 666	1 668

* The Financial Stability Board has initiated a fundamental review and reform of the major interest rate benchmarks used globally by financial market participants. This review sought to replace existing interbank offered rates (IBORs) with alternative risk-free rates (ARRs) to improve market efficiency and mitigate systemic risk across financial markets. The South African Revenue Bank (SARB) has created an alternative reference rate for South Africa and adopted the South African Rand Overnight Index Average (ZARONIA) as the preferred rate to replace JIBAR in cash and derivative instruments. Effective 1 May 2026, new contracts should not make reference to JIBAR and effective 31 December 2026 the SARB will cease to publish JIBAR.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

15 LOANS (continued)

15.4 Security

- Rental finance liabilities are largely matched by reciprocal finance lease assets from the customer on the back to back arrangement (note 6).
- The loans have been secured by way of cross-guarantees from the following entities in the Group:
 - Altron ICT Holdings Proprietary Limited
 - Altron International Holdings Proprietary Limited
 - Altron South Africa Holdings Proprietary Limited
 - Altron TMT Proprietary Limited
 - Altron TMT Holdings Proprietary Limited
 - Altron TMT SA Group Proprietary Limited
 - Netstar Proprietary Limited

15.5 Liquidity risk

The Group manages liquidity risk by reviewing future commitments and credit facilities to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions. Refer to note 29.6 for further detail on how liquidity risk is managed by the Group.

The following are the contractual maturities of financial liabilities, including interest payments. The loans will be settled in the ordinary course of business.

R millions	Currency	Carrying amount	Contractual cash flows	6 months or less	6 to 12 months	1 to 2 years	2 to 5 years	Greater than 5 years
28 February 2026								
Non-derivative financial liabilities								
Rental finance liabilities	ZAR	410	494	136	128	148	82	–
Secured bank loans	ZAR	500	669	24	23	94	528	–
Lease payments relating to right-of-use assets (note 3)	ZAR, AUD	756	949	88	88	171	376	226
		1 666	2 112	248	239	413	986	226
Financial liabilities at amortised cost included in trade and other payables (note 17)	Various	1 613	1 613	1 613	–	–	–	–
		3 279	3 725	1 861	239	413	986	226

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

15 LOANS (continued)

15.5 Liquidity risk (continued)

R millions	Currency	Carrying amount	Contractual cash flows	6 months or less	6 to 12 months	1 to 2 years	2 to 5 years	Greater than 5 years
28 February 2025								
Non-derivative financial liabilities								
Rental finance liabilities	ZAR	415	503	130	119	177	77	–
Secured bank loans	ZAR	425	445	445	–	–	–	–
Lease payments relating to right-of-use assets (note 3)	ZAR, AUD	832	1 066	85	81	168	386	346
		1 672	2 014	660	200	345	463	346
Less: Lease liabilities relating to right-of-use assets classified as held-for-sale (note 40)	ZAR	(4)	(4)	(1)	(1)	(1)	(1)	–
		1 668	2 010	659	199	344	462	346
Financial liabilities at amortised cost included in trade and other payables (note 17)	Various	1 759	1 759	1 759	–	–	–	–
Less: Financial liabilities at amortised cost classified as held-for-sale (note 40)	Various	(41)	(41)	(41)	–	–	–	–
		3 386	3 728	2 377	199	344	462	346

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

15 LOANS (continued)

15.6 Interest rate risk

Refer to note 29.4 for disclosure relating to interest rate risk.

15.7 Currency risk

Currency risk positions on borrowings that do not match the functional currencies of the underlying operations of the Group, are reflected in note 29.

15.8 Capital risk management and borrowing facilities

R millions	GROUP	
	28 February 2026	28 February 2025
In terms of the articles of association, the borrowing powers of the Group are unlimited.		
Unutilised banking facilities	1 950	1 875

The Group has a revolving credit facility (RCF) of R1 billion in place (February 2025: R850 million) in terms of its long-term financing with the banks. During the current financial year, the Group amended its existing Common Terms Agreement (CTA) and extended the tenor on its RCF by extending it to 3 October 2029.

The Group has an overdraft and overnight facility of R1.45 billion (2025: R1.45 billion) with the banks.

Refer to note 29.8 for further disclosure on the Group's capital management and applicable debt covenants.

16 PROVISIONS

R millions	Warranties and fault rectification	Total
Total current provisions at 1 March 2025	9	9
Provisions raised during the year	13	13
Provisions utilised during the year	(8)	(8)
Current provisions at 28 February 2026	14	14

	Warranties and fault rectification	Total
Total current provisions at 1 March 2024	12	12
Provisions raised during the year	5	5
Provisions utilised during the year	(8)	(8)
Current provisions at 28 February 2025	9	9

Notes to the consolidated annual financial statements continued

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17 TRADE AND OTHER PAYABLES

R millions	GROUP	
	28 February 2026	28 February 2025
Financial liabilities at amortised cost		
Trade payables	719	899
Accruals and other payables	400	396
Amounts due to Merchants	242	236
Payroll liabilities	252	228
Less: Financial liabilities at amortised cost classified as held-for-sale (note 40)	–	(41)
	1 613	1 718
Non-financial liabilities		
Payroll liabilities	29	42
VAT payable	52	32
Less: Non-financial liabilities classified as held-for-sale (note 40)	–	(1)
	81	73
	1 694	1 791
Financial liabilities at fair value through profit or loss		
Forward exchange contracts	21	2
	1 715	1 793

(a) Trade payables

Management of liquidity risk:

The Group has negotiated favourable credit terms with suppliers, which enables the Group to utilise its operating cashflow to full effect.

The supplier's age analysis is reviewed by management on a regular basis to ensure that credit terms are adhered to and suppliers are paid when due. The Group utilises multiple credit terms, most of which are less than one year.

Foreign currency risk:

Most amounts owed in foreign currency are covered by foreign exchange contracts (note 29.2).

Interest rate risk:

The Group has no material exposure to interest rate risk in respect of suppliers.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

18 RETIREMENT BENEFIT PLANS

Defined contribution plans

The majority of the Group's employees are members of the Altron Group Pension Fund which is a defined contribution fund and is governed by the Pension Funds Act, 1956 as amended. The contribution rate of the employers is between 7.5% and 27.5%, calculated on the pensionable emoluments of members. During FY23, the Altron Group Provident Fund merged with the Altron Group Pension Fund mainly due to the Taxation Laws Amendment Act 20 that came into effect on 1 March 2021, enabling the merge as well as other financial benefits from a Fund management and Member perspective.

The Group's contribution to these funds amount to R209 million (2025: R166 million) for the current financial year.

The rules were amended to allow for the 2-pot retirement legislation that came into effect from 1 September 2024. This requires that members have the options to withdraw their savings component once per tax year with certain restrictions, and that Members must preserve their retirement component on leaving the Fund.

During the year under review, the Trustees and Group resolved to use the Employer Surplus Account and a thirteenth cheque (R25 million) was granted to pensioners in March 2026, and allocate Fund Credits (R49 million) to active members which was also effected in March 2026. The Group started a 12 month contribution holiday in January 2025 which came to an end in December 2025. The total contribution holiday for the current year amounted to R156 million (2025: R31 million).

Multi-employer plans

Post acquisition of subsidiaries, certain employees remained members of their previous funds. A number of these are defined benefit plans.

The Group's contribution to these other funds amount to R3 million (2025: R3 million) for the current financial year.

Defined benefit plans

The benefit plans disclosed below are only in respect of members with minimum entitlement benefits and retirees with purchased defined benefit pensions.

For details on the related employee benefit expenses, see note 20.2.

Members of the Altron Group Pension Fund who were members prior to 1 September 1996 were entitled to a minimum benefit equal to the previously provided defined benefit pension. Furthermore, upon retirement, any member of the Altron Group Pension Fund could purchase a pension from the fund, though this option has been closed to new employees joining the Group after 31 May 2014. The base pension and subsequent increases granted, based on weighted average investment returns on funds, are guaranteed by the pension fund.

All employees with a defined benefit underpin who retire in the fund have their share of fund topped up (if necessary) at the time of retirement to enable them to purchase a pension in the fund equal to 1/45th of the average of the 12 month average pensionable value. All employees are treated identically.

The defined benefit plan is administered by a single pension fund that is legally separate from the Group. The board of the pension fund comprises of three employees, one pensioner and four employer representatives. The board of the pension fund is required by law to act in the best interests of the plan participants and is responsible for setting certain policies (e.g. investment, contribution and indexation policies) of the fund.

This defined benefit plan exposes the Group to actuarial risks, such as longevity risk, currency risk, interest rate risk and market (investment) risk.

Funding

The defined benefit plans are fully funded by the Group's subsidiaries and members as discussed above. The funding requirements are based on the pension fund's actuarial measurement framework set out in its funding policies. The funding is based on a separate actuarial valuation for funding purposes for which the assumptions may differ from the assumptions below. The defined benefit component relating to the active members is funded by the employers through a guarantee reserve that resides in the fund. Under the latest IAS 19 valuation, this reserve is fully funded on a total service cost basis and has a surplus of R207 million (2025: R425 million). The defined benefit component relating to the pensioners is also fully funded and an investment reserve is retained in order to manage volatility in its investment returns.

The Group expects to pay R17 million in contributions to its defined benefit plan in the next financial year.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

18 RETIREMENT BENEFIT PLANS (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
18.1 Fair value of plan assets		
Fair value of plan assets	3 335	3 275
Present value of funded obligations	(3 128)	(2 850)
Surplus	207	425
Amount not recognised due to asset ceiling limitation	(35)	(57)
Net defined benefit asset recognised at the end of the year	172	368
Movement in the net defined benefit asset	(40)	16
Recognised in Other Income	41	46
Recognised in Employees' Remuneration	(75)	–
Recognised in Other Comprehensive Income (note 18.3)	(6)	(30)
18.2 Components of current year expense recognised in profit or loss		
Current service cost	(17)	(18)
Past service cost	(26)	–
Interest cost	(273)	(325)
Interest income on plan assets	313	372
	(3)	29

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

18 RETIREMENT BENEFIT PLANS (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
18.3 Amounts recognised in other comprehensive income are as follows		
Loss on plan assets excluding interest income	287	(22)
Actuarial (loss)/gain	(315)	(17)
Effect of asset ceiling limit	22	9
	(6)	(30)
18.4 Remeasurement in other comprehensive income		
Changes in financial assumptions	(268)	(59)
Experience losses	(47)	42
Excess return on assets	287	(22)
Change in the asset ceiling	22	9
	(6)	(30)
18.5 Reconciliation of defined benefit obligation		
Present value of defined benefit obligation at the beginning of the year	2 850	2 816
Current service cost	17	18
Past service cost	26	–
Interest cost	273	325
Benefits paid	(369)	(363)
Employee contributions to defined contribution fund credits subject to defined benefit underpin	–	–
Transfers from defined contribution fund	16	37
Actuarial gains	315	17
– Actuarial gain arising on financial assumptions	268	59
– Actuarial gain arising from actual experience being different from assumed	47	(42)
Present value of defined benefit obligation at the end of the year	3 128	2 850
18.6 Reconciliation of fair value of plan assets		
Assets at market value at the beginning of the year	3 275	3 265
Actual return on assets		
Interest income on plan assets	313	372
Loss on plan assets excluding interest income	287	(22)
Contributions paid – by employers	17	18
Contribution holiday	(156)	(32)
Benefits paid	(369)	(363)
Allocation from ESA to defined contribution	(48)	–
Transfers from defined contribution fund	16	37
	3 335	3 275
18.7 Reconciliation of asset ceiling		
Asset ceiling at the beginning of the year	58	67
Net interest on asset ceiling	–	–
Effect of asset ceiling not in profit and loss	(22)	(9)
Asset ceiling at the end of the year	36	58

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

18 RETIREMENT BENEFIT PLANS (continued)

18.7 Reconciliation of asset ceiling (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
Plan assets		
<i>Plan assets comprise:</i>		
Equities:		
– Local	7.0%	9.9%
– International	29.4%	28.0%
Fixed interest		
– Local	39.3%	39.5%
– International	0.8%	0.9%
Property		
– Local	1.6%	1.3%
– International	0.0%	0.0%
Collective investments:		
– Local	10.1%	9.6%
– Cash & Other	11.8%	10.4%
– Net current assets	0.0%	0.4%

All equity securities and government bonds have quoted prices in active markets.

The plan assets do not include transferable financial instruments or property occupied by the Group.

The board of trustees, in conjunction with the pension fund's investment advisor, operate the investments of the fund under an investment strategy that is aligned to the liabilities of the fund and is used to determine a strategic asset allocation. The investments are managed within defined rebalancing bands in accordance with that strategic asset allocation.

Defined benefit asset

Actuarial assumptions	GROUP	
	28 February 2026	28 February 2025
The following were the principal actuarial assumptions at the reporting date (expressed as weighted averages).		
Discount rate	8.4%	11.1%
Future salary growth	5.1%	6.6%
Future pension growth	5.0%	6.5%
Inflation	4.1%	5.6%

At 28 February 2026, the weighted-average duration of the defined benefit obligation was 10 years (2025: 9 years)

For pensioner mortality, the British derived PA(90) ultimate life table less a 1-year age adjustment for females and less a 2-year age adjustment for males was used. Mortality improvements of 0.5% per annum are allowed from 2007 onwards.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

18 RETIREMENT BENEFIT PLANS (continued)

18.7 Reconciliation of asset ceiling (continued)

Sensitivity analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, keeping other assumptions constant, would have affected the net defined benefit asset by the amounts shown below.

R millions	28 February 2026	
	Defined benefit asset recognised	
	Increase	Decrease
Discount rate (1% movement)	175	(167)
Salary increase (1% movement)	(168)	175
Pension increase (1% movement)	(46)	175

R millions	28 February 2025	
	Defined benefit asset recognised	
	Increase	Decrease
Discount rate (1% movement)	371	(362)
Salary increase (1% movement)	(363)	370
Pension increase (1% movement)	(266)	374

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS

R millions	GROUP	
	28 February 2026	28 February 2025
19.1 Assets and liabilities related to contracts with customers		
The Group has recognised the following assets and liabilities related to contracts with customers:		
Total contract assets	166	97
Less: Contract assets classified as held-for-sale (note 40)	–	(1)
	166	96
Total contract assets comprise:		
Current contract assets	167	98
Loss allowance	(1)	(1)
Total contract assets	166	97
Non-current contract costs capitalised (note 7)	947	780
Current contract fulfilment costs capitalised (note 7)	140	131
Total contract costs capitalised	1 087	911
Total contract liabilities	1 382	1 207
Less: Contract liabilities classified as held-for-sale (note 40)	–	(3)
	1 382	1 204
Non-current contract liabilities	709	597
Current contract liabilities	673	607
Total contract liabilities	1 382	1 204

Contract liabilities recognised in revenue and significant movements during the year

R millions	28 February 2026	28 February 2025
Total contract liabilities at the beginning of the year	1 207	1 097
Disposals of operations (note 42)	(13)	–
Revenue recognised in the current year in relation to current contract liabilities raised in the prior year	(550)	(497)
Contract liabilities recognised during the current year	738	607
Total contract liabilities at the end of the year	1 382	1 207
Less: Contract liabilities classified as held-for-sale (note 40)	–	(3)
Total contract liabilities at the end of the year excluding held-for-sale	1 382	1 204

The closing balance represents new contracts entered into where the performance obligations have not yet been met at year-end. The current portion of contract liabilities is expected to be recognised as revenue in the next financial year.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.1 Assets and liabilities related to contracts with customers (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
Unsatisfied long-term service contracts		
The following table shows unsatisfied performance obligations:		
Aggregate amount of the transaction price allocated to contracts that are partially or fully unsatisfied at the end of the year	1 620	1 660
Management expects that the contract liabilities that are allocated to contracts with partially or fully unsatisfied performance obligations will be recognised as follows:		
Within 1 year	754	823
Within 2 years	453	450
Thereafter	413	387
	1 620	1 660

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.2 Revenue by segment

The Altron Group is a diversified group which derives its revenues and profits from a variety of sources.

Segmentation is based on the Group's internal organisation and reporting of revenue based upon internal accounting presentation.

Revenue by reportable segment is disaggregated by major product/service and geographic region below.

28 February 2026

Continuing operations

R millions	Netstar	Altron FinTech	Altron HealthTech	Altron Platforms	Altron Digital Business	Altron Security	Altron Document Solutions	IT Services	Distribution Altron Arrow	Corporate and consolidation and other international operations	Continuing operations
Revenue by product											
Project related revenue	4	–	–	4	569	–	–	569	–	(15)	558
Over time	4	–	–	4	569	–	–	569	–	(15)	558
Sale of goods and related services	2 478	1 325	10	3 813	763	295	806	1 864	542	(80)	6 139
At a point in time	200	127	10	337	763	295	676	1 734	542	(59)	2 554
Over time	2 278	1 198	–	3 476	–	–	130	130	–	(21)	3 585
Maintenance, support and outsource services	–	118	–	118	1 184	116	486	1 786	–	(43)	1 861
At a point in time	–	–	–	–	48	13	28	89	–	–	89
Over time	–	118	–	118	1 136	103	458	1 697	–	(43)	1 772
Training and skills management	–	–	–	–	–	–	–	–	–	12	12
Over time	–	–	–	–	–	–	–	–	–	12	12
Software, cloud and licenses, including software assurance services	–	28	214	242	440	–	34	474	39	(12)	743
At a point in time	–	28	16	44	–	–	27	27	39	–	110
Over time	–	–	198	198	440	–	7	447	–	(12)	633

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.2 Revenue by segment (continued)

R millions	Continuing operations						IT Services	Distribution Altron Arrow	Corporate and consolidation and other international operations	Continuing operations
	Netstar	Altron FinTech	Altron HealthTech	Platforms	Altron Digital Business	Altron Security	Altron Document Solutions			
Software application and development	-	-	-	-	26	-	1	-	(1)	26
At a point in time	-	-	-	-	-	-	1	-	(1)	-
Over time	-	-	-	-	26	-	-	-	-	26
Switching and other transactional services	-	61	179	240	-	-	-	-	-	240
Over time	-	61	179	240	-	-	-	-	-	240
Total Revenue from contracts with customers	2 482	1 532	403	4 417	2 982	411	1 327	581	(139)	9 579
Rental finance income	-	-	-	-	-	-	58	-	-	58
Total Revenue	2 482	1 532	403	4 417	2 982	411	1 385	581	(139)	9 637
Revenue by Geographic region										
South Africa	2 110	1 522	389	4 021	2 431	358	1 283	504	(151)	8 446
Rest of Africa	5	10	6	21	383	40	102	13	-	559
Total Africa	2 115	1 532	395	4 042	2 814	398	1 385	517	(151)	9 005
Europe	-	-	-	-	54	4	-	1	12	71
Rest of world	367	-	8	375	114	9	-	63	-	561
Total International	367	-	8	375	168	13	-	64	12	632
Total Revenue	2 482	1 532	403	4 417	2 982	411	1 385	581	(139)	9 637

Notes to the consolidated annual financial statements cont

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.2 Revenue by segment (continued)

28 February 2026

Discontinued operations

R millions	Altron Nexus	Discontinued operations
Revenue by product		
Project related revenue	26	26
Over time	26	26
Sale of goods and related services	43	43
At a point in time	43	43
Maintenance, support and outsource services	10	10
Over time	10	10
Software, cloud and licenses, including software assurance services	10	10
Over time	10	10
Total Revenue from contracts with customers	89	89
Total Revenue	89	89
Revenue by Geographic region		
South Africa	88	88
Rest of Africa	1	1
Total Africa	89	89
Total Revenue	89	89
Total operations		
R millions		
Total revenue – continuing operations		9 637
Total revenue – discontinued operations		89
Total Revenue – total operations		9 726

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.2 Revenue by segment (continued)

The Altron group is a diversified group which derives its revenues and profits from a variety of sources.

Segmentation is based on the Group's internal organisation and reporting of revenue based upon internal accounting presentation.

Revenue by reportable segment is disaggregated by major product/service and geographic region below.

28 February 2025

Continuing operations

R millions	Netstar	Altron FinTech	Altron HealthTech	Altron Platforms	Altron Digital Business	Altron Document Solutions	Altron Security	IT Services	Distribution Altron Arrow	Corporate and consolidation and other international operations	Continuing operations
Revenue by product											
Project related revenue	1	–	–	1	580	–	–	580	–	(37)	544
At a point in time	1	–	–	1	52	–	–	52	–	–	53
Over time	–	–	–	–	528	–	–	528	–	(37)	491
Sale of goods and related services	2 276	1 084	12	3 372	669	859	94	1 622	656	(53)	5 597
At a point in time	214	116	12	342	669	760	94	1 523	656	(51)	2 470
Over time	2 062	968	–	3 030	–	99	–	99	–	(2)	3 127
Maintenance, support and outsource services	–	124	–	124	1 133	485	303	1 921	–	(1)	2 044
At a point in time	–	–	–	–	45	60	–	105	–	–	105
Over time	–	124	–	124	1 088	425	303	1 816	–	(1)	1 939

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.2 Revenue by segment (continued)

R millions	Netstar	Altron FinTech	Altron HealthTech	Platforms	Altron Digital Business	Altron Document Solutions	Altron Security	IT Services	Distri- bution Altron Arrow	Corporate and consolidation and other international operations	Continuing operations
Revenue by Product											
Training and skills management	-	-	-	-	-	-	-	-	-	13	13
Over time	-	-	-	-	-	-	-	-	-	13	13
Software, cloud and licenses, including software assurance services	-	18	204	222	574	23	-	597	13	(9)	823
At a point in time	-	18	26	44	-	15	-	15	13	-	72
Over time	-	-	178	178	574	8	-	582	-	(9)	751
Software application and development	-	29	-	29	268	-	-	268	-	-	297
Over time	-	29	-	29	268	-	-	268	-	-	297
Switching and other transactional services	-	27	181	208	17	-	-	17	-	(5)	220
At a point in time	-	-	181	181	-	-	-	-	-	-	181
Over time	-	27	-	27	17	-	-	17	-	(5)	39

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.2 Revenue by segment (continued)

R millions	Netstar	Altron FinTech	Altron HealthTech	Platforms	Altron Digital Business	Altron Document Solutions	Altron Security	IT Services	Distribution Altron Arrow	Corporate and consolidation and other international operations	Continuing operations
Total Revenue from contracts with customers	2 277	1 282	397	3 956	3 241	1 367	397	5 005	669	(92)	9 538
Rental finance income	–	–	–	–	–	50	–	50	–	–	50
Total Revenue	2 277	1 282	397	3 956	3 241	1 417	397	5 055	669	(92)	9 588
Revenue by Geographic region											
South Africa	1 873	1 275	392	3 540	2 924	1 324	366	4 614	542	(103)	8 593
Rest of Africa	8	7	5	20	169	93	24	286	12	–	318
Total Africa	1 881	1 282	397	3 560	3 093	1 417	390	4 900	554	(103)	8 911
Europe	–	–	–	–	54	–	2	56	–	13	69
Rest of world	396	–	–	396	94	–	5	99	115	(2)	608
Total International	396	–	–	396	148	–	7	155	115	11	677
Total Revenue	2 277	1 282	397	3 956	3 241	1 417	397	5 055	669	(92)	9 588

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

19 REVENUE FROM CONTRACTS WITH CUSTOMERS (continued)

19.2 Revenue by segment (continued)

28 February 2025

Discontinued operations

R millions	Altron Nexus	Discontinued operations
Revenue by product		
Project related revenue	241	241
Over time	241	241
Sale of goods and related services	82	82
At a point in time	82	82
Maintenance, support and outsource services	1	1
Over time	1	1
Software, cloud and licenses, including software assurance services	19	19
Over time	19	19
Total Revenue from contracts with customers	343	343
Total Revenue	343	343
Revenue by Geographic region		
South Africa	335	335
Rest of Africa	8	8
Total Africa	343	343
Total Revenue	343	343

Total operations

R millions

Total revenue – continuing operations	9 588
Total revenue – discontinued operations	343
Total Revenue – total operations	9 931

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

20 OPERATING PROFIT BEFORE CAPITAL ITEMS

Total operations

Is stated after taking account of the following items:

20.1 Directors' remuneration

Non-Executive Directors

R'000	28 February 2026 Total	28 February 2025 Total
Fees for services as Directors		
SW van Graan (Chairman)	1 405	1 501
AC Ball	347	565
H Christophers (Appointed 1 August 2025; resigned 5 March 2026)	407	–
BW Dawson	437	418
GG Gelink	805	711
G Kouteris (Appointed 17 May 2024)	640	331
Dr P Mnganga	713	687
T Ngara	667	493
S Rapeti	824	790
A Sithebe	242	567
NZ Siyotula (Appointed 8 September 2025)	333	–
RE Venter [#]	–	360
	6 820	6 423

[#] Remuneration in terms of Non-Executive Director fees. Passed away on 7 August 2024.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

20 OPERATING PROFIT BEFORE CAPITAL ITEMS (continued)

20.1 Directors' remuneration (continued)

R'000	Guaranteed Pay*	Defined Con- tribution Pension Payments	Per- formance related bonuses (Accrued)	Other Bonuses**	Other Payments	Share options exercised	Total
Full time Directors							
28 February 2026							
Executive							
WG Kapp	8 514	466	9 508	–	–	9 270	27 758
C Snyman	5 064	363	4 866	1 610	–	–	11 903
	13 578	829	14 374	1 610	–	9 270	39 661
28 February 2025							
Executive							
WG Kapp	8 108	372	5 042	–	–	13 125	26 647
C Snyman (Appointed 1 June 2023)	4 897	290	2 659	–	–	–	7 846
N Bofilatos (Resigned 1 June 2023)	–	–	–	–	–	205	205
	13 005	662	7 701	–	–	13 330	34 698

* This relates to fixed annual salary.

** In support of the mandatory minimum shares required by participants, the Group offers a deferred bonus scheme whereby the participants could defer 33.3% of their earned short term incentive to acquire Altron shares. Other bonuses include this support, grossed up for employees tax.

Notes to the consolidated annual financial statements continued

For the year ended 28 February 2026

20 OPERATING PROFIT BEFORE CAPITAL ITEMS (continued)

20.1 Directors' remuneration (continued)

28 February 2026												
	Share option	Allocation Date	Strike Price	Balance 1 March 2025	Awarded	Lapsed/ forfeited	Exercised	Exercise Date	Gross Proceeds R'000s	Exercise Price	Balance 28 February 2026	Expiry Date
Directors' options												
	WG Kapp	Altron BS	3 October 2022	-	500 000	-	(500 000)	12 November 2025	9 270	18.54	-	December 2025
		Altron PS	1 December 2023	-	869 565	-	-	-	-	-	869 565	July 2026
		Altron PS	1 June 2024	-	466 926	-	-	-	-	-	466 926	August 2027
		Altron PS	2 June 2025	-	-	269 720	-	-	-	-	269 720	August 2028
C Snyman		Altron BS	1 June 2023	-	434 783	-	-	-	-	-	434 783	August 2026
		Altron PS	1 December 2023	-	434 783	-	-	-	-	-	434 783	July 2026
		Altron PS	1 June 2024	-	233 463	-	-	-	-	-	233 463	August 2027
		Altron PS	2 June 2025	-	-	131 997	-	-	-	-	131 997	August 2028

Notes to the consolidated annual financial statements continued

For the year ended 28 February 2026

20 OPERATING PROFIT BEFORE CAPITAL ITEMS (continued)

20.1 Directors' remuneration (continued)

28 February 2025

Altron 2009 Share Plan	Share option	Allocation Date	Strike Price	Balance 1 March 2024	Awarded	Lapsed/ forfeited	Exercised	Exercise Date	Gross Proceeds R'000s	Exercise Price	Balance 28 February 2025	Expiry Date
Directors' options												
WG Kapp	Altron BS	3 October 2022	–	1 500 000	–	–	(1 000 000)	–	–	–	500 000	December 2025
							(500 000)	27 June 2024	7 025	14.05		
							(500 000)	14 November 2024	10 125	20.25		
	Altron PS	1 December 2023	–	869 565	–	–	–	–	–	–	869 565	July 2026
	Altron PS	1 June 2024	–	–	466 926	–	–	–	–	–	466 926	August 2027
C Snyman (Appointed 1 June 2023)												
	Altron BS	1 June 2023	–	434 783	–	–	–	–	–	–	434 783	August 2026
	Altron PS	1 December 2023	–	434 783	–	–	–	–	–	–	434 783	July 2026
	Altron PS	1 June 2024	–	–	233 463	–	–	–	–	–	233 463	August 2027

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

20 OPERATING PROFIT BEFORE CAPITAL ITEMS (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
Total operations is stated after taking account of the following items:		
20.2 Employees' remuneration		
Employee remuneration (including Directors' remuneration)	2 611	2 454
Share-based payments – equity settled (note 13.5)	62	33
Retirement and provident funds	227	188
	2 900	2 675
Continuing operations	2 865	2 598
Discontinued operations	35	77
20.3 Materials and services consumed		
Cost of goods sold and services rendered	3 917	4 400
Cost of goods sold – Direct materials	2 345	2 708
Cost of goods sold – Services	1 616	1 729
Cost of goods sold – Other	(44)	(37)
Repairs and maintenance	21	31
Sales and administration costs	530	635
Management fees	–	1
Training fees	98	86
Consulting fees	122	188
Auditors' remuneration	20	22
PricewaterhouseCoopers Inc		
Audit fees	17	17
Expenses	1	3
Total PricewaterhouseCoopers Inc	18	20
Other auditors		
Audit fees	1	1
Fees for non audit services	1	1
Total other auditors	2	2
Foreign exchange (gains)/losses	19	5
Gains	(79)	(54)
Losses	71	59
Forward exchange contracts fair value adjustments	27	–
Operating lease charges	16	24
Property	9	11
Plant, equipment and vehicles	7	13
Other expenses*	215	276
	4 958	5 668
Continuing operations	4 866	5 248
Discontinued operations	92	420

* The other expenses comprise of licenses R92 million (2025: R66 million), bad debts expense R45 million (2025: R35 million) and retrenchement costs R21 million (2025: R13 million).

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

20 OPERATING PROFIT BEFORE CAPITAL ITEMS (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
20.4 Foreign exchange (gains)/losses		
	19	6
Realised	(16)	5
Unrealised	35	1
Continuing operations	18	7
Discontinued operations	1	(1)
20.5 Other income		
Other income*	(80)	(123)
	(80)	(123)
Continuing operations	(80)	(107)
Discontinued operations	–	(16)
* Other income is mainly attributable to insurance refunds and royalty income.		
20.6 Depreciation and amortisation		
Depreciation on property, plant and equipment (note 1)	85	87
Amortisation of intangible assets and goodwill (note 2)	87	107
Depreciation on right-of-use assets (note 3)	96	95
Amortisation of costs incurred to acquire contracts during the year (note 7)	312	310
Amortisation of capital rental devices (note 8)	204	251
	784	850
Continuing operations	784	850
Discontinued operations	–	–

R millions	GROUP	
	28 February 2026	28 February 2025
21 CAPITAL ITEMS		
Continuing operations		
Net profit on disposal of property, plant and equipment (note 1)	3	1
Net loss on deregistration and disposal of operations	(1)	(1)
Impairment of right-of-use assets (note 3)	(11)	(6)
Impairment of property, plant and equipment (note 1)	(16)	(63)
Impairment of intangible assets	(10)	–
Impact of lease modifications and terminations	(5)	–
Impairment of contract costs capitalised (note 7)	–	(1)
Capital rental devices written off (note 8)	(106)	(50)
	(146)	(120)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

21 CAPITAL ITEMS (continued)

R millions	GROUP	
	28 February 2026	28 February 2025
Discontinued operations		
Loss on disposal of operations and subsidiaries	(37)	–
Net loss on disposal of property, plant and equipment	(1)	–
Impairment of held-for-sale disposal groups (note 40)	(1)	(33)
Impairment of property, plant and equipment (note 1)	(1)	(28)
Impairment of right-of-use assets (note 3)	–	(5)
	(39)	(33)
Total	(185)	(153)

R millions	GROUP	
	28 February 2026	28 February 2025
22 FINANCE INCOME		
Recognised in profit or loss		
Interest income on financial assets measured at amortised cost	67	76
Interest income on lease asset	15	13
Total interest income	82	89
Dividend income on financial assets measured at FVOCI	4	4
Total dividend income	4	4
Total Finance income	86	93
Continuing operations	84	90
Discontinued operations	2	3
	86	93
Interest received per consolidated statement of cash flows		
Interest income	82	89
Interest received on finance lease assets included in revenue	66	57
Interest received on vendor and merchant loans	22	–
Accrued interest	(3)	–
Interest received	167	146

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

23 FINANCE EXPENSE

R millions	GROUP	
	28 February 2026	28 February 2025
Recognised in profit or loss		
Interest expense on financial liabilities measured at amortised cost	56	105
Commitment fees and other costs of funding	10	10
Interest expense on lease liability	63	63
	129	178
Continuing operations	129	177
Discontinued operations	–	1
	129	178
Interest paid per consolidated statement of cash flows		
Finance expense	129	178
Interest relating to rental finance liabilities included in costs of goods sold and services rendered	66	59
Less interest raised – not paid	–	(27)
Interest paid	195	210

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

24 SHARE OF PROFIT OF EQUITY ACCOUNTED INVESTEEES, NET OF TAXATION

R millions	GROUP	
	28 February 2026	28 February 2025
Attributable earnings	3	3

Refer note 39.3 and 39.4 for detailed disclosures on the interest in associates and joint ventures respectively.

25 TAXATION

25.1 Taxation charge

Current year		
– normal tax	123	76
– withholding tax	(2)	1
– dividend withholding tax	2	1
– deferred tax	67	70
(Over)/under provision relating to prior years		
– normal tax	(1)	(10)
– deferred tax	13	28
	202	166
Continuing operations	203	150
Discontinued operations	(1)	16

25.2 Reconciliation of effective tax rate

	%	%
South African normal tax rate	27.0	27.0
Adjusted for:		
Non-deductible expenditure*	2.4	2.7
Non-taxable income**	(3.0)	(5.0)
Dividends withholding tax	0.1	0.3
Foreign tax rate differential	0.2	(0.1)
Income from associates	(0.1)	(0.1)
Temporary differences not recognised	1.1	1.0
Utilisation of previously unrecognised tax losses	(7.4)	(0.5)
Prior year adjustments	1.2	3.2
(Decrease)/increase	(5.5)	1.5
Effective tax rate	21.5	28.5

* Relates to loss on disposal of operations, impairments of Held-for-sale operations, increase in ECLs relating to loans to Joint venture, unrealised foreign exchange losses, share based payment expenses and other costs that are capital in nature.

** Non-taxable income relates to the defined benefit fund gain, learnership and research and development allowances.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

26 EARNINGS PER SHARE

26.1 Reconciliation between earnings and headline earnings

R millions	GROUP			
	28 February 2026		28 February 2025	
	Gross	Net of tax and non-controlling interests	Gross	Net of tax and non-controlling interests
Profit/(loss) attributable to shareholders		727		390
Adjustments for:				
Impairment of intangible assets	10	10	–	–
Net loss on deregistration and disposal of operations	37	37	–	–
Impairment of held-for-sale disposal groups (note 40)	1	1	33	33
Net (profit)/loss on disposal of property, plant and equipment	(2)	(1)	(1)	(1)
Impairment of property, plant and equipment (note 1)	16	12	63	46
Impairment of right-of-use assets (note 3)	11	8	6	4
Lease modifications and terminations	5	4	–	–
Impairment of contract costs capitalised (note 7)	–	–	1	1
Capital rental devices written off (note 8)	106	77	50	37
Headline earnings		875		510
Basic earnings/(loss) per share from total operations (cents)		190		103
Headline earnings per share from total operations (cents)		229		134

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

26 EARNINGS PER SHARE (continued)

26.2 Reconciliation between earnings and headline earnings from continuing operations

R millions	GROUP			
	28 February 2026		28 February 2025	
	Gross	Net of tax and non-controlling interests	Gross	Net of tax and non-controlling interests
Earnings attributable to shareholders		802		591
Adjustments for:				
Impairment of intangible assets	10	10		
Impairment of property, plant and equipment (note 1)	16	12	63	46
Impairment of right-of-use assets (note 3)	11	8	6	4
Lease modifications and terminations	5	4	–	–
Net (profit)/loss on disposal of property, plant and equipment	(3)	(2)	(1)	(1)
Impairment of contract costs capitalised (note 7)	–	–	1	1
Capital rental devices written off (note 8)	106	77	50	37
Headline earnings		911		678
Basic earnings per share from continuing operations (cents)		210		156
Headline earnings per share from continuing operations (cents)		239		178

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

26 EARNINGS PER SHARE (continued)

26.3 Reconciliation between earnings and headline earnings from discontinued operations

R millions	GROUP			
	28 February 2026		28 February 2025	
	Gross	Net of tax and non-controlling interests	Gross	Net of tax and non-controlling interests
Loss attributable to shareholders		(75)		(201)
Adjustments for:				
Net loss on deregistration and disposal of operations	37	37	–	–
Net (profit)/loss on disposal of property, plant and equipment	1	1	–	–
Impairment of held-for-sale disposal groups (note 40)	1	1	33	33
Headline earnings		(36)		(168)
Basic loss per share from discontinued operations (cents)		(20)		(53)
Headline earnings per share from discontinued operations (cents)		(10)		(44)

R millions	GROUP	
	Number of shares	
	28 February 2026	28 February 2025
26.4 Reconciliation of weighted average number of shares		
Issued shares at the beginning of the year (A ordinary and N ordinary shares)	412 055 395	411 018 564
Effect of own shares at the beginning of the year	(30 837 778)	(32 287 468)
Effect of shares issued during the year	733 518	360 653
Effect of own shares traded during the year	–	764 857
Weighted average number of shares	381 951 135	379 856 606
26.5 Reconciliation between number of shares used for earnings per share and diluted earnings per share		
Weighted average number of shares	381 951 135	379 856 606
Dilutive options	13 343 171	11 970 239
Weighted average number of shares (diluted)	395 294 306	391 826 845

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

26 EARNINGS PER SHARE (continued)

		GROUP	
R millions		28 February 2026	28 February 2025
26.6	Reconciliation between loss and diluted loss are as follows:		
	Profit attributable to shareholders	727	390
	Diluted profit	727	390

26.7 Reconciliation between headline earnings attributable to shareholders and diluted headline earnings

R millions		28 February 2026	28 February 2025
	Headline earnings	875	510
	Diluted headline earnings	875	510
	Diluted headline earnings per share from total operations (cents)	221	130
	Diluted earnings per share from total operations (cents)	184	100

26.8 Reconciliation between headline earnings attributable to shareholders and diluted headline earnings from continuing operations

R millions		28 February 2026	28 February 2025
	Headline earnings	911	678
	Diluted headline earnings	911	678
	Diluted headline earnings per share from continuing operations (cents)	230	173
	Diluted earnings per share from continuing operations (cents)	203	151

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

26 EARNINGS PER SHARE (continued)

26.9 Reconciliation between headline earnings attributable to shareholders and diluted headline earnings from discontinuing operations

R millions	28 February 2026	28 February 2025
Headline earnings	(36)	(168)
Diluted headline earnings	(36)	(168)
Diluted headline earnings per share from discontinued operations (cents)	(9)	(43)
Diluted loss per share from discontinued operations (cents)	(19)	(51)

Basic earnings per share is calculated by dividing the earnings attributable to Altron equity holders by the weighted average number of A ordinary shares in issue during the year.

Basic headline earnings per share is calculated by dividing headline earnings by the weighted average number of A ordinary shares in issue during the year.

For diluted earnings per share, the weighted average number of shares is adjusted to assume conversion of all outstanding share options under the employee share option schemes, net of proceeds received on those options that have a dilutive effect.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

27 COMMITMENTS AND CONTINGENT LIABILITIES

27.1 Commitments

R millions	GROUP	
	28 February 2026	28 February 2025
Non-cancellable operating leases*		
At year-end, the Group had outstanding commitments under non-cancellable operating leases, which fall due as follows:		
Within one year		
Property	3	–
Plant, equipment and vehicles	–	1
	3	1
One to five years		
Plant, equipment and vehicles	1	–
	1	–
Total non-cancellable operating leases*	4	1

* Commitments arising from non-cancellable operating leases are as a result of the exception used in terms of IFRS 16 whereby low value items or short term leases are treated as operating leases.

27.2 Contingent liabilities

Dispute with the South African Revenue Service

Altron is currently in a dispute with the South African Revenue Service regarding a historic tax submission. Based on the view by our attorneys that we have reasonable prospects of success with defending the dispute, Altron will not be making a provision at this stage.

28 EVENTS AFTER THE REPORTING PERIOD

Dividends declared

The Board declared a special dividend of 120 cents per share and a final dividend of 72 cents per share on 21 May 2025. The special dividend is subject to approval by the South African Reserve Bank.

Acquisition of XTEC KZN (Proprietary) Limited (XTEC)

Subsequent to the reporting period, Altron TMT entered into a shared ownership transaction with XTEC KZN (Proprietary) Limited (XTEC) whereby Altron TMT contributed the Durban operations of Altron Document Solutions to XTEC in exchange for shares representing a 51% controlling stake in XTEC. The existing shareholders of XTEC will retain the remaining 49% interest. The transaction was concluded on 1 March 2026.

The Directors are not aware of any other events after the reporting period that will have a material impact on the financial position, performance or cash flows of the Group.

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Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT

Exposure to currency, interest rate, liquidity and credit risk arises in the normal course of the Group's business.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements. The Group does not have material price risk.

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board has established the audit and risk committee (AARC), which is responsible for developing and monitoring the Group's risk management policies. The committee reports regularly to the Board of Directors on its activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

29.1 Categories of financial instruments

28 February 2026				
Assets				
R millions	Amortised cost	Fair value through profit or loss	Equity instruments at FVOCI	Total
Non-current financial asset				
Non-current financial assets (note 5)	92	–	21	113
Rental finance lease assets (note 6)	194	–	–	194
Current financial asset				
Trade and other receivables (note 11)	1 960	–	–	1 960
Forward exchange contracts (note 11)	–	1	–	1
Cash and cash equivalents (note 12)	1 104	–	–	1 104
Cash held on behalf of merchants (note 12)	247	–	–	247
	3 597	1	21	3 619
Non-current financial liabilities				
Loans	–	–	–	–
Lease liabilities (note 3)	–	–	–	–
Current financial liability				
Trade and other payables (note 17)	–	–	–	–
Lease liabilities (note 3)	–	–	–	–
Amounts due to merchants (note 17)	–	–	–	–
Forward exchange contracts (note 17)	–	–	–	–
Loans (note 15)	–	–	–	–
Bank overdraft (note 12)	–	–	–	–
	–	–	–	–

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Liabilities

	Amortised cost	Fair value through profit or loss	Total
	-	-	-
	-	-	-
	-	-	-
	-	-	-
	-	-	-
	-	-	-
	-	-	-
	701	-	701
	634	-	634
	971	-	971
	122	-	122
	242	-	242
	-	21	21
	209	-	209
	4	-	4
	2 883	21	2 904

Notes to the consolidated annual financial statements continued

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29 FINANCIAL RISK MANAGEMENT (continued)

29.1 Categories of financial instruments (continued)

R millions	28 February 2025			
	Assets			Total
	Amortised cost	Fair value through profit or loss	Equity instruments at FVOCI	
Non-current financial asset				
Non-current financial assets (note 5)	–	–	21	21
Rental finance lease assets (note 6)	202	–	–	202
Current financial asset				
Trade and other receivables (note 11)	2 017	–	–	2 017
Forward exchange contracts (note 11)	–	9	–	9
Cash and cash equivalents (note 12)	751	–	–	751
Cash held on behalf of merchants (note 12)	269	–	–	269
	3 239	9	21	3 269
Non-current financial liabilities				
Loans	–	–	–	–
Lease liabilities (note 3)	–	–	–	–
Current financial liability				
Trade and other payables (note 17)	–	–	–	–
Lease liabilities (note 3)	–	–	–	–
Amounts due to merchants (note 17)	–	–	–	–
Forward exchange contracts (note 17)	–	–	–	–
Loans (note 15)	–	–	–	–
Bank overdraft (note 12)	–	–	–	–
	–	–	–	–

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Liabilities

	Amortised cost	Fair value through profit or loss	Total
	–	–	–
	–	–	–
	–	–	–
	–	–	–
	–	–	–
	–	–	–
	–	–	–
	217	–	217
	733	–	733
	1 127	–	1 127
	95	–	95
	236	–	236
	–	2	2
	623	–	623
	24	–	24
	3 055	2	3 057

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.2 Foreign currency risk

Forward exchange contracts are used as a means of reducing exposure to fluctuations in foreign exchange rates for procurement in foreign currencies. The Group incurs currency risk as a result of transactions which are denominated in a currency other than the Group entities' functional currency in respect of purchases, sales and borrowings. The currencies giving rise to currency risk in which the Group primarily deals are British pounds (GBP), US dollars (USD), Euros (Euro) and Australian dollars (AUD). The Group entities hedge payables, receivables and borrowings denominated in foreign currencies. The settlement of these transactions takes place within a normal business cycle. The Group has clearly defined policies for the management of foreign currency exchange risks. Speculative use of financial instruments or derivatives is not permitted and none has occurred during any periods presented.

The Group's exposure to foreign currency risk was as follows:

	28 February 2026			
	Foreign amount			
	GBP Millions	Euro Millions	USD Millions	AUD Millions
Trade and other receivables	*	–	9	–
Cash and cash equivalents	–	–	2	–
Loans	–	–	(1)	–
Trade and other payables	*	(1)	(15)	–
Gross balance sheet exposure	*	(1)	(5)	–
Forecast transactions	–	–	(4)	–
Gross exposure	*	(1)	(9)	–
Forward exchange contracts	–	3	27	–
Net exposure	*	2	18	–

	28 February 2026			
	ZAR			
	GBP Millions	Euro Millions	USD Millions	AUD Millions
Trade and other receivables	3	–	149	–
Cash and cash equivalents	–	1	31	–
Loans	–	–	(14)	–
Trade and other payables	(1)	(24)	(238)	–
Gross balance sheet exposure	2	(23)	(72)	–
Forecast transactions	–	–	(70)	–
Gross exposure	2	(23)	(142)	–
Forward exchange contracts	–	62	427	–
Net exposure	2	39	285	–

* Nominal amount

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Foreign amount

GBP Millions	Euro Millions	USD Millions	AUD Millions
—	—	10	*
—	—	2	*
*	*	(1)	*
—	—	(17)	*
—	—	(6)	*
*	*	(6)	*
—	—	(12)	*
*	1	23	*
*	1	12	*

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ZAR

GBP Millions	Euro Millions	USD Millions	AUD Millions
1	3	195	*
—	1	37	*
*	*	(18)	*
(4)	(7)	(317)	*
(3)	(3)	(103)	*
*	*	(115)	*
(3)	(3)	(218)	*
—	12	432	*
(3)	9	214	*

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.2 Foreign currency risk (continued)

The following significant exchange rates were applied during the year:

	28 February 2026		28 February 2025	
	Average rate	Closing rate	Average rate	Closing rate
British pound	21.75	21.51	23.31	23.56
Euro	18.74	18.84	19.65	19.43
US dollar	17.48	15.95	18.30	18.73
Australian dollar	11.29	11.33	11.97	11.63

Sensitivity analysis

A 1% strengthening/weakening in the Rand against the following currencies at reporting date would have increased/(decreased) profit or loss and equity by the amounts shown below.

This analysis assumes that all other variables, in particular interest rates, remain constant. The analysis is performed on the same basis for 2025.

The movement in other currencies are not material to the Group and consequently are not elaborated on any further.

	Profit or loss and equity	Profit or loss and equity
	Strengthening R millions	Weakening R millions
28 February 2026		
Euro	(0.4)	0.4
US dollar	(2.8)	2.8
British pound	–	–
Australian dollar	–	–
28 February 2025		
Euro	(0.2)	0.2
US dollar	(2.2)	2.2
British pound	–	–
Australian dollar	–	–

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.3 Foreign exchange contracts

The principal or contract amounts of the foreign exchange contracts for trade payables, receivables and borrowings, including forecast transactions, at reporting date were:

Net foreign exchange contracts to pay/(receive)	28 February 2026		28 February 2025	
	Foreign amount Millions	Rand amount Millions	Foreign amount Millions	Rand amount Millions
British pound	–	–	–	–
US dollar	27	427	23	432
Euros	3	62	1	12
Australian dollar	–	–	*	*
		489		444
Comprising foreign exchange contracts:				
– to pay		539		457
– to receive		(50)		(13)
		489		444
Value of contracts at mark-to-market				
Foreign exchange contract financial asset at fair value through profit or loss (note 11)		1		9
Foreign exchange contract financial liability at fair value through profit or loss (note 17)		(21)		(2)

* Nominal amount

29.4 Interest rate risk

Interest rate risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Fluctuations in interest rates impact on the value of investments and financing activities, giving rise to interest rate risk.

The Group has certain financial asset and liability instruments, which bear interest at either fixed or floating interest rates (note 29.4.1). Interest rates on all borrowings compare favourably with those rates available in the market.

The Group policy with regards to financial assets, is to invest cash at floating rates of interest and to maintain cash reserves in short-term investments in order to maintain liquidity, while also achieving a satisfactory return.

Interest rate risk is monitored by management daily and cash is moved between bank accounts to maximise arbitrage. The Group's treasury function monitors both available cash as well as long-term borrowings and overnight/overdraft facilities holistically in order to restructure its use of debt and optimise interest exposure. During the current year, the Group increased its long-term debt to R500 million (FY2025: R425 million).

There have been no significant changes in the interest rate risk management policies and processes since the prior reporting period.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.4 Interest rate risk (continued)

29.4.1 Interest rate profile

The interest rate profile of interest-bearing financial instruments at the end of the reporting period was as follows:

	GROUP	
	Carrying amount	
	28 February 2026	28 February 2025
Fixed rate instruments		
Financial assets		
Rental finance lease assets (note 6)	409	413
	409	413
Financial liabilities		
Lease liabilities relating to right-of-use assets (note 3)	(756)	(828)
Lease liabilities relating to right-of-use assets – classified as held-for-sale (note 40)	–	(4)
Rental finance lease liabilities (note 6)	(410)	(415)
	(1 166)	(1 247)
Net fixed rate financial instruments	(757)	(834)
Variable rate instruments		
Financial assets		
Loan to Technologies Acceptances Receivables Proprietary Limited (TAR) (note 5)	132	138
Loan to Sentiv Proprietary Limited (previously Altron Nexus Proprietary Limited)	47	–
Bridging finance loans to vendors (note 5)	111	–
Cash at bank (note 12)	1 104	751
	1 394	889
Financial liabilities		
Bank overdraft (note 12)	(4)	(24)
Secured bank loans (note 15)	(500)	(425)
	(504)	(449)
Net variable rate financial instruments	890	440
Total net interest-bearing financial instruments	133	(394)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.4 Interest rate risk (continued)

29.4.2 Interest rate sensitivity analysis

The following sensitivity analysis represents a reasonable possible change in interest rates. All other variables remain constant. The sensitivity analysis includes only financial instruments exposed to variable interest rate risk which were recognised at the reporting date. No changes were made to the methods and assumptions used in the preparation of the sensitivity analysis compared to the previous reporting period.

R millions	28 February 2026		28 February 2025	
	100 bp increase in rate	100 bp decrease in rate	100 bp increase in rate	100 bp decrease in rate
Profit or loss and equity				
Financial assets				
Loan to Technologies Acceptances Receivables Proprietary Limited (TAR)	1	(1)	1	(1)
Loan to Sentiv Proprietary Limited (previously Altron Nexus Proprietary Limited)	*	*	–	–
Bridging finance loans to vendors	1	(1)	–	–
Cash at bank	8	(8)	5	(5)
Financial liabilities				
Bank overdraft	*	*	*	*
Secured bank loans	(4)	4	(3)	3
	6	(6)	3	(3)

* Nominal amount.

The Group is exposed to the JIBAR rate through secured bank loans (note 15). The SARB through its Market Practitioners Group, is progressing with the transition from JIBAR to a new risk-free reference rate that is based on the ZARONIA. As at 28 February 2026, the secured bank loans still made reference to JIBAR, and no contractual amendments had been effected. The Group assessed the loan agreements and confirmed that the agreements make provision to allow for the transitioning to a similar interest rate to be formally implemented. The implementation is not expected to have a material impact on the Group's financial position and liquidity, as the replacement rate is economically equivalent and will be accounted for as a change in the market interest rate.

29.5 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's non-current financial assets, trade and other receivables, contract assets, net investment in lease, rental finance lease assets, foreign exchange contracts, cash and cash equivalents and cash held on behalf of merchants.

Management has a credit risk policy in place and the exposure to credit risk is monitored on an ongoing basis.

Credit evaluations are performed on all customers requiring credit over a certain amount.

Credit guarantee insurance is taken where considered appropriate.

The maximum exposure to credit risk is represented by the carrying value of each financial asset recognised.

The Group has no significant concentration of credit risk, with exposure spread over a large number of customers, apart from the trade receivable in respect of Thobela Telecoms (note 11).

The maximum exposure to credit risk arising from derivative financial instruments is the contractual amounts receivable in respect of foreign exchange contracts.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.5 Credit risk (continued)

Guarantees

The Group provides financial guarantees mainly on behalf of wholly owned subsidiaries. External guarantees are provided in exceptional circumstances.

Refer to note 8 of the separate financial statements for further disclosures on external financial guarantees.

29.6 Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's approach to managing liquidity risk is to ensure that sufficient liquidity is available to meet its liabilities when due.

The Group ensures it has sufficient cash on demand or access to facilities to meet expected operational expenses for the next 12 months, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters. The Group maintains the following lines of credit:

– R 1.45 billion (2025: R1.45 billion) overdraft facility, that has not been drawn from (2025: Rnil million). Interest payable is linked to the prime and money market interest rates.

29.7 Fair values and risk management

(a) Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value as the carrying amounts of these financial assets and liabilities are considered to be a reasonable approximation of fair value.

28 February 2026

R millions	Carrying amount		
	Measured at fair value	Total	Level 1
Financial assets measured at fair value			
Preference share investment in Technologies Acceptances Receivables Proprietary Limited (TAR) (note 5)	21	21	–
Forward exchange contracts (note 11)	1	1	–
	22	22	–
Financial liabilities measured at fair value			
Forward exchange contracts (note 17)	(21)	(21)	–
	(21)	(21)	–

Fair value

	Level 2	Level 3	Total
	–	21	21
	1	–	1
	1	21	22
	(21)	–	(21)
	(21)	–	(21)

Notes to the consolidated annual financial statements continued

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29 FINANCIAL RISK MANAGEMENT (continued)

29.7 Fair values and risk management (continued)

(a) Accounting classifications and fair values (continued)

28 February 2025

R millions	Carrying amount		
	Measured at fair value	Total	Level 1
Financial assets measured at fair value			
Preference share investment in Technologies Acceptances Receivables Proprietary Limited (TAR) (note 5)	21	21	–
Forward exchange contracts (note 11)	9	9	–
	30	30	–
Financial liabilities measured at fair value			
Forward exchange contracts (note 17)	(2)	(2)	–
	(2)	(2)	–

The carrying amounts of financial assets that are not subsequently measured at fair value i.e. financial assets at amortised cost is considered to approximate the fair value.

The carrying amount of financial liabilities that are not subsequently measured at fair value i.e. financial liabilities at amortised cost is considered to approximate the fair value.

The different levels as disclosed in the table above have been defined as follows:

Level 1	Quoted prices (unadjusted) in active markets for identical assets or liabilities.
Level 2	Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
Level 3	Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value

	Level 2	Level 3	Total
	–	21	21
	9	–	9
	9	21	30
	(2)	–	(2)
	(2)	–	(2)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.7 Fair values and risk management (continued)

(b) Measurement of fair values

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring Level 2 and Level 3 fair values, as well as the significant unobservable inputs used:

Financial instruments measured at fair value

Type	Valuation technique
Forward exchange contracts	Market comparison technique: The fair value of foreign exchange contracts are marked-to-market by comparing the contracted forward rate to the present value of the current forward rate of an equivalent contract with the same maturity date.
Preference share in Technologies Acceptances Receivables Proprietary Limited	The dividend growth model was used to determine the fair value of the preference share using the historic dividends that were received from the investment.

Transfers

There were no transfers between levels 1, 2 or 3 of the fair value hierarchy for the years ended 28 February 2026 and 28 February 2025.

Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurements
Not applicable	Not applicable
Discount rate of 11.61% (2025: 12.21%) Annual perpetuity growth 0% (2025: 0%)	The estimated fair value would increase/(decrease) if: - the discount rate was lower/(higher) by 1% then the value would increase/(decrease) by R2 million; - the annual perpetuity growth rate was higher/(lower) by 1% then the value would increase/(decrease) by R2 million.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.8 Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain the future development of the business. The Board of Directors monitors both the demographic spread of shareholders and the return on capital, capital being defined as total shareholders' equity, excluding non-controlling interests. The Board of Directors monitors and approves the level of dividends to shareholders.

The Board seeks to maintain a balance between the higher returns that might be possible with higher levels of borrowings and the advantages and security afforded by a sound solvency position. The current gearing levels of the Group are within acceptable limits.

The Group's Board has determined a short term targeted debt level less than 1.0x EBITDA (as defined in the common terms of agreement (CTA)), which is significantly lower than the covenant level in the CTA.

Altron's share capital consists of 414 million (2025: 412 million) A ordinary shares and 1 high voting share. The holders (Venter family) of the High Voting share are entitled to voting rights of 25% plus one vote, so long as members of the Venter family are the ultimate beneficial owners of at least 10% of the A ordinary shares.

The Group utilises a share scheme, as approved by the shareholders, as a long-term retention mechanism for senior executives and other key employees. The three components, which are disclosed fully in note 13 of the financial statements, contain conditions so that the interests of existing shareholders and management are aligned. Awards under this scheme are in accordance with a total remuneration strategy and are approved by the Board's Remuneration Committee.

The Group does not have a defined share buy-back plan, but does from time to time purchase its shares in the market; the timing of these purchases depends on market prices. Shares acquired are either held as treasury shares or would be cancelled on repurchase. The Group currently holds approximately 31 million treasury shares (note 13) and there are restrictions on the rights of these shares under the JSE Listings Requirements.

The Group has a general authority in place to acquire up to 5% of the Company's issued share capital in any one financial year, which expires at the next annual general meeting and adheres to a 10% limit on its holding of treasury shares.

Altron's capital management is partially restricted by covenants provided to lenders in respect of borrowing obligations. In accordance with the debt structure of the Group, the Group's net debt to EBITDA (as defined in the CTA) ratio is limited to 2 and the EBITDA (as defined in the CTA) divided by the net finance charges is limited to a minimum of 3.5 times. For the 28 February 2026 measurement date, the Group's net debt to EBITDA (as defined in the CTA) ratio is (0.29) (2025: 0.16) and the EBITDA (as defined in the CTA) divided by net finance charges is 42.84 (2025: 133.25).

In the event that these covenants are not met, the lenders would be able to request immediate repayment of debt. Altron has complied with the required covenants as at 28 February 2026. There were no changes in the Group's approach to capital management during the year.

The Group defines net debt as loans and rental finance lease liabilities net of cash. Lease liabilities relating to right-of-use assets and merchant cash are excluded from the calculation.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

29 FINANCIAL RISK MANAGEMENT (continued)

29.8 Capital management (continued)

The Group's net debt may be calculated as follows:

R millions	GROUP	
	28 February 2026	28 February 2025
Non-current loans (note 15)	500	–
Current loans (note 15)	–	425
Non-current rental finance liabilities (note 6)	201	217
Current rental finance liabilities (note 6)	209	198
Total loans	910	840
	1 100	727
Total net cash (note 12)	1 347	993
Cash included in held-for-sale assets (note 40)	–	3
Less cash held on behalf of merchants (note 12)	(247)	(269)
Net debt as reported	(190)	113

Refer to note 13 for a quantitative summary of authorised and issued capital.

30 RELATED-PARTY TRANSACTIONS

The Group has a related-party relationship with its subsidiaries, associates and joint ventures and with its Directors and key management personnel (refer below).

R millions	28 February 2026	28 February 2025
30.1 Associates and joint ventures		
Dividends received		
Mediswitch Namibia Proprietary Limited	3	3
Thobela Telecoms	25	25
Funds advanced to Joint Venture (note 39)	105	103
Trade receivables (note 11)	309	309
Total expected credit loss (note 11 and note 39)	(389)	(387)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

30 RELATED-PARTY TRANSACTIONS (continued)

30.2 Directors

Details relating to Directors' remuneration are disclosed in note 20.1.

As at 28 February 2026, the Directors of the Company held direct and indirect interests (through an associate as defined in the JSE Listings Requirements) in the Group. As at 28 February 2026, the Directors held 103 742 430 (2025: 160 213 015) of the Company's issued A ordinary shares on a cumulative basis. Details of shares held per individual Director are listed below.

A total of 2 841 237 (2025: 2 939 520) share appreciation rights, performance share options and bonus share options are allocated to Directors in terms of the Company's employee share scheme.

	28 February 2026 Direct Beneficial A Ordinary shares	28 February 2025 Direct Beneficial A Ordinary shares
Name of Director		
RE Venter*	–	44 015
GG Gelink	38 000	38 000
CC Snyman	315 000	280 000
Total	353 000	362 015

* The Director passed on 7 August 2024.

	Indirect Beneficial A Ordinary shares	Indirect Beneficial A Ordinary shares
Name of Director		
RE Venter ¹	–	56 192 243
BW Dawson ²	3 057 866	3 057 866
SW van Graan ³	25 000	25 000
WG Kapp ⁴	1 210 037	1 433 224
Total	4 292 903	60 708 333

¹ Shares held through Biltron Proprietary Limited where Director is a beneficiary. The Director passed on 7 August 2024.

² Cumulative Shares held through Campan Enterprises Proprietary Limited (2 721 088) and Anuva Investments Limited (336 778) where Director is a beneficiary.

³ Shares held by spouse of Director.

⁴ Shares held through the WG Kapp Family Trust where the Director is a beneficiary.

Notes to the consolidated annual financial statements continued

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30 RELATED-PARTY TRANSACTIONS (continued)

30.2 Directors (continued)

	Indirect Non-Beneficial A Ordinary shares	Indirect Non-Beneficial A Ordinary shares
Name of Director		
AC Ball /T Ngara ⁵	99 096 527	99 142 667
Total	99 096 527	99 142 667

⁵ The cumulative shares are controlled by Value Capital Partners Proprietary Limited ("VCP"), even though the shares are not directly held by VCP where the Directors are beneficiaries of VCP, there remains an indirect beneficial interest for VCP and its directors.

Save for the foregoing, the Directors' interests in securities for the year under review remain unchanged.

30.3 Key management personnel

	GROUP	
R millions	28 February 2026	28 February 2025
Key management personnel are defined as Directors of the Company and its principal subsidiary companies, including Prescribed Officers.		
The key management personnel compensations were as follows:		
Short-term employee benefits, including salaries and bonuses	36	27
Post-employment benefits	1	1
Equity compensation benefits	9	13
	46	41

30.4 Shareholders

Public and non-public shareholders

A Ordinary shares

28 February 2026	Number of shareholders	%	Number of shares	%
Non-Public Shareholders	9	0.07	134 581 864	32.51
Director/Related Holdings	8	0.06	103 744 086	25.06
Treasury shares	1	0.01	30 837 778	7.45
Public Shareholders	13 465	99.93	279 351 056	67.49
TOTAL	13 474	100.00	413 932 920	100.00

28 February 2025	Number of shareholders	%	Number of shares	%
Non-Public Shareholders	9	0.07	191 050 793	46.36
Director/Related Holdings	8	0.06	160 213 015	38.88
Treasury shares	1	0.01	30 837 778	7.48
Public Shareholders	13 008	99.93	221 004 602	53.63
TOTAL	13 017	100.00	412 055 395	99.99

Notes to the consolidated annual financial statements continued

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30 RELATED-PARTY TRANSACTIONS (continued)

30.4 Shareholders (continued)

Material shareholders

Beneficial shareholders (excluding Directors) holding 5% or more of the Company's listed A ordinary shares as at 28 February 2025 were the following:

	28 February 2026		28 February 2025	
	Number of shares	%	Number of shares	%
Value Capital Partners Proprietary Limited*	99 096 527	23.94	99 142 667	24.06
Coronation Asset Management Proprietary Limited	83 843 640	20.26	92 075 465	22.35
Biltron Proprietary Limited	56 192 243	13.58	56 192 243	13.64
Public Investment Corporation	38 355 755	9.27	38 795 182	9.42
Altron Finance (Pty) Ltd	30 837 778	7.45	30 837 778	7.48
Camissa Asset Management (Pty) Limited**	27 632 873	6.68	19 661 638	4.77
TOTAL	335 958 816	81.18	336 704 973	81.72

* The cumulative shares controlled by Value Capital Partners Proprietary Limited through its associates.

** The shareholder did not hold more than 5% of the Company's listed A ordinary shares in the prior year.

Notes to the consolidated annual financial statements continued

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31 CRITICAL JUDGEMENTS AND ESTIMATES MADE BY MANAGEMENT

In preparing financial statements in conformity with IFRS Accounting Standards, estimates and assumptions that materially affect the reported amounts and related disclosures are as follows:

31.1 Critical estimates made by management

- **Deferred tax assets**

Management's judgement is exercised when determining the probability of future taxable profits, which will determine whether deferred tax assets should be recognised or derecognised. The utilisation of deferred tax assets will depend on whether it is possible to generate sufficient taxable income.

Deferred tax assets have been raised at year end on income tax losses and temporary differences in certain subsidiaries based on current profit forecasts. The Group analysed its deferred tax assets in respect of assessed losses and expects to realise the deferred tax assets in the ordinary course of business.

- **Impairment assessments of goodwill**

The recoverable amounts of the respective CGUs were determined based on fair value less cost to sell calculations. The calculations mainly use forecast cash flow projections based on financial budgets that were approved by the Board of Directors. The forecast period used in the calculations covers a five year (2025: five year) period, with year one being the approved budgeted year. A terminal value is calculated into perpetuity using long-term growth rates. The growth rates used are in line with industry norms.

The input factors most sensitive to change are management's estimates of growth rates and discount rates. Further details on these assumptions have been disclosed in note 2. The Group has performed a sensitivity analysis by varying these input factors by a reasonably possible margin and assessing whether the changes in input factors result in any of the goodwill allocated to an appropriate CGU being impaired. The goodwill impairment amounted to Rnil million in the current year (2025: Rnil million), (note 2).

- **Post-employment benefit obligations**

Post-retirement defined benefits are provided for certain existing and former employees (note 18). The actuarial valuation method used to value the obligations is the projected unit method. The assumptions used include a discount rate, inflation rate, salary increase rate, expected rate of return on assets and a pension future growth rate allowance.

31.2 Critical judgements made by management

- **Technologies Acceptances Receivables Proprietary Limited ("TAR")**

The relevant activities identified by management with regard to the securitisation vehicle are the credit vetting of leases and the management of leases upon default. Although Altron is exposed to variable returns from TAR due to the loan funding provided and the preference share investment held in TAR, it does not have the power over the above relevant activities that have an effect on TAR's returns based on management's consideration of a weighting of the various factors and indicators surrounding the securitisation vehicle.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

32 STANDARDS, INTERPRETATIONS AND AMENDMENTS TO PUBLISHED STANDARDS

32.1 Effective standards, interpretations and amendments to published standards applied for the first time during the current financial year

A number of new pronouncements and/or interpretations were effective from 1 March 2025. These are outlined below and had no material effect on the Group or Company's financial statements.

Title	Effective date	Impact
Amendments to IAS 21 - Lack of exchangeability	Annual periods beginning on or after 1 January 2025 (early adoption is available)	The amendments impact entities that have transactions or operations in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay), and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations. The Group is not operating nor conducting business in jurisdictions that currently have a lack of exchangeability. Accordingly, it has been assessed that these amendments do not have an impact on the Group.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

32 STANDARDS, INTERPRETATIONS AND AMENDMENTS TO PUBLISHED STANDARDS (continued)

32.2 Standards, interpretations and amendments to published standards that are not yet effective

Certain new standards, amendments and interpretations to existing standards have been published that are mandatory for the Group's accounting periods beginning on or after 1 March 2026, or later periods, but which the Group has not early adopted.

Title	Effective date	Impact
Settlement of financial liabilities by electronic payments – IFRS 9	The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted	The amendments clarify when a financial asset or financial liability is recognised and derecognised and provide an exception for certain financial liabilities settled using an electronic payment system. The exception allows entities to derecognise their financial liabilities before the settlement date when it uses an electronic payment system that meets specific criteria. The Group does not expect the amendments to have a material impact.
Classification of financial assets with a contingent feature – IFRS 9 and IFRS 7	The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted	Following the post-implementation review of the classification and measurement requirements, IFRS 9 has been amended to include guidance on the classification of financial assets, including those with contingent features. Additional disclosures in terms of IFRS 7 will also need to be provided on financial assets and financial liabilities that have certain contingent features. The Group does not expect the amendments to have a material impact.
Equity instruments designated at fair value through other comprehensive income – IFRS 7	The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted	The amendments require additional disclosures for investments in equity instruments that are measured at fair value with gains or losses presented in other comprehensive income (FVOCI). The Group does not expect the amendments to have a material impact.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

32 STANDARDS, INTERPRETATIONS AND AMENDMENTS TO PUBLISHED STANDARDS (continued)

32.2 Standards, interpretations and amendments to published standards that are not yet effective (continued)

Title	Effective date	Impact
Non-recourse assets and contractually linked instruments – IFRS 9 Presentation of Financial Statements – non-current liabilities with covenants	The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted	The amendments clarify the treatment of non-recourse assets and contractually linked instruments. The Group does not expect the amendments to have a material impact.
Contracts Referencing Nature-dependent Electricity – IFRS 9 and IFRS 7	The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted	To allow companies to better reflect the financial effects of nature-dependent electricity contracts, which are often structured as power purchase agreements (PPAs), amendments have been made to IFRS 9 and IFRS 7. These amendments provide guidance on the 'own-use' exemption for purchasers of electricity under PPAs, hedge accounting requirements for companies that hedge their purchases or sales of electricity using PPAs and new disclosure requirements to enable investors to better understand the effects of PPAs. This standard will not be applicable to the Group.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

32 STANDARDS, INTERPRETATIONS AND AMENDMENTS TO PUBLISHED STANDARDS (continued)

32.2 Standards, interpretations and amendments to published standards that are not yet effective (continued)

Title	Effective date	Impact
Presentation and disclosure in financial statements – IFRS 18	Annual periods beginning on or after 1 January 2027, with earlier application permitted	IFRS 18 promotes a more structured income statement and introduces a newly defined “operating profit” subtotal and a requirement for all income and expenses to be classified into three new distinct categories based on an entity’s business activities. The new standard requires an entity to analyse their operating expenses directly on the face of the income statement – either by nature, by function or on a mixed basis. In addition, the standard defines “management-defined performance measures” (MPMs) and requires that an entity provide disclosures regarding its MPMs in order to enhance transparency. The standard further provides enhanced guidance on aggregation and disaggregation of information, which will apply to both the primary financial statements and the notes. IFRS 18 applies retrospectively. The Group has initiated an assessment of IFRS 18’s impact on its financial statement presentation and disclosures.
Subsidiaries without public accountability – IFRS 19	Eligible subsidiaries can choose to apply the standard for reporting periods beginning on or after 1 January 2027, with earlier application permitted	The standard is applicable to subsidiaries that do not have public accountability and that have a parent that produces consolidated accounts under IFRS Accounting Standards. IFRS 19 allows eligible subsidiaries to apply IFRS Accounting Standards with the reduced disclosure requirements of IFRS 19. A subsidiary applying IFRS 19 is required to clearly state in its explicit and unreserved statement of compliance with IFRS Accounting Standards that IFRS 19 has been adopted. This standard will not be applicable to the Group.
Financial Reporting in Hyperinflationary Economies – IAS21	Annual periods beginning on or after 1 January 2027, with earlier application permitted	The amendments clarify that an entity with a non-hyperinflationary functional currency that presents its financial statements in a hyperinflationary presentation currency is required to translate all amounts (including assets, liabilities, equity items, income and expenses, and comparative amounts) using the closing exchange rate at the date of the most recent statement of financial position. The Group does not expect these amendments to have a material impact on its financial statements as the Group does not have a hyperinflationary presentation currency.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

33 CASH GENERATED BY OPERATIONS

R millions	GROUP	
	28 February 2026	28 February 2025
Operating profit before capital items	1 180	817
Adjustments for:		
Depreciation and amortisation (note 1, 2)	172	194
Amortisation of costs to fulfil contracts (note 7)	312	310
Depreciation on capital rental devices (note 8)	204	251
Right-of-use depreciation (note 3)	96	95
Equity settled share based payment expenses (note 13.5)	62	33
Increase in ECL on loans advanced to Joint ventures and other investment entities (note 39.4)	2	1
Net Interest included in revenue and cost of sales	(22)	–
Movement in provisions (note 16)	5	(3)
Defined benefit pension fund (gains)/losses (note 18)	(41)	(46)
Unrealised foreign exchange losses/(gains)	–	1
Disposal costs (note 21)	(1)	–
Pension fund holiday and pension fund contribution to members	247	–
Other non-cash movements	3	17
Costs incurred to acquire contracts during the year (note 7)	(489)	(376)
Cash flow relating to contract liabilities	187	111
Cash flow relating to contract fulfilment cost	(10)	6
Cash flow relating to the finance lease arrangements*	234	141
Cash generated by operations before movements in working capital	2 141	1 552
(Increase)/decrease in inventories (note 10)	(14)	146
(Increase)/decrease in trade and other receivables, including contract assets	(172)	88
Decrease in trade and other payables (note 17)	(17)	(188)
Increase/(decrease) in amounts due to merchants	6	138
Cash flows from operations (Total)	1 944	1 736
Cash flows from operations (Continuing)	1 925	1 861
Cash flows from operations (Discontinuing)	19	(125)
* Cash flow relating to the finance lease arrangements comprises of the following movements		
Opening balance	580	592
Interest (note 22)	66	57
Increase in lease asset rentals	201	72
Closing balance (note 6)	(613)	(580)
Cash flow relating to the finance lease arrangements	234	141

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

34 DIVIDENDS RECEIVED FROM EQUITY ACCOUNTED INVESTEEs AND OTHER INVESTMENTS

R millions	GROUP	
	28 February 2026	29 February 2025
Dividends receivable at the beginning of the year	–	–
Dividends received from associates during the year (note 39.3)	3	3
Dividend income on financial assets measured at FVOCI (note 22)	4	4
	7	7

35 TAXATION PAID

Amounts unpaid at the beginning of the year	(41)	(72)
Amounts recognised in profit or loss	(122)	(67)
Foreign tax credits	(17)	19
Interest and penalties	–	(26)
Tax refund	(95)	(1)
Dividends withholdings tax	(2)	1
Amounts unpaid at the end of the year	94	41
	(183)	(105)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

36 PROCEEDS ON DISPOSAL OF SUBSIDIARIES, ASSOCIATES AND BUSINESSES, NET OF CASH DISPOSED

R millions	GROUP	
	28 February 2026	29 February 2025
Contract assets	2	–
Inventory	91	–
Cash and cash equivalents	40	–
Trade and other receivables	87	–
Trade and other payables	(106)	–
Loans (including lease liabilities)	(58)	–
Contract liabilities	(13)	–
Disposal value	43	–
Release of share-based payment reserve on disposal of operations (note 42)	(6)	–
Adjustment to contingent purchase consideration	–	3
Loss on disposal of subsidiaries (note 21, 42)	(37)	–
Total proceeds received on disposals	–	3
Less cash disposed	(40)	–
	(40)	3

37 PROCEEDS ON DISPOSAL OF PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS

R millions	GROUP	
	28 February 2026	29 February 2025
Carrying amount	4	8
Profit/(loss) on disposal	2	1
Proceeds received on disposal	6	9

38 OTHER CASH FLOWS

38.1 CASH OUTFLOW FROM OTHER INVESTING ACTIVITIES

Loans advanced to associates and other investments (note 39)	(2)	(1)
Advances made to TAR during the year	(2)	(15)
	(4)	(16)

38.2 CASH INFLOW FROM OTHER INVESTING ACTIVITIES

Repayment received from TAR during the year	8	18
Repayment received from Sentiv Proprietary Limited	11	–
	19	18

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

38 OTHER CASH FLOWS (continued)

38.3 RECONCILIATION OF CASH FLOWS FROM FINANCING ACTIVITIES

R millions	Secured bank loans (note 15)	Right-of-use assets (note 3)	Lease liabilities (note 15)	Rental finance liabilities (note 6)	Total
Balance at 1 March 2024 excluding loans held-for-sale	425	826	1	418	1 670
Loans classified as held-for-sale	–	1	–	–	1
Balance at 1 March 2024 including loans held-for-sale	425	827	1	418	1 671
Cash inflows/(outflows)	–	(100)	(1)	(130)	(231)
Loans advanced	425	–	–	–	425
Loans repaid	(425)	–	(1)	–	(426)
Lease payments	–	(100)	–	–	(100)
Settlement of finance lease liabilities	–	–	–	(130)	(130)
Other movements	–	105	–	127	232
Lease modifications and terminations	–	46	–	–	46
Leases entered into and increase in rental finance liabilities	–	59	–	127	186
Total	425	832	–	415	1 672
Classified as held-for-sale (note 40)	–	(4)	–	–	(4)
Balance at 28 February 2025 excluding loans held-for-sale	425	828	–	415	1 668
Disclosed as:					
Current loans	425	–	–	–	425
Lease liabilities (note 3)	–	828	–	–	828
Rental finance liabilities	–	–	–	415	415

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

38 OTHER CASH FLOWS (continued)

38.3 RECONCILIATION OF CASH FLOWS FROM FINANCING ACTIVITIES (continued)

R millions	Secured bank loans (note 15)	Right-of-use assets (note 3)	Lease liabilities (note 15)	Rental finance liabilities (note 6)	Total
Balance at 28 February 2025 excluding loans held-for-sale	425	828	–	415	1 668
Loans classified as held-for-sale	–	4	–	–	4
Balance at 28 February 2025 including loans held-for-sale	425	832	–	415	1 672
Cash inflows/(outflows)	75	(111)	–	(222)	(258)
Loans advanced	500	–	–	–	500
Loans repaid	(425)	–	–	–	(425)
Lease payments	–	(111)	–	–	(111)
Settlement of finance lease liabilities	–	–	–	(222)	(222)
Other movements	–	35	–	217	252
Disposal of operations	–	(3)	–	–	(3)
Lease modifications and terminations	–	(5)	–	–	(5)
Leases entered into and increase in rental finance liabilities	–	43	–	217	260
Total	500	756	–	410	1 666
Classified as held-for-sale (note 40)	–	–	–	–	–
Balance at 28 February 2026 excluding loans held-for-sale	500	756	–	410	1 666
Disclosed as:					
Current loans	–	–	–	–	–
Non-current loans	500	–	–	–	500
Lease liabilities (note 3)	–	756	–	–	756
Rental finance liabilities	–	–	–	410	410

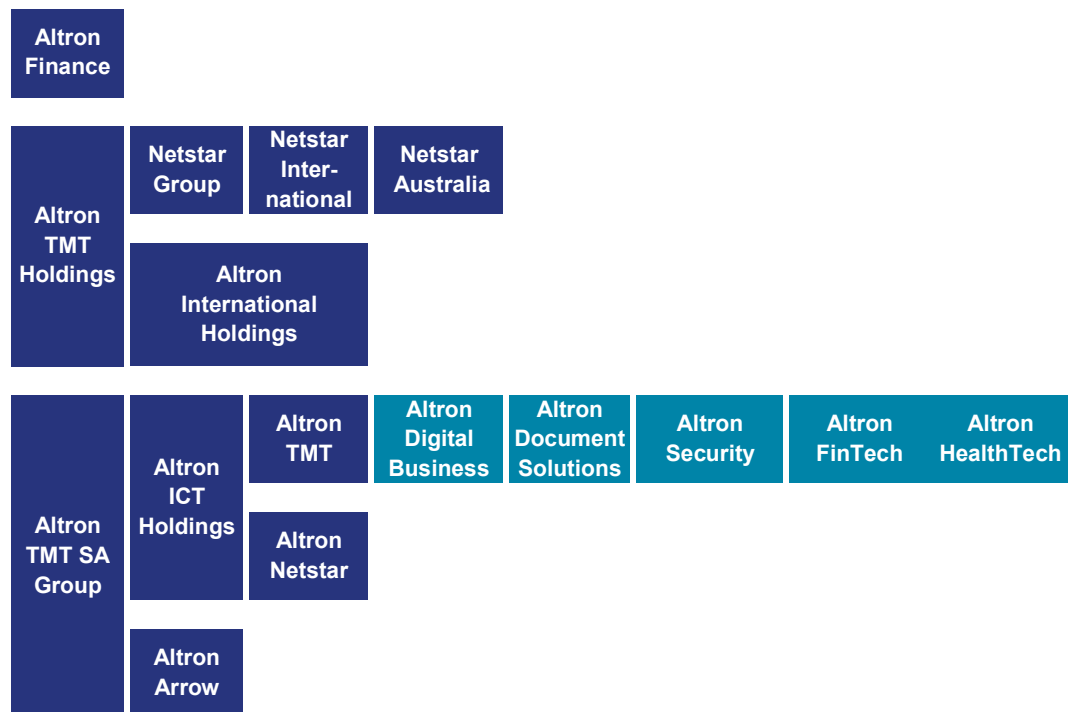
Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

39 GROUP COMPOSITION

39.1 Interests in subsidiaries

ALTRON



Legends

Legal entity	Legal entity
Divisions	Divisions

The Group structure included above only includes the Group's core subsidiaries. The associates and joint ventures have been excluded as these do not form part of the Group's core operations and are not considered material to the Group. Discontinued operations have been excluded as they do not form part of the Group's core operations.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

39 GROUP COMPOSITION (continued)

39.2 Non-controlling interests

The following subsidiaries have material non-controlling interest (NCI).

Name	Principal place of business / country of Incorporation	Ownership interests held by NCI	
		28 February 2026	28 February 2025
Altron Arrow Proprietary Limited	South Africa	50% - 1 share	50% - 1 share

R millions	28 February 2026		
	Altron Arrow	Other non- material NCI	Total NCI
Revenue	581		
Profit/(loss)	25		
Profit/(loss) attributable to non-controlling interests	13	1	14
Other comprehensive income	–		
Total comprehensive income	25		
Total comprehensive income/(loss) attributable to non-controlling interests	13	1	14
Current assets	332		
Non-current assets	29		
Share based payments	1		
Current liabilities	(66)		
Non-current liabilities	(8)		
Net assets	288		
Net assets attributable to non-controlling interests at 1 March 2025	153	16	169
Total comprehensive income attributable to non-controlling interests	13	1	14
Dividends paid to non-controlling interests during the year	(20)	–	(20)
Dividends received by non-controlling interests during the year	–	12	12
Net assets attributable to non-controlling interests at 28 February 2026	146	29	175
Summarised statement of cash flows			
Net cash utilised in operating activities	(35)		
Net cash utilised in investing activities	(2)		
Effect of exchange rate fluctuations on cash	(3)		
Net decrease in cash and cash equivalents	(40)		
Net cash and cash equivalents at the beginning of the year	130		
Net cash and cash equivalents at the end of the year	90		

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

39 GROUP COMPOSITION (continued)

39.2 Non-controlling interests (continued)

	28 February 2025		
R millions	Altron Arrow	Other non-material NCI	Total NCI
Revenue	669		
Profit/(loss)	52		
Profit/(loss) attributable to non-controlling interests	26	(1)	25
Other comprehensive income	–		
Total comprehensive income	52		
Total comprehensive income/(loss) attributable to non-controlling interests	26	(1)	25
Current assets	349		
Non-current assets	28		
Share based payments	2		
Current liabilities	(69)		
Non-current liabilities	(4)		
Net assets	306		
Net assets attributable to non-controlling interests at 1 March 2024	135	11	146
Disposed of during the year	–	–	–
Total comprehensive income attributable to non-controlling interests	26	(1)	25
Dividends paid to non-controlling interests during the year	(8)	–	(8)
Dividends received by non-controlling interests during the year	–	6	6
Net assets attributable to non-controlling interests at 28 February 2025	153	16	169
Summarised statement of cash flows			
Net cash generated in operating activities	58		
Net cash utilised in investing activities	(3)		
Effect of exchange rate fluctuations on cash	(2)		
Net increase in cash and cash equivalents	53		
Net cash and cash equivalents at the beginning of the year	77		
Net cash and cash equivalents at the end of the year	130		

Notes to the consolidated annual financial statements continued

For the year ended 28 February 2026

39 GROUP COMPOSITION (continued)

39.3 Interest in associate

The Group has no material associates.

The table below summarises the associate entities in which the Group holds an interest.

Investment	Nature of business	Altron controlled interest		Attributable share of profit/(loss)		Dividends Received		(Decrease)/increase in impairment		Total Investment	
		28 February 2026	28 February 2025	28 February 2026	28 February 2025	28 February 2026	28 February 2025	28 February 2026	28 February 2025	28 February 2026	28 February 2025
R millions		%	%	R millions	R millions	R millions	R millions	R millions	R millions	R millions	R millions
Unlisted											
Mediswitch Namibia Proprietary Limited	Provides healthcare IT and eCommerce solutions in Saudi Arabia and Namibia.	50	50	3	3	(3)	(3)	–	–	1	1
				3	3	(3)	(3)	–	–	1	1

The following is summarised financial information for the Group's interest in associates:

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

39 GROUP COMPOSITION (continued)

39.4 Interests in joint ventures

R millions	28 February 2026
Balance at 1 March 2025 (note 4)	1
Loans advanced	2
Share of equity accounted profits	–
Increase in ECL allowance	(2)
Balance at 28 February 2026 (note 4)	1

The Group holds an interest in the following jointly controlled entities:

Thobela Telecom – The Group participates in this 26.5% joint arrangement through Altron Nexus Smart Cities (Pty) Ltd (Altron Smart Cities) in respect of the City of Tshwane broadband project. During July 2025, the shares held by Altron Nexus in Thobela were sold to Altron Smart Cities, and the trade receivable balance and the investment loan advanced by Altron Nexus to Thobela was transferred to Altron Smart Cities. Subsequent to this, Altron Nexus was disposed of (note 42). Since inception, the Group advanced a cumulative loan of R105 million (2025: R103 million) to Thobela over the years.

In line with the approach outlined in note 11, management prepared a weighted probability analysis of the amount expected to be received. The Group resolved to increase its ECL impairment allowance to R105 million (2025: R103 million).

The movement in the loan provided and the ECL raised is summarised as follows:

R millions	28 February 2026			28 February 2025		
	Gross	Impairment	Net	Gross	Impairment	Net
Balance at the beginning of the year	103	(103)	–	102	(102)	–
Increase in loan	2	–	2	1	–	1
Increase in ECL allowance	–	(2)	(2)	–	(1)	(1)
Balance at the end of the year	105	(105)	–	103	(103)	–

Due to the objective evidence of impairment, the loan provided to Thobela Telecom is classified as stage 3 non-performing with reference to the general model for impairment.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

39 GROUP COMPOSITION (continued)

39.5 Involvement with unconsolidated structured entities

Preference share in Technologies Acceptances Receivables Proprietary Limited (TAR)

TAR is a securitisation vehicle based in South Africa used to house leases predominately related to equipment leased by the Group.

The Group owns one variable rate cumulative redeemable preference share in TAR. At the reporting date, a fair value assessment was undertaken which, using recognised valuation principles and techniques, indicated that the preference share was fairly valued at R21 million (2025: R21 million). Refer to note 29.7 for information relating to fair value determination.

The Group has concluded that it does not control, and therefore should not consolidate, the TAR securitisation vehicle. TAR was formed to pool leases of the Group's products. In substance, TAR's purpose is to facilitate the financing of lease equipment by the Group and a senior funder and to house the lease transactions. When considering the Group's lack of practical ability to direct the relevant activities of TAR as well as agency vs. principal considerations, Altron does not have power over the relevant activities and hence does not control TAR.

Exposure to credit risk

The maximum exposure to credit risk for the Group in relation to the repayment of the loan share at the balance sheet date amounts to R132 million (2025: R138 million). The loan is interest-bearing at JIBAR plus 1.65% to a maximum of the South African prime rate plus 6% and is repayable by 31 December 2026. TAR is exposed to the risk of customers defaulting on their lease rental payments. Refer to note 5.

All customers are credit vetted, credit is only extended to customers in accordance with the stipulations of the securitisation vehicle, and is effectively secured by the underlying assets. Expected credit loss experience is in line with expectations given the nature of the book.

Absorption of losses

The Altron Group is required to provide funding to TAR through the loan and need to fund at least 22% of the leases purchased. The balance is provided by the senior lender. In order to absorb exposure to non-performing leases, the Altron Group is entitled, but not obliged to, make additional Participation Loan Advances to TAR. Where leases default, the commitment of the Altron Group is therefore limited with regards to ensuring the continued operation of TAR. While the Altron Group may not have a legal obligation to advance additional funding to TAR in the event of default, it may choose to do so.

The Altron Group, through its preference share investment, retains the right to receive any residual in TAR after all other parties have been repaid should TAR enter into liquidation.

Exposure to interest rate risk

The TAR loan notes earn a minimum interest rate of JIBAR plus 1.65% (2025: JIBAR plus 1.65%) and a maximum interest rate of South African prime plus 6%. Any return in excess of the prime plus 6% cap is declared as a dividend against the Group's preference share investment in TAR. Refer to note 29.4 for further disclosure relating to interest rate risk.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

40 ASSETS AND LIABILITIES CLASSIFIED AS HELD-FOR-SALE AND DISCONTINUED OPERATIONS

40.1 ASSETS AND LIABILITIES CLASSIFIED AS HELD-FOR-SALE DURING THE CURRENT YEAR

During the year under review, no further operations were classified as held for sale.

40.2 ASSETS AND LIABILITIES CLASSIFIED AS HELD-FOR-SALE DURING THE PRIOR YEAR

40.2.1 Altron Nexus Proprietary Limited (Altron Nexus)

During July 2023 the decision was made to restructure Altron Nexus. Upon further analysis, the Altron Board concluded that the restructured Altron Nexus business is no longer regarded as core to the Group's operations and strategy, and it will actively explore opportunities to sell the business.

A sale agreement was signed on 18 March 2025 and Altron Nexus was sold to Lumitech Holdings Proprietary Limited, effective 1 August 2025 (note 42.1).

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

40 ASSETS AND LIABILITIES CLASSIFIED AS HELD-FOR-SALE AND DISCONTINUED OPERATIONS (continued)

40.3 FINANCIAL PERFORMANCE AND CASH FLOW INFORMATION

R millions	GROUP	
	28 February 2026	28 February 2025
Net assets of business held-for-sale:		
Assets classified as held-for-sale		
Inventories (note 10)	–	87
Trade and other receivables (note 11)	–	104
Contract assets (note 19)	–	1
Cash and cash equivalents (note 12)	–	3
Current assets	–	195
Assets classified as held-for-sale	–	195
Liabilities classified as held-for-sale		
Lease liabilities (note 3)	–	3
Non-current liabilities	–	3
Lease liabilities (note 3)	–	1
Trade and other payables (note 17)	–	42
Contract liabilities (note 19)	–	3
Current liabilities	–	46
Liabilities classified as held-for-sale	–	49

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

40 ASSETS AND LIABILITIES CLASSIFIED AS HELD-FOR-SALE AND DISCONTINUED OPERATIONS (continued)

40.3 FINANCIAL PERFORMANCE AND CASH FLOW INFORMATION (continued)

Reconciliation of cumulative impairment losses:

	28 February 2026		
	Property, plant and equipment	Right-of-use assets	Total
Impairment losses at 1 March 2025	(33)	(6)	(39)
Impairment losses during the current period	(1)	–	(1)
Altron Nexus	(1)	–	(1)
Disposed of during the year	34	6	40
Impairment losses at 28 February 2026	–	–	–

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

40 ASSETS AND LIABILITIES CLASSIFIED AS HELD-FOR-SALE AND DISCONTINUED OPERATIONS (continued)

40.3 FINANCIAL PERFORMANCE AND CASH FLOW INFORMATION (continued)

Breakdown of disposal groups held-for-sale:

R millions	28 February 2025		
	Altron Nexus	Cumulative Impairments	Total
Assets classified as held-for-sale			
Property, plant and equipment (note 1)	33	(33)	–
Right-of-use assets (note 3)	6	(6)	–
Non-current assets	39	(39)	–
Inventories (note 10)	87	–	87
Trade and other receivables (note 11)	104	–	104
Contract assets (note 19)	1	–	1
Cash and cash equivalents (note 12)	3	–	3
Current assets	195	–	195
Assets classified as held-for-sale	234	(39)	195
Lease liabilities (note 3)	3	–	3
Non-current liabilities	3	–	3
Lease liabilities (note 3)	1	–	1
Trade and other payables (note 17)	42	–	42
Contract liabilities (note 19)	3	–	3
Current liabilities	46	–	46
Liabilities classified as held-for-sale	49	–	49

Reconciliation of cumulative impairment losses:

R millions	28 February 2025		
	Property, plant and equipment	Right-of-use assets	Total
Impairment losses at 1 March 2024	(5)	(1)	(6)
Impairment losses during the current period	(28)	(5)	(33)
Altron Nexus	(28)	(5)	(33)
Disposed of during the year	–	–	–
Impairment losses at 28 February 2025	(33)	(6)	(39)

Cash flows generated in discontinued operations:

R millions	GROUP	
	28 February 2026	28 February 2025
Net cash generated from operating activities	19	(147)
Net cash utilised in investing activities	(2)	(2)
Net cash generated from financing activities	21	142
Net cash flow for the year	38	(7)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

41 REPORTING SEGMENTS

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. The Group determines and presents operating segments based on the information that is internally provided to the Group's Executive Committee, who is the Group's Chief Operating Decision-Makers (CODM). An operating segment's operating results are reviewed regularly by the CODM to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available. Segment results that are reported to the CODM include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items comprise of mainly corporate assets (primarily the Group's headquarters).

In addition to revenue, segment results are reported to the CODM with two measures of profitability:

- Operating profit before capital items (Operating Income before capital items); and
- Earnings before interest, taxation, depreciation, amortisation, capital items and equity accounted profits (EBITDA before capital items)

Both measures are used by the CODM for profitability assessment and resource allocation decisions. Segment results that are reported to the CODM include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items comprise mainly of corporate assets (primarily the Group's headquarters).

The segmental information has been prepared to highlight the continuing and discontinued operations. This provides more insight into revenue, EBITDA before capital items and operating profit before capital items and depreciation disclosed in the statement of comprehensive income.

During July 2023, Altron Nexus was classified as a discontinued operation and held-for-sale and sold effective 1 August 2025. The measures presented below, with the exception of Cost of goods sold - Direct materials, Cost of goods sold - Services and Employees remuneration, are those that the CODM or the Group monitors on an ongoing basis.

The segment revenues, EBITDA before capital items and operating profit before capital items generated by each of the Group's segments are summarised as follows:

Segment analysis

The following summary describes the operations and related products and services in each of the Group's reporting segments:

Platforms	
Netstar	Market leading provider of specialist vehicle tracking and recovery systems, fleet management services and usage-based telematics to prevent misuse of company fleet vehicles, reduce cost per kilometre, monitor driver behaviour and increase security and safety of drivers.
Altron FinTech	Solutions include debit order processing, payment and switching services, card personalisation and issuance, credit management software as well as debit and credit card payment solutions. In addition to this, FinTech also provide person-to-person payments and value-added services to the consumer market.
Altron HealthTech	Provides practice management solutions in the healthcare industry and medical transaction switching.

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

41 REPORTING SEGMENTS (continued)

Information Technology	
Altron Digital Business	Provider of networking, hardware (networking infrastructure, storage and compute), DevOps and modernisation, end to end data management and IT infrastructure solutions, security, IT as a service, cloud services, data storage, data centre infrastructure, artificial intelligence as well as the design, develop and implementation of specialised solutions (including securely managed identity profile and cryptographic solutions). Altron Digital Business is also a Microsoft certified solutions provider.
Altron Document Solutions	Provides a range of hardware and consumables to manage outsource print services such as installation and training, paper and toner supplies, maintenance and services of equipment and service contracts. Xerox provides leading-edge technology, services, software and supplies for production and office environments of any size.
Altron Security	Altron Security offer customers a securely managed identity profile and cryptographic solutions for their clients across devices, platforms, and locations.
Distribution	
Altron Arrow	Distributor of industrial electronic components from amongst others: batteries and solar; lighting and optics; software and compilers; and semiconductors and aerospace products.
Other	
Corporate and consolidation and other international operations	Head office, shared services and treasury function of the Group.
Discontinued operations	
Altron Nexus	Altron Nexus provides enterprise connectivity and critical communications solutions that enables businesses to connect with the world, while enhancing their productivity and sustainability. These solutions are delivered as turnkey projects (Plan, Build, Operate, Support, Transfer), or as subscription services where required.

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Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

41 REPORTING SEGMENTS (continued)

Segment analysis

The measures presented below are those that the CODM of the Group monitors on an ongoing basis. The segmental information has been prepared to highlight the continuing and discontinued operating segments. This provides more insight into revenue, earnings before interest, tax, depreciation and amortisation and equity accounted income before capital items (EBITDA before capital items), operating profit before capital items, depreciation, cost of goods sold included in material and services consumed and employees remuneration disclosed in the statement of comprehensive income.

The segment revenues, EBITDA before capital items, operating profit before capital items, depreciation, cost of goods sold included in material and services consumed and employees remuneration generated by each of the Group's segments are summarised as follows:

CONTINUING OPERATIONS	Revenue			EBITDA before capital items			Operating profit before capital items		
	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth
R millions									
Netstar	2 482	2 277	9%	1 083	935	16%	453	255	78%
Altron FinTech	1 532	1 282	20%	597	457	31%	561	423	33%
Altron HealthTech	403	397	2%	149	122	22%	143	120	19%
Platforms	4 417	3 956	12%	1 829	1 514	21%	1 157	798	45%
Altron Digital Business	2 982	3 241	(8%)	26	109	(76%)	7	83	(92%)
Altron Security	411	397	4%	106	114	(7%)	90	86	5%
Altron Document Solutions	1 385	1 417	(2%)	123	84	46%	98	61	61%
IT Services	4 778	5 055	(5%)	255	307	(17%)	195	230	(15%)
Altron Arrow	581	669	(13%)	33	69	(52%)	31	67	(54%)
Distribution	581	669	(13%)	33	69	(52%)	31	67	(54%)
Corporate and consolidation and other international operations	(139)	(92)	(51%)	(115)	(68)	(69%)	(165)	(123)	(34%)
Other	(139)	(92)	(51%)	(115)	(68)	(69%)	(165)	(123)	(34%)
Continuing Operations	9 637	9 588	1%	2 002	1 822	10%	1 218	972	25%

* The comparative figures have been represented to include cost of goods sold included in materials and services consumed and employee remuneration in order to provide disaggregation of the material line items.

Depreciation (note 20.6)			Cost of goods sold – Direct materials (included in Materials and services consumed)*			Cost of goods sold – Services (included in Materials and services consumed)*			Employees remuneration*		
28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth
(672)	(716)	(6%)	(534)	(884)	(40%)	(469)	(65)	622%	(994)	(903)	(10%)
(60)	(77)	(22%)	(1 415)	(1 386)	2%	(1 141)	(1 419)	(20%)	(1 569)	(1 467)	(7%)
(2)	(2)	–	(467)	(524)	(11%)	–	–	–	(53)	(54)	2%
(50)	(55)	(9%)	124	86	(44%)	–	17	100%	(249)	(174)	(43%)
(784)	(850)	(8%)	(2 292)	(2 708)	(15%)	(1 610)	(1 467)	10%	(2 865)	(2 598)	(10%)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

41 REPORTING SEGMENTS (continued)

DISCONTINUED OPERATIONS	Revenue			EBITDA before capital items			Operating profit before capital items		
	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth
R millions									
Altron Nexus	89	343	(74%)	(34)	(149)	77%	(34)	(148)	77%
Corporate and consolidation	–	–	–	(4)	(6)	33%	(4)	(7)	43%
Discontinued Operations	89	343	(74%)	(38)	(155)	75%	(38)	(155)	75%
Total	9 726	9 931	(2%)	1 964	1 667	18%	1 180	817	44%

* The comparative figures have been represented to include cost of goods sold included in materials and services consumed and employee remuneration in order to provide disaggregation of the material line items.

Segment EBITDA before capital items can be reconciled to operating profit before capital items as follows:

R millions	28 February 2026	28 February 2025
EBITDA before capital items	1 964	1 667
Reconciling items:		
Depreciation – Property, plant and equipment	(85)	(87)
Depreciation – Right-of-use assets	(96)	(95)
Amortisation	(87)	(107)
Amortisation of costs incurred to acquire contracts and capital rental devices	(516)	(561)
Total operating profit before capital items	1 180	817
Discontinued operations loss before capital items	38	155
Continuing operations profit before capital items	1 218	972

Revenues/EBITDA before capital items/operating profit from segments below the quantitative thresholds are attributable to smaller operating segments of the Altron Group. None of those segments have met any of the quantitative thresholds for determining reportable segments for the reportable periods. Quantitative thresholds have been calculated based on totals for the Altron Group and not per sub-group.

Depreciation (note 20.6)			Cost of goods sold – Direct materials (included in Materials and services consumed)*			Cost of goods sold – Services (included in Materials and services consumed)*			Employees remuneration*		
28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth	28 February 2026	28 February 2025	Growth
–	–	–	(53)	–	–	(6)	(262)	(98%)	(35)	(77)	55%
(784)	(850)	8%	(2 345)	(2 708)	13%	(1 616)	(1 729)	7%	(2 900)	(2 675)	(8%)

Notes to the consolidated annual financial statements continued

for the year ended 28 February 2026

42 DISPOSAL OF SUBSIDIARIES, ASSOCIATES AND BUSINESSES

42.1 Current year disposals and proceeds receivable

Disposal of Altron Nexus

Altron Nexus was classified as held-for-sale (note 40) during July 2023. During the year, the Group concluded a multi-part transaction with agreements signed on 18 March 2025 and closed on 1 August 2025.

As part of the transaction, Altron Nexus sold to Altron Nexus Smart Cities Proprietary Limited (Smart Cities) all of the shares it held in Thobela together with all claims Altron Nexus held against Thobela. Altron Nexus thereafter unbundled all the shares that it held in Smart Cities and Altron Fleetcall Proprietary Limited to Altron TMT SA Group Proprietary Limited, which concurrently sold all shares held in Nexus to Lumitech Holdings Proprietary Limited.

The carrying value of the remaining assets and liabilities disposed of are disclosed below:

R millions	GROUP	
	28 February 2026	28 February 2025
Current assets	220	–
Inventory	91	–
Trade and other receivables	87	–
Contract assets	2	–
Cash and cash equivalents	40	–
Current liabilities	(122)	–
Short term lease liabilities	(3)	–
Trade and other payables including contract liabilities	(106)	–
Contract liabilities	(13)	–
Non-current liabilities	(55)	–
Loans	(55)	–
Disposal value	43	–
Share base payment reserve recycled	(6)	–
Loss on disposal (note 21)	(37)	–
Cash and cash equivalents disposed	(40)	–
Proceeds received net of cash disposed	(40)	–

42.2 Prior year disposals and proceeds receivable

No operations were disposed of during the prior year.

Separate annual financial statements

for the year ended 28 February 2026

SEPARATE BALANCE SHEET AT 28 FEBRUARY 2026

		COMPANY	
		28 February 2026	28 February 2025
	Notes	R'000	R'000
ASSETS			
<i>Non-current assets</i>		2 918 392	3 182 811
Investment in subsidiaries	2	2 699 598	2 734 722
Defined benefit asset	9	171 933	367 376
Group share scheme recharge receivable	5	46 861	80 713
<i>Current assets</i>		395 322	166 596
Trade and other receivables		–	16 661
Amount receivable from subsidiary	2	274 110	121 327
Group share scheme recharge receivable	5	119 464	26 764
Cash and cash equivalents		1 748	1 844
Total assets		3 313 714	3 349 407
EQUITY AND LIABILITIES			
<i>Total equity</i>		3 312 568	3 347 507
Share capital and premium	3	1 296 932	1 259 361
Retained earnings		1 454 445	1 548 863
Other reserves		561 191	539 283
<i>Current liabilities</i>		1 146	1 900
Other payables		1 146	1 900
Total equity and liabilities		3 313 714	3 349 407

Separate annual financial statements continued

for the year ended 28 February 2026

SEPARATE STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 28 FEBRUARY 2026

	Notes	COMPANY	
		28 February 2026 R'000	28 February 2025 R'000
Revenue		270 000	–
Dividends received from subsidiaries		270 000	–
Operating costs		(415)	(402)
Other income		40 590	49 447
Pension Fund Income (Net defined benefit asset)	9	40 590	46 336
Other		–	3 111
Operating profit		310 175	49 045
Profit before taxation		310 175	49 045
Taxation	4	–	–
Profit for the year		310 175	49 045
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Remeasurement of net defined benefit asset		(5 655)	(29 918)
Other comprehensive loss for the year		(5 655)	(29 918)
Total comprehensive income for the year		304 520	19 127

Separate annual financial statements continued

for the year ended 28 February 2026

SEPARATE STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 28 FEBRUARY 2026

R'000	A Ordinary share capital (Note 3)	High Voting Shares	Share-based payment reserve	Fair value reserve	Retained earnings	Total equity
Balance at 1 March 2024	1 241 198	10	198 180	359 557	1 800 096	3 599 041
Total comprehensive income for the year						
Profit for the year	–	–	–	–	49 045	49 045
Other comprehensive loss						
Remeasurement of net defined benefit asset	–	–	–	(29 918)	–	(29 918)
Total comprehensive income for the year	–	–	–	(29 918)	49 045	19 127
Transactions with owners, recorded directly in equity						
Share-based payments expense	–	–	49 144	–	–	49 144
Dividends declared	–	–	–	–	(300 278)	(300 278)
Treasury shares used for Share-based payment transactions	–	–	(19 527)	–	–	(19 527)
Share options exercised	18 153	–	(18 153)	–	–	–
Total transactions with owners	18 153	–	11 464	–	(300 278)	(270 661)
Balance at 28 February 2025	1 259 351	10	209 644	329 639	1 548 863	3 347 507
Total comprehensive income for the year						
Profit for the year	–	–	–	–	310 175	310 175
Other comprehensive income						
Remeasurement of net defined benefit asset	–	–	–	(5 655)	–	(5 655)
Total comprehensive income for the year	–	–	–	(5 655)	310 175	304 520
Transactions with owners, recorded directly in equity						
Share-based payments expense	–	–	65 134	–	–	65 134
Dividends declared	–	–	–	–	(404 593)	(404 593)
Share options exercised	37 571	–	(37 571)	–	–	–
Total transactions with owners	37 571	–	27 563	–	(404 593)	(339 459)
Balance at 28 February 2026	1 296 922	10	237 207	323 984	1 454 445	3 312 568

Separate annual financial statements continued

for the year ended 28 February 2026

SEPARATE STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 28 FEBRUARY 2026

		COMPANY	
	Note	28 February 2026 R'000	28 February 2025 R'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	6.1	134 497	288 189
Dividends received		270 000	–
Dividends paid		(404 593)	(300 278)
Net cash outflow from operating activities		(96)	(12 089)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds received on the recharge of shares issued relating to share based payments		–	12 305
Net cash inflow from financing activities		–	12 305
(Decrease)/Increase in cash and cash equivalents		(96)	216
Cash and cash equivalents at the beginning of the year		1 844	1 628
Cash and cash equivalents at the end of the year		1 748	1 844

Notes to the separate annual financial statements

for the year ended 28 February 2026

1 ACCOUNTING POLICIES

Refer to the accounting policies as included in the consolidated financial statements.

2 INTEREST IN SUBSIDIARIES

	Effective shareholding		Shares at cost		Indebtedness	
	28 February 2026 %	28 February 2025 %	28 February 2026 R'000	28 February 2025 R'000	28 February 2026 R'000	28 February 2025 R'000
Altron Finance Proprietary Limited – ordinary shares	100	100	235	235	199 823	121 327
Altron Finance Proprietary Limited – preference shares	100	100	2 633 952	2 633 952	–	–
Investment in subsidiaries – share-based payments			65 411	100 535	–	–
Altron TMT Proprietary Limited – ordinary shares	100	100	–	–	74 287	–
			2 699 598	2 734 722	274 110	121 327

The above loan receivable from Altron Finance Proprietary Limited, a subsidiary of the company is unsecured, interest-free and has no fixed terms of repayment.

The preference share is non-cumulative, non-redeemable, non-convertible and is non-interest-bearing.

The above receivable from Altron TMT Proprietary Limited, an indirect subsidiary of the company is unsecured, interest-free and is repayable by 31 March 2026.

Credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	COMPANY	
	28 February 2026 R'000	28 February 2025 R'000
Amount receivable from subsidiary	274 110	121 327
Other amounts receivable	–	16 661
Cash and cash equivalents	1 748	1 844
	275 858	139 832

Notes to the separate annual financial statements continued

for the year ended 28 February 2026

2 INTEREST IN SUBSIDIARIES (continued)

Application of IFRS 9

The Company has the following financial assets subject to the expected credit loss model (ECL):

- Amounts receivable from subsidiaries
- Cash and cash equivalents

The Company applies the 3-stage general impairment model when measuring expected credit losses. The Company applies a 12-month expected loss allowance (through a simplified parameter based approach) to the amounts receivable from subsidiaries as there has not been an increase in the credit risk since initial recognition.

Simplified parameter-based approach – ECL are calculated using a formula incorporating the following parameters: exposure at default (EAD), probability of default (PD) and loss given default (LGD) (i.e. $ECL = PD \times LGD \times EAD$). The inputs used in the calculation of the ECL are based on published indexes which incorporates an element of forward-looking information.

Based on the application of the above, due to the low probability of default attributable to Altron Finance (Pty) Ltd, the identified impairment loss was immaterial.

The preference share investment as disclosed above has been classified as an equity investment in terms of IAS 32.

While cash and cash equivalents are also subject to the expected credit loss model, the identified impairment loss was immaterial, due to the low probability of default taking into account the credit rating of the financial institutions that the funds are held at (note 8).

3 SHARE CAPITAL AND PREMIUM

	28 February 2026 Number of shares	28 February 2025 Number of shares	28 February 2026 R'000	28 February 2025 R'000
Authorised				
A Ordinary shares of no par value (2025: No par value)	500 000 000	500 000 000	–	–
N Ordinary shares of 0.01 cent each (2025: 0.01 cent each)	500 000 000	500 000 000	–	–
High Voting share of no par value (<i>unlisted</i>)	1	1	–	–
Issued				
<i>A Ordinary shares</i>				
In issue at the beginning of the year	412 055 395	411 018 564	1 259 351	1 241 198
Issued in terms of share schemes	1 877 525	1 036 831	37 571	18 153
In issue at the end of the year	413 932 920	412 055 395	1 296 922	1 259 351
<i>High Voting share</i>				
In issue at the beginning of the year	1	1	10	10
Net High Voting share at the end of the year	1	1	10	10
Total issued share capital and premium			1 296 932	1 259 361

Notes to the separate annual financial statements continued

for the year ended 28 February 2026

4 TAXATION

	COMPANY	
	28 February 2026 R'000	28 February 2025 R'000
Current taxation	–	–
Prior year adjustment	–	–
	–	–
Reconciliation of rate of taxation	%	%
South African normal taxation rate	27.0	27.0
Non-taxable income*	(27.04)	(27.22)
Non-deductible expenses	0.04	0.22
Effective taxation rate	–	–

* Non-taxable income relates to the defined benefit fund gain and dividends received.

5 GROUP SHARE-BASED PAYMENTS

	Company	
	28 February 2026 R'000	28 February 2025 R'000
Group share scheme recharge receivable at fair value (note 7)	166 325	107 477
Non-current portion	46 861	80 713
Current portion	119 464	26 764

Details of employee share options granted by the Company are reflected in the Consolidated Financial Statements (note 13.4). Options granted under the "Altron 2009 Share Plan" are subject to a recharge arrangement with participating subsidiaries upon exercise of the options by employees of those companies and have been accounted for as set out in the "Group share-based payments" accounting policy in the Consolidated Financial Statements.

The fair value of the Group share scheme recharge receivable is based on both level 1 and level 3 inputs depending on which share options and schemes are being considered. Performance Share Awards (PS) and Bonus Share Grants (BS) use level 1 inputs. Share Appreciation Rights (SARs) generally uses level 3 inputs. Level 1 inputs are based on quoted prices in an active market. Level 3 inputs are based on unobservable inputs and driven by historic market quoted prices.

Notes to the separate annual financial statements continued

for the year ended 28 February 2026

6 NOTES TO THE STATEMENT OF CASH FLOWS

	COMPANY	
	28 February 2026 R'000	28 February 2025 R'000
6.1 CASH UTILISED IN OPERATIONS		
Profit before tax	310 175	49 045
Adjusted for:		
Dividends received	(270 000)	–
Pension fund income	(40 590)	(46 336)
Other non-cash movements	–	(3 111)
	(415)	(402)
Changes in working capital	134 912	288 591
Decrease in intercompany	135 666	287 312
Increase/(Decrease) in other payables	(754)	1 279
	134 497	288 189
6.2 TAXATION PAID		
Taxation payable at the beginning of the year	–	–
Recognised in profit or loss	–	–
	–	–

7 RELATED PARTIES

	COMPANY	
	28 February 2026 R'000	28 February 2025 R'000
The Company has a related party relationship with its subsidiaries, joint ventures and associates (note 39 of the consolidated financial statements).		
Shareholders		
The principal shareholders of the Company are detailed in the analysis of shareholders in note 30 of the consolidated financial statements.		
Directors		
The Company has a related-party relationship with its Directors (note 30 of the consolidated financial statements).		
Group share-based payments		
The Group has a relationship with certain of its subsidiaries in accordance with the Group share-based payment arrangement (note 5), for which the balances outstanding at reporting date are as follows:		
Altron Arrow	4 236	2 255
Altron TMT	141 259	90 609
Netstar	20 830	14 613
	166 325	107 477

Notes to the separate annual financial statements continued

for the year ended 28 February 2026

8 FINANCIAL RISK MANAGEMENT

Credit risk

The Company limits its credit risk exposure by investing only with financial institutions that have a sound credit rating. Management does not expect any counterparty to fail to meet its obligations based on the credit ratings of the financial institutions presented below:

	Amount receivable from subsidiary R'000	Other amounts receivable R'000	Cash and cash equivalents* R'000
28 February 2026			
South Africa	274 110	–	1 748
28 February 2025			
South Africa	121 327	16 661	1 844

* Credit ratings of the applicable financial institutions where cash and cash equivalents are held are BB (2025: BB).

Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The Company's approach to managing liquidity risk is to ensure that sufficient liquidity is available to meet its liabilities when due.

The Company ensures it has sufficient cash on demand or access to facilities to meet expected operational expenses for the next 12 months, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

Financial guarantee liability

The Company provided a payment guarantee in favour of a lease financier who financed the lease receivables to parastatals amounting to R70 million (2025: R70 million). This guarantee provides security for the payment of any outstanding lease commitments in respect of specific leased processing equipment. The guarantee can be called upon at year end and it expires on 28 February 2027. The fair value of the guarantee and subsequent ECL was calculated to be immaterial as the actual equipment sold is collateral to the Group.

9 DEFINED BENEFIT ASSET

Retirement benefit plans are disclosed in the Consolidated Financial Statements. Refer to note 18.

Notes to the separate annual financial statements continued

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10 STANDARDS AND INTERPRETATIONS IN ISSUE BUT NOT YET EFFECTIVE

A number of other new pronouncements are effective for the Company from 1 March 2026, these have been considered and do not have a material effect on the Company's financial statements. Refer to note 32 of the Consolidated Financial Statements.

11 EVENTS SUBSEQUENT TO YEAR END

Dividends declared

The Board declared a special dividend of 120 cents per share and a final dividend of 72 cents per share on 21 May 2025. The special dividend is subject to approval by the South African Reserve Bank.

The Directors are not aware of any other events after the reporting period that will have an impact on financial position, performance or cash flows of the Group.

12 DIRECTOR INFORMATION

Zukie Siyotula was appointed as an Independent Non-executive Director and a member of the Altron AARC with effect from 8 September 2025 and on the Remuneration and Nominations Committee from 3 November 2025. Zukie is a qualified CA(SA), Chief Executive Officer of Siyotula Holdings and brings extensive board and governance experience, including as independent non-executive chair of York Timbers and independent non-executive director of African Bank.

Grigoris Kouteris, who has served as an Independent Non-executive Director since 17 May 2024 and has been a member of the Investment Committee and AARC since 1 February 2025, continues to enhance the Board's expertise in the Platforms sector. Subject to shareholder approval at the AGM on 31 July 2026, Grigoris will be appointed to the SESCom.

Alupheli Sithebe, Independent Non-executive Director and member of the AARC and SESCom, resigned from the Board with effect from 31 July 2025.

Harvey Christophers resigned from the Board as an Independent Non-executive Director with effect from 5 March 2026.

13 GOING CONCERN

The Directors have made an assessment of the ability of the Company to continue as a going concern and have no reason to believe that the Company will not be a going concern in the year ahead.

Historical financial reviews (Total operations)

ALTRON LIMITED

R millions	2026	2025	2024	2023	2022	2021
INCOME STATEMENT						
Revenue	9 726	9 931	10 325	10 848	9 518	15 453
Operating profit before capital items	1 180	817	187	318	420	950
Finance income	86	93	91	86	53	86
Finance expense	(129)	(178)	(191)	(204)	(187)	(251)
Profit/(loss) from equity accounted investees	3	3	2	3	3	(41)
Foreign exchange gains and losses	(12)	(1)	(7)	4	(5)	5
Capital items	(185)	(153)	(80)	(112)	(323)	11 538
Profit/(loss) before taxation	943	581	2	95	(39)	12 287
Taxation	(202)	(166)	(149)	(77)	(47)	(145)
Profit/(loss) after taxation	741	415	(147)	18	(86)	12 142
Attributable to Non-controlling interests	14	25	23	17	9	(12)
Attributable to Altron equity holders	727	390	(170)	1	(104)	12 154
Headline earnings	875	510	(111)	93	121	495
Dividends paid	374	277	168	147	437	219
BALANCE SHEET						
Assets						
Property, plant and equipment	288	304	350	415	459	422
Goodwill and other intangible assets	1 582	1 547	1 535	1 570	1 555	1 382
Right-of-use assets	286	410	409	588	785	1 013
Equity accounted investments and other investments	115	23	165	205	268	237
Capital rental devices	841	580	429	345	277	264
Contract costs capitalised	947	780	723	551	388	241
Finance lease assets	379	357	387	225	238	–
Defined benefit asset	172	368	382	295	254	253
Deferred taxation	154	150	181	235	238	151
Other current assets	3 479	3 501	3 607	4 467	4 133	5 214
Taxation receivable	54	75	55	30	24	17
Cash and cash equivalents	1 351	1 017	1 140	750	759	1 381
Total assets	9 648	9 112	9 363	9 676	9 378	10 575
Equity and liabilities						
Shareholders' equity	4 394	4 015	3 931	4 196	4 257	4 764
Non-controlling interests	175	169	146	118	106	102
Total equity	4 569	4 184	4 077	4 314	4 363	4 866
Non-current loans	701	217	649	1 048	1 095	848
Current loans	209	623	195	180	287	279
Loans	910	840	844	1 228	1 382	1 127
Other non-current liabilities	859	711	565	449	348	193
Lease liabilities	756	828	826	917	1 039	1 102
Bank overdraft	4	24	513	59	158	650
Other current liabilities	2 550	2 525	2 538	2 709	2 088	2 447
Total equity and liabilities	9 648	9 112	9 363	9 676	9 378	10 385

Definitions

Borrowings – All interest-bearing liabilities.

Capital employed – The total of total equity and borrowings.

Earnings – Attributable earnings as disclosed in the income statement.

Operating assets – Total assets less investments, loans, deferred tax and cash.

Operating profit – is stated before capital items.

Total assets – Property, plant and equipment, investments and loans together with current assets.

Ratios and statistics

	2026	2025	2024	2023	2022	2021
Earnings						
Basic earnings/(loss) per share (cents)	190	103	(44)	–	(26)	3 269
Headline earnings/(loss) per share (cents)	229	134	(29)	25	32	133
Ordinary shares in issue (millions)						
– at year end	383	381	379	378	375	370
– weighted average	382	380	379	377	372	371
Profitability						
Operating profit to revenue (%)	12.1	8.2	1.8	2.9	4.4	6.1
EBITDA before capital items	1 964	1 667	985	1 049	1 100	1 708
EBITDA before capital items to revenue (%)	20.2	16.8	9.5	9.7	11.6	11.1
Return on equity (continued operations) (%) – averaged	21.7	17.1	9.6	6.5	5.0	3.0
Return on capital employed (%) – averaged	23.3	16.7	3.8	5.9	7.4	16.5
Return on operating assets (%)	22.1	15.3	3.4	4.9	6.8	14.7
Return on net assets (%)	17.2	13.0	3.1	5.0	6.4	13.6
Financial						
Current ratio	1.7:1	1.4:1	1.4:1	1.7:1	1.8:1	1.7:1
Acid test ratio	1.4:1	1.1:1	1.2:1	1.3:1	1.4:1	1.4:1
Net asset value per share	1 147	1 053	1 038	1 109	1 134	1 289
Shares						
Price: earnings ratio (times)						
– ordinary shares	9.5	15.3	(35.5)	34.4	23.1	8.7
Market value per share at year end (cents)						
– A ordinary shares	2 180	2 056	1 030	860	740	1 153
Other						
Consumer price index (percentage increase)	3.0	3.2	5.6	7.0	5.7	2.9
Production price index (percentage increase)	1.8	1.0	4.5	12.2	10.5	4.0
Number of permanent employees	4 068	4 329	4 597	5 009	5 616	7 711

Definitions

Acid test – The ratio of current assets excluding inventories to current liabilities.

Borrowings ratio – The percentage of borrowings to total equity.

Current ratio – The ratio of current assets to current liabilities.

Market value per share – The sellers' price quoted by the JSE Limited.

Price : earnings ratio – The market value per share divided by the headline earnings per share.

Net asset value per share – Shareholders' equity divided by the number of shares in issue at year end.

EBITDA before capital items – Operating profit before depreciation, amortisation and capital items.

Return on capital employed – The percentage of operating profit to capital employed.

Return on operating assets – The percentage of operating profit to operating assets.

Return on shareholders' equity – The percentage of attributable earnings to shareholders' equity, adjusted for net capital items and translation gains/losses.

Return on net assets – The percentage of profit before tax, excluding finance costs and capital items to net assets.

Share ownership analysis

SHARE OWNERSHIP ANALYSIS

Material shareholders

Beneficial shareholders (excluding Directors' direct interest) holding 5% or more of the Company's listed A ordinary shares as at 28 February 2026 were the following:

Names	Number of A ordinary shares held	% of total issued A ordinary shares
Value Capital Partners (Proprietary) Limited*	99 096 527	23.94
Coronation Fund Management (Proprietary) Limited	83 843 640	20.25
Biltron (Proprietary) Limited	56 192 243	13.58
Public Investment Corporation	38 355 755	9.27
Altron Finance (Proprietary) Limited**	30 837 778	7.45
Camissa Asset Management (Proprietary) Limited	27 632 873	6.68
Total	335 958 816	81.17

* Cumulative shares controlled through its associates.

** Related party of Altron and holds treasury shares on behalf of the Group.

Geographical holdings

The geographic shareholding of the Group as at 28 February 2026 is as follows:

Geographic holdings	Number of A ordinary shares held	% of total issued A ordinary shares
South Africa	398 121 281	96.18
United Kingdom (UK)	4 711 191	1.14
Europe (excluding UK)	3 144 407	0.76
North America	613 913	0.15
Rest of the world	64 049	0.02
Unknown	69 483	0.02
Below threshold	7 208 596	1.73
Total	413 932 920	100

Public and non-public shareholders (as at 28 February 2026)

A ordinary shares	Number of shareholders	Number of A ordinary shares held	% of total issued A ordinary shares
Non-public shareholders	9	134 581 802	32.51
Director-related holdings	8	103 744 024	25.06
Treasury shares	1	30 837 778	7.45
Public shareholders	13 465	279 351 118	67.49
Total	13 474	413 932 920	100

Definitions and abbreviations

Term	Abbreviation
Altron Audit and Risk Committee	AARC
Altron Investment Committee	InvestCom
Altron Remuneration and Nominations Committee	RemNomCom
Altron Social, Ethics and Sustainability Committee	SesCom
Artificial Intelligence	AI
Business Continuity Management	BCM
Buy-Now-Pay Later	BNPL
Chief Executive Officer	CEO
Chief Financial Officer	CFO
Corporate Social Investment	CSI
Council for Scientific and Industrial Research	CSIR
Earnings per Share	EPS
Environmental, Social and Governance	ESG
Greenhouse Gas	GHG
Group Earnings Before Interest, Taxes, Depreciation, and Amortisation	EBITDA
Headline Earnings per Share	HEPS
Information and Communications Technology	ICT
Information Technology	IT
Infrastructure as a Service	IaaS
International Financial Reporting Standards	IFRS
Internet of Things	IoT
Johannesburg Stock Exchange	JSE
King IV™ Report on Corporate Governance for South Africa	King IV
National Health Insurance	NHI
Original Equipment Manufacturers	OEMs
Platform as a Service	PaaS
Point-to-Point Encryption	P2PE
Protection of Personal Information Act	POPIA
Radio Frequency	RF
Science, Technology, Engineering and Maths	STEM
Socioeconomic Development	SED
Software as a Service	SaaS
Solar Photovoltaic	PV
Stolen Vehicle Recovery	SVR
United Arab Emirates	UAE

Corporate information and administration

Altron Limited

Registration number: 1947/024583/06

Share code: AEL

ISIN: ZAE000191342

Registered office

Altron Campus,
20 Woodlands Drive
Woodlands Office Park
Woodmead
2191

Postal address

PO Box 981
Houghton 2041
Gauteng
South Africa

Group secretary

Mbali Ngobo
(LLB, LLM)
Email: mbali.ngcobo@altron.com
Telephone: +2711 205 7950

Principal bankers

ABSA Bank Limited
Rand Merchant Bank (a division of FirstRand Bank Limited)
Nedbank Limited
The Standard Bank of South Africa Limited Investec Bank Limited

Transfer secretaries

Computershare Investor Services Proprietary Limited
Rosebank Towers
15 Biermann Avenue
Rosebank, 2196
(Private Bag X9000, Saxonwold, 2132)
South Africa

Sponsor

Investec Bank Limited

Auditor

PricewaterhouseCoopers Inc.

